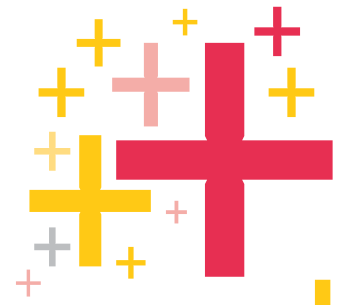


DTB

DIAMOND
TRUST
BANK

2014

ANNUAL REPORT &
FINANCIAL STATEMENTS



VISION

Enabling people to advance with confidence and success.

MISSION

To make our customers prosper, our staff excel and create value for our stakeholders.

VALUES

Our values are the fundamental principles that define our culture and are brought to life in both our attitudes and our behaviour. It is our values that make us unique and unmistakable:

Excellence

This is the core of everything that we do. We believe in being the best in everything that we do in terms of services, products and premises.

Integrity

We steadfastly adhere to high moral principles and professional standards, knowing that our success depends on our customer's trust.

Customer focus

We fully understand the needs of our customers and we adapt our products and services to meet them. We always strive to put satisfaction of our customers first.

Meritocracy

We believe in giving opportunities and advantages to our employees on the basis of their ability. We believe in rewarding achievement and in providing first-class career opportunities for all.

Progressiveness

We believe in the advancement of society through the adoption of enlightened working practices, innovative new products and processes.





NAIROBI

- 1 Buru Buru Branch, off Mumias Road
- 2 Capital Centre Branch, Mombasa Road
- 3 Courtyard Branch, along General Mathenge Drive
- 4 Cross Road Branch, Cross Road
- 5 Diamond Plaza Branch, 4th Avenue, Parklands
- 6 DTB Centre Branch, Mombasa Road
- 7 Eastleigh Branch, 7th Street
- 8 Industrial Area Branch, Likoni Road
- 9 JKIA Branch, Airport Trade Centre, Tower Avenue
- 10 Karen Branch, Ngong Road
- 11 Kitengela Branch, Kajado Road
- 12 Lavington Branch, James Gichuru Road
- 13 Madina Mall Branch, Starehe/Pumwani Road
- 14 Nation Centre Branch, Kimathi Street
- 15 OTC Branch, Gwasi Lane, off Racecourse Road
- 16 Parklands Branch, 3rd Avenue Parklands
- 17 Prestige Plaza Branch, Ngong Road
- 18 South C Branch, Popo Road, South C
- 19 Ronald Ngala Branch, Uyoma Street
- 20 T-Mall Branch, Langata Road
- 21 Thika Road Mall Branch, Thika Road Super Highway
- 22 Tom Mboya Street Branch, Mondlane/Tom Mboya Street
- 23 Upper Hill Branch, Kilimanjaro Road
- 24 Village Market Branch, Limuru Road
- 25 Wabera Street Branch, Wabera Street

COAST REGION

- 26 Changamwe Branch, Airport Road, Mombasa
- 27 Diani Branch, Diani
- 28 Jomo Kenyatta Branch, Jomo Kenyatta Avenue, Mombasa
- 29 Kilifi Branch, off Mombasa – Malindi Highway
- 30 Lamu Branch, Lamu
- 31 Malindi Branch, Lamu Road
- 32 Mariakani Branch, along Mombasa - Nairobi Road
- 33 Mombasa Branch, Moi Avenue
- 34 Mtwapa Branch, along Mombasa-Malindi Road
- 35 Nyali Branch, Links Road, Mombasa
- 36 Shimanzi Branch, Dar es Salaam Road, Mombasa
- 37 Voi Branch, Biashara Street

OTHER TOWNS

- 38 Bungoma Branch, Moi Avenue
- 39 Busia Branch, along Busia Main Road
- 40 Eldoret Branch, Uganda Road
- 41 Kakamega Branch, Canon Awori Road
- 42 Kericho Branch, Tengecha Road
- 43 Kisii Branch, Moi Highway
- 44 Kisumu Branch, Oginga Odinga Road
- 45 Kitale Branch, Kenyatta Street
- 46 Meru Branch, Njuri Ncheke Road
- 47 Migori Branch, Isibania Road
- 48 Nakuru Branch, Kenyatta Avenue
- 49 Thika Branch, Kenyatta Highway
- 50 West End Mall Branch, Jomo Kenyatta Highway, Kisumu



KAMPALA

- 1 Bwaise Branch, Bombo Road
- 2 Freedom City Branch, Entebbe Road
- 3 George Street Branch, George Street
- 4 Hotel Equatoria Branch, William Street
- 5 Industrial Area Branch, Kibiira Road
- 6 ISBAT Branch, Lugogo Bypass
- 7 Kabalagala Branch, Ggaba Road
- 8 Kampala Road Branch, Kampala Road
- 9 Kamwokya Branch, Kira Road
- 10 Kikuubo Branch, Ben Kiwanuka Street
- 11 Kitintale Branch, Port Bell Road
- 12 Kyengera Branch, Masaka Road
- 13 Nansana Branch, Hoima Road
- 14 Naalya Branch, off Northern Bypass
- 15 Nakivubo Branch, Channel Street
- 16 Nateete Branch, Masaka Road
- 17 Ndeeba Branch, Masaka Road
- 18 Ntinda Branch, Kiira Road
- 19 Oasis Mall Branch, Yusuf Lule Road
- 20 Old Kampala Branch, Old Kampala Road
- 21 Owino Branch, Ham Shopping Grounds, Owino
- 22 Usafi Market Branch, Kalitunsi Roundabout
- 23 Wandegaya Branch, Bombo Road

OTHER TOWNS

- 24 Arua Branch, Avenue Road
- 25 Busia Branch, Sophia Lane
- 26 Jinja Branch, Main Street
- 27 Lira Branch, Aputi Road
- 28 Malaba Branch, Kwapa /Tororo Road
- 29 Malaba Customs Branch, Kwapa /Tororo Road
- 30 Masaka Branch, Kampala Road
- 31 Mbale Branch, Bishop Wasike Road
- 32 Mbarara Branch, Mbaguta Road
- 33 Victoria Mall branch (Entebbe), off Entebbe Road.



DAR ES SALAAM

- 1 Kariakoo Branch, Msimbazi Street
- 2 Magomeni Branch, off Morogoro Road
- 3 Main Branch, Jamat / Mosque Street
- 4 Masaki Branch, Haile Sellasie Road Junction
- 5 Mbagala Branch, Kilwa Road
- 6 Mbezi Branch, Mbezi Beach, Old Bagamoyo Road
- 7 Morocco Branch, Ali Hasan Mwinyi Road
- 8 Nelson Mandela Branch, Nelson Mandela Road
- 9 Nyerere Branch, Nyerere Road
- 10 Upanga Branch, United Nations Road

ARUSHA

- 11 Arusha City Branch, Sokoine Road
- 12 Arusha Main Branch, Moshi Road

OTHER TOWNS

- 13 Dodoma Branch, 7th Street, near Main Road
- 14 Iringa Branch, Miyomboni /Jamati Street
- 15 Kahama Branch, Ngaya/Isaka Road
- 16 Mbeya Branch, Market Street Junction
- 17 Morogoro Branch, Lumumba Road
- 18 Moshi Branch, Old Moshi Road
- 19 Mtwara Branch, Tanu Road
- 20 Mwanza Branch, Kenyatta Road
- 21 Tabora Branch, Ujiji Street
- 22 Tanga Branch, Taifa Road
- 23 Zanzibar Branch, Forodhani Area



BUJUMBURA

- 1 Agence Du Siege, 14 Chaussée Prince Louis Rwagasore
- 2 Agence Marché Central de Bujumbura, 3688 Avenue de la Croix Rouge
- 3 Agence Marché de Ruvumera, Avenue Ntahangwa
- 4 Agence Quartier Asiatique, 143 Avenue de la Ntahangwa

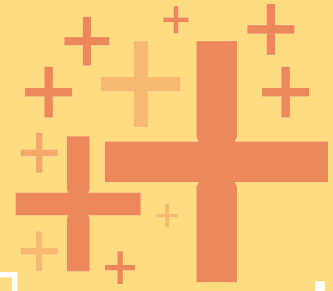


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**BOARD OF DIRECTORS**

Abdul Samji*

Chairman

Nasim Devji **

Managing Director

Pamella Ager*

Moez Jamal**

Nizar Juma*

Irfan Keshavjee*

Zakir Mahmood***

Ismail Mawji*

Appointed on 2 September 2014

Amin Merali*

Mwaghazi Mwachofi*

Jamaludin Shamji*

Kenyan **British *Pakistani***COMPANY SECRETARY**

Stephen Kodumbe

REGISTERED OFFICE

DTB Centre

Mombasa Road

P.O. Box 61711 - 00200

NAIROBI

AUDITOR

PricewaterhouseCoopers

Certified Public Accountants

PwC Tower

Waiyaki Way/Chiromo Road

P.O. Box 43963 - 00100

NAIROBI

SUBSIDIARIES

Diamond Trust Bank Tanzania Limited

Diamond Trust Bank Uganda Limited

Diamond Trust Bank Burundi S.A.

Diamond Trust Insurance Agency Limited

Premier Savings and Finance Limited

Network Insurance Agency Limited

PRINCIPAL OFFICERS

Nasim Devji	Group CEO and Managing Director
Stephen Kodumbe	Company Secretary and Head of Legal
Shahzad Karim	Head of Corporate Banking
Gopa Kumar	Head of Retail Banking
Kennedy Nyakomitta	Head of Asset Finance and Western Region
Shibu Jacob	Head of Coast Region
Sathya Vadana	Head of Treasury
Alkarim Jiwa	Head of Finance and Planning
Lillian Ngala	Head of Human Resources
Nizar Tundai	Head of Technology
Suraj Shah	Head of Operations and Projects
Milerangam Jayaraman	Head of Credit
Gituku Kirika	Head of Products and Marketing
George Otiende	Head of Branches and Alternate Channels
Kennedy Nyangweso	Head of Money Transfer Services
Nita Shah	Head of Risk
Peter Kimani	Head of Internal Audit
Hilda Gituro	Head of Compliance
Naftali Mwangi	Head of Security, Fraud and Forensic Investigations

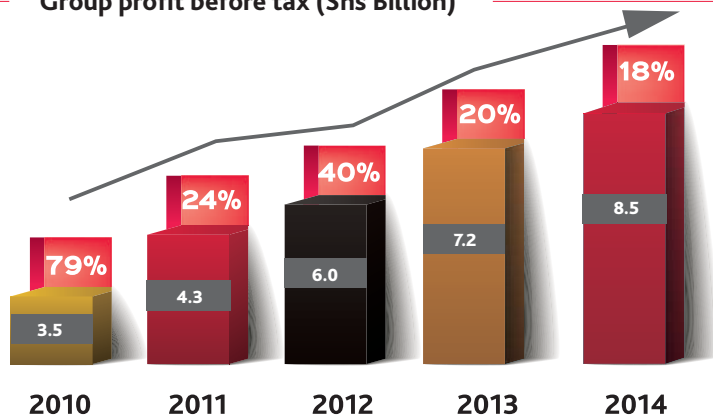
**PRINCIPAL
CORRESPONDENTS**

New York	Standard Chartered Bank Plc Citibank N.A. Habib Bank Limited
Frankfurt	Standard Chartered Bank Plc Commerzbank BHF Bank
London	Standard Chartered Bank Plc Habib Allied Bank Citibank N.A.
Mumbai	ICICI Bank Development Credit Bank Limited
Tokyo	Standard Chartered Bank Plc
Toronto	Citibank, Canada Bank of Montreal
Johannesburg	Standard Bank, South Africa Citibank, South Africa
Dubai	Habib Bank Limited
Milan	Banca Intesa Sanpaolo
Melbourne	ANZ Bank Melbourne, Australia
Hong Kong	Bank of China
Stockholm	Swedbank AB

	2014	2013	2012	2011	2010
Net interest income	13,038,918	11,149,291	9,246,386	6,826,952	4,882,762
Non-fund based income	3,776,851	3,349,992	3,074,041	2,744,867	2,874,831
Gross operating income	16,815,769	14,499,283	12,320,427	9,571,819	7,757,593
Net operating profit before provisions	9,372,496	8,133,815	7,012,595	4,896,202	4,020,853
Charge for impairment of loans	(851,210)	(898,812)	(984,696)	(588,789)	(557,854)
Profit before income tax	8,521,286	7,235,003	6,027,899	4,307,413	3,462,999
Profit after tax and non controlling interest	5,083,519	4,756,635	3,627,766	2,656,797	2,284,824
Total assets	211,539,412	166,520,351	135,461,412	107,765,064	83,600,177
Advances to customers (net)	137,654,551	110,945,439	87,707,243	71,297,721	51,260,068
Total deposits (customers and banks)	163,348,180	133,506,710	109,702,558	88,131,356	68,604,930
Shareholders' funds	28,963,235	20,950,855	16,522,162	11,593,302	8,939,503
Dividends for the year	581,064	462,210	418,190	332,596	260,859
Performance ratios					
Earnings per share - basic	Shs 21.92	Shs 20.97	Shs. 15.99	Shs. 11.71	Shs. 10.07
- diluted	Shs 21.92	Shs 20.51	Shs. 15.64	Shs. 11.46	Shs. 9.85
Dividend per share - basic	Shs. 2.40	Shs. 2.10	Shs. 1.90	Shs. 1.70	Shs. 1.60
- diluted	Shs. 2.40	Shs. 1.90	Shs. 1.70	Shs. 1.40	Shs. 1.10
Net loans to deposits	84.3%	83.1%	80.0%	80.9%	74.7%
Non performing loans to total loans (before provisions)	1.1%	1.1%	1.1%	0.9%	1.3%
Return on average assets	3.0%	3.5%	3.3%	3.1%	3.3%
Return on average shareholders' funds	20.4%	24.4%	25.8%	25.9%	28.7%
Non-fund based income to total income	22.5%	23.1%	25.0%	28.7%	37.1%
Number of branches	110	98	90	76	65
Number of employees	1,885	1,745	1,514	1,264	1,101
Expenditure on property and equipment	1,388,890	3,051,222	1,258,974	666,208	438,509
Other indicators (Bank only)					
Core capital to customer deposits	21.8%	18.3%	16.4%	13.7%	14.7%
Core capital to total risk weighted assets	16.8%	17.1%	17.7%	14.2%	15.3%
Total capital to total risk weighted assets	18.9%	20.5%	19.8%	16.8%	18.4%

The above extracts from the consolidated financial statements are stated in thousands of Kenya Shillings (Shs 000) except where otherwise indicated.

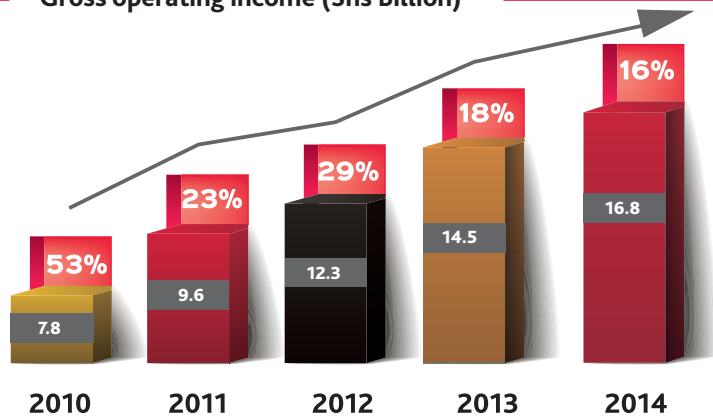
Group profit before tax (Shs Billion)



Group's pre-tax profit grew by 18% from Shs 7.2 billion in 2013 to Shs 8.5 billion in 2014, with the group's subsidiaries contributing 26% to the overall PBT.

Annual growth rate

Gross operating income (Shs Billion)

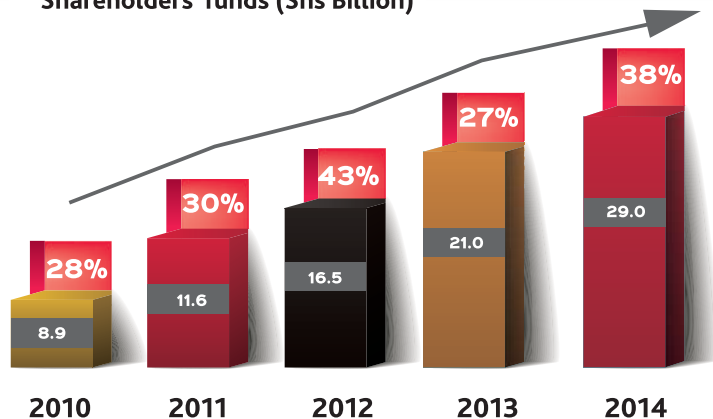


Operating income grew by 16% to Shs 16.8 billion in 2014

This is as a result of consistent growth of funded business, coupled with diversification of non-fund business streams.

Annual growth rate

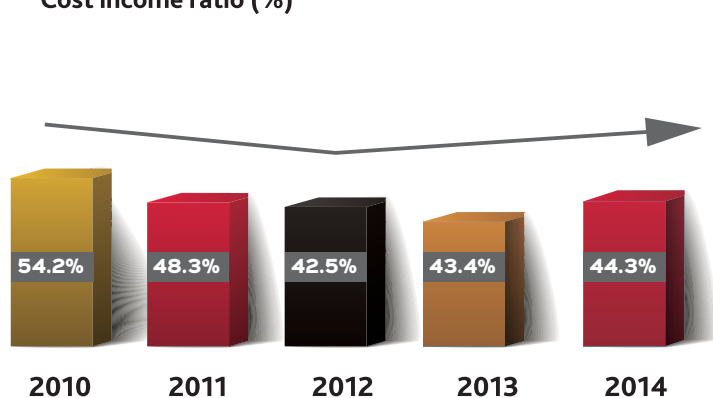
Shareholders' funds (Shs Billion)



The growth in Shareholders' funds is attributed to KShs 5.1 billion profit after tax, and KShs 3.6 billion raised by way of a rights issue in 2014.

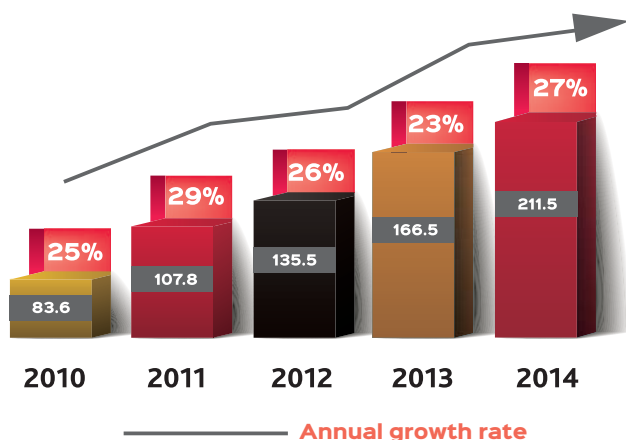
Annual growth rate

Cost income ratio (%)

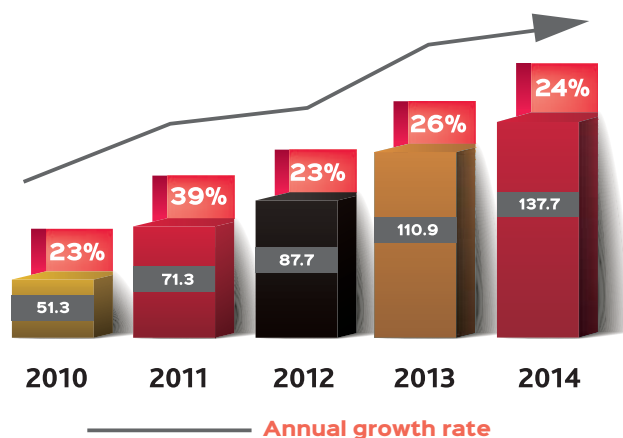


The cost to income ratio has benefited from continued cost management strategies implemented by the Group.

Total Assets (Shs Billion)

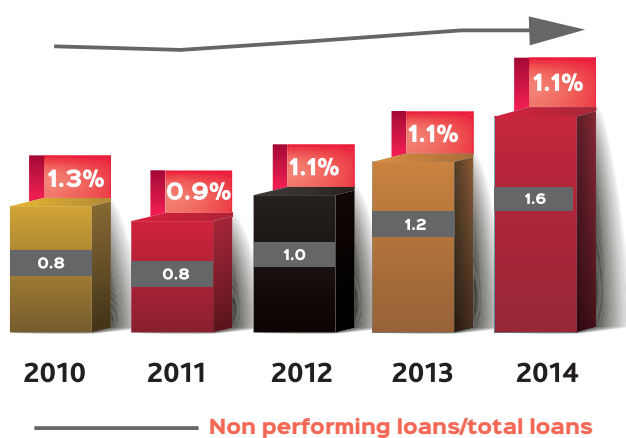


Advances (Shs Billion)



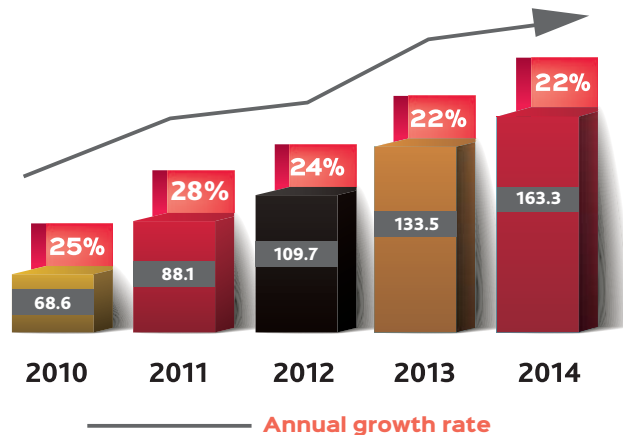
Total assets and net advances grew by 27% and 24% respectively, supported by a 22% growth in deposits.

Non-performing loans (Shs Billion)



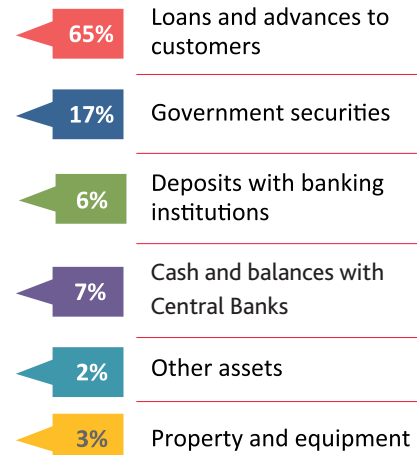
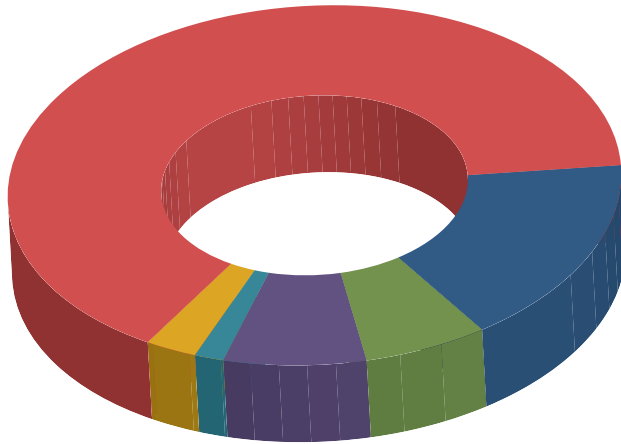
The proportion of non-performing loans to total loans at 1.1% remained same as 2013, reflecting the prudential risk management practices of the Group.

Customer and bank deposits (Shs Billion)

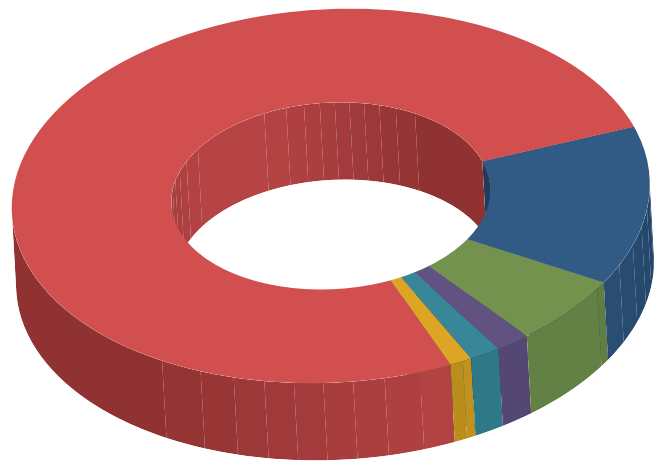
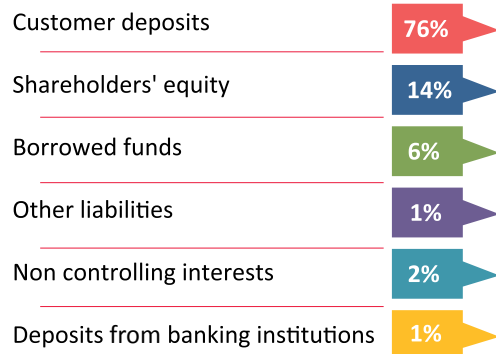


Customer and bank deposits grew by 22% supported by the Group's continuing expansion of its branch network and alternate delivery channels.

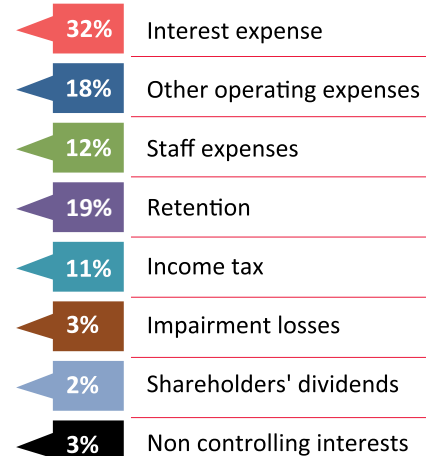
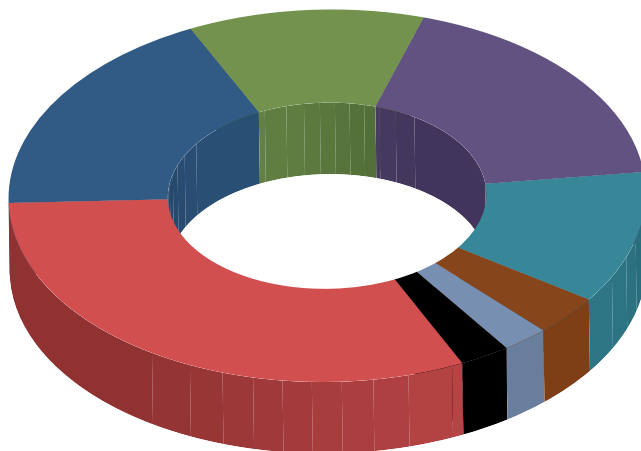
Composition of Assets - 2014



Composition of Liabilities and Shareholders' Equity - 2014



Utilisation of income - 2014





Abdul Samji, Chairman (left) + + + +

Mr. Samji, was appointed the Chairman of the DTB Group in May 2010 after having been appointed to the Board in 1997. He is a Certified Public Accountant and Management Consultant by profession, and a former Managing Partner of PKF Kenya, a firm of Certified Public Accountants. He is a B.Com (Hons) graduate, Fellow of the Association of Chartered Certified Accountants and a member of the Institute of Certified Public Accountants of Kenya. Mr. Samji is a past District Governor of Rotary International, District 9200, and is a Trustee for several institutions involved in charitable and service activities. Mr. Samji is also the Chairman of the PDM Group of Companies. Mr. Samji is aged 68 years.

Nasim Devji, Group Chief Executive Officer and Managing Director (right) +

Mrs. Devji joined the DTB Group in 1996 following which she was appointed Group Chief Executive Officer of Diamond Trust Banks in East Africa in 2001. She is a Fellow of The Institute of Chartered Accountants of England and Wales, an Associate of the Institute of Taxation (United Kingdom) and a Fellow of the Kenya Institute of Bankers. Mrs. Devji is a director of DTB Tanzania, DTB Uganda, DTB Burundi, Jubilee Insurance Burundi and Diamond Trust Insurance Agency Limited. She is also a director of the Nairobi Securities Exchange Limited and a member of the Kenya Deposit Insurance Corporation, Kenya. Mrs. Devji was recognized as the "Leading African Woman in Business of the Year" at the 2010 Africa Investor Investment and Business Leader Awards. In 2011, she received the "CEO of the Year" award from the Capital Markets Authority during the Capital Markets Awards and the "Chief Executive of the Year in Banking" award by Think Business during the Banking Awards 2011. Mrs. Devji again received the "Chief Executive of the Year in Banking" award during the Think Business Banking Awards 2013 and the Investment Awards in 2014 respectively. Mrs. Devji is aged 61 years.

Moez Jamal, Director (left) + + +

Mr. Jamal was appointed to the Board in December 2009. He has vast experience in banking and is currently a Director of Habib Bank Limited, Pakistan, Jubilee Holdings Limited, Kenya and Marcuard Family Office, Switzerland. He is also a Partner in JAAM AG in Zurich. Mr. Jamal has previously worked in various senior positions with Credit Suisse and Lloyds Bank International London/New York and his last assignment was as the Global Treasurer, Credit Suisse. Mr. Jamal holds an MBA in Finance from Stern Business School, New York University and a BA (Hons.) from Manchester University in England. Mr. Jamal is aged 59 years.

Jamaludin Shamji, Director (centre) + + + + + +

Mr. Shamji was appointed to the Board in March 2010. He holds a B.A. (Honors) in Business Administration from Washington State University, U.S.A. and has undertaken courses towards an M.B.A. (Strategic Management) from Drexel University, U.S.A. He is a Fellow of the Kenya Institute of Bankers and a prominent businessman based in Kisii. Mr. Shamji is a director of various companies including A. Jiwa Shamji Limited and Sansora Bakers & Confectioners Limited and has previously served on the Board of the Aga Khan Health Services Kenya. He is currently a director of the Aga Khan Education Services Kenya and is the Chairman of the Board of Governors of Kisii Special School for the Mentally Handicapped, a member of Kisii County Public Private Partnership Committee, Kisii County Budget & Economic Forum, Board of Directors - Kisii Teaching & Referral Hospital and a member of the Institute of Directors, Kenya. Mr. Shamji is aged 52 years.

Amin Merali, Director (right) + + + + +

Mr. Merali was appointed to the Board in 1998. Mr. Merali is a prominent businessman and is Chairman and Chief Executive of the Merali Group of Companies, comprising the Neptune Group of hotels in Kenya and Tanzania, bulk fuel haulage and property development in Kenya, Uganda and Tanzania. Mr. Merali is aged 70 years.



Member of:

- | | |
|---|--|
| + Board of Directors | + Board Audit & Compliance Committee |
| + Board Nomination & Human Resource Committee | + Board Risk Management Committee |
| + Board Executive Committee | + Board Information Technology Committee |
| + Board Credit Committee | |

Nizar Juma, Director (left)

Mr. Juma is a Kenyan businessman. He joined the Board in August, 1997. Mr. Juma was Chairman of the Aga Khan Health Services in Kenya for almost seven years. He is currently the East African Regional Chairman of the IPS Group of Companies. He is also the Chairman of The Jubilee Insurance Group of Companies in this region. He holds a joint honours degree in Economics, Law, and Accountancy from the University of Wales. He was awarded the Silver Star by the President of Kenya for outstanding service to the nation. Mr. Juma is aged 70 years.

Pamella Ager, Director (centre)

Mrs. Ager was appointed to the Board in May 2013. She is a partner in Oraro & Company Advocates and holds a First Class Honours LLM Degree from Auckland University and a Bachelor of Laws Degree from the University of Waikato - Hamilton, New Zealand. She also holds a diploma from the Kenya School of Law. Besides being an Advocate of the High Court of Kenya, Mrs. Ager is a member of the Law Society of Kenya, Federation of Women Lawyers, East African Law Society and Commonwealth Lawyers Association. Mrs. Ager also sits on various boards for education and non-profit organisations. Mrs. Ager is aged 44 years.

Irfan Keshavjee, Director (right)

Mr. Keshavjee was appointed to the Board in May 2013. He has an MBA from the University of Oxford, UK and a Bachelors Degree in Civil-Environmental Engineering from Queen's University in Canada. He also holds a certificate in Housing Finance from the Wharton Real Estate Centre, University of Pennsylvania. Mr. Keshavjee has had over 17 years of commercial experience in East Africa as a Director of the White Rose Group of Companies. He was awarded the prestigious Ashoka Fellowship and the Acumen Fund East Africa Fellowship for having co-founded award-winning enterprises that impact on the livelihoods of low-income Kenyans. Mr. Keshavjee is aged 44 years.

**Ismail Mawji, Director (left)**

Mr. Mawji was appointed to the Board in September 2014. He is the founder and Senior Partner in Mawji Sennik and Company, Certified Public Accountants. He is also a member of the Institute of Certified Public Secretaries of Kenya and a Chartered Accountant from the United Kingdom. For many years Mr. Mawji has served on the Insurance Committee of the Institute of Certified Public Accountants of Kenya and on the Corporate Governance Committee of The Institute of Certified Public Secretaries of Kenya. Mr. Mawji is aged 64 years.

Mwachazi Mwachofi, Director (right)

Mr. Mwachofi was appointed to the Board in May 2009. He has formerly served as a Permanent Secretary in the Ministry of Finance, Kenya and General Manager of the Aga Khan Agency for Microfinance in Geneva. Prior to his appointment to the Board, Mr. Mwachofi had a long career in banking and held senior positions with the First Chicago Bank in Nairobi, Citibank and the International Finance Corporation in Washington. He also previously worked with Celtel International BV. Mr. Mwachofi is a holder of an Honours Degree in Accounting from the University of Nairobi and an MBA in Finance from the Wharton Business School, University of Pennsylvania. He is currently a director of the First Microfinance Bank, Pakistan and other microfinance banks, in Afghanistan, Tajikistan, Kyrgyzstan, Syria, Egypt, West Africa and Southern Africa. Mr. Mwachofi is aged 66 years.

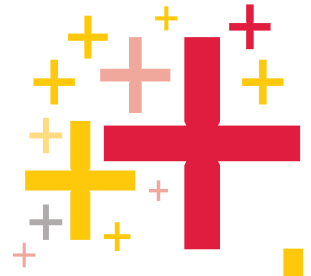
**Zakir Mahmood, Director (left)**

Mr. Mahmood was appointed to the Board in April 2013. He holds an MBA (Finance) and Masters, Electrical Engineering both from the University of California, Los Angeles, U.S.A. He also holds a BE, Electrical Engineering from NED College, University of Karachi. Mr. Mahmood has extensive experience in banking having served as the President and Chief Executive Officer of Habib Bank Limited, Karachi, Pakistan. He has also previously worked in several senior positions in the banking industry with Credit Agricole Indosuez, France and the Bank of America. He is the Chairman of Habib Allied International Bank Plc in the United Kingdom and is a director of various companies including Habib Bank Limited, Khushhali Bank Limited and Jubilee Insurance Pakistan and also serves as a Trustee of The Aga Khan University. Mr. Mahmood has served on several Government of Pakistan Commissions and as the Chair of the Global Agenda Council for Pakistan of the World Economic Forum. Mr. Mahmood is aged 63 years.

Stephen Kodumbe, Company Secretary (right)

Mr. Kodumbe joined DTB in 2008 as the Manager, Legal Services and was appointed Company Secretary in August 2009. Mr. Kodumbe holds a Bachelor of Laws (LL.B) Degree and a Masters in Business Administration Degree from the University of Nairobi together with a Diploma from the Kenya School of Law. Besides being an Advocate of the High Court of Kenya and a registered Certified Public Secretary, Mr. Kodumbe is a member of the Law Society of Kenya and the Institute of Certified Public Secretaries of Kenya. Mr. Kodumbe is aged 38 years.





INNOVATION
+
YOU



NOTICE IS HEREBY GIVEN THAT THE FORTY NINTH ANNUAL GENERAL MEETING OF THE SHAREHOLDERS OF DIAMOND TRUST BANK KENYA LIMITED WILL BE HELD AT THE LAICO REGENCY HOTEL, CRYSTAL BALLROOM, NAIROBI, ON THURSDAY, 14 MAY 2015 AT 11.00 A.M. TO TRANSACT THE FOLLOWING BUSINESS:

1. To confirm the Minutes of the Forty Eighth Annual General Meeting held on 15 May 2014.
2. To receive, consider and adopt the Annual Report and Financial Statements for the year ended 31 December 2014.
3. To approve payment of a final dividend of 60% on the Issued and Paid-up Share Capital of Shs 968 million to the shareholders registered in our books as at 14 May 2015, on or about 12 June 2015, as recommended by the Board.
4. To elect Directors in accordance with the Company's Articles of Association.
5. To approve the Directors' fees.
6. Special Business:

Mr. Amin Merali, having attained the age of 70 years retires by virtue of Article 100 and Article 101 of the Bank's Articles of Association, and Section 186(2) of the Companies Act (Cap 486), and pursuant to Section 186(5) of the Act and the said Articles of Association, offers himself for re-election as a director for a further period of one year. That the following ordinary resolution be proposed and if thought fit, be passed by Members, Special Notice, pursuant to Section 142 of the Companies Act, having been received by the Company:

"That pursuant to section 186(5) of the Companies Act, Mr. Amin Merali having attained the age of 70 years, be and is hereby re-elected to continue as a Director of the Company for a period of one year."

7. To appoint the Company's Auditors, PricewaterhouseCoopers, in accordance with Section 159(2) of the Companies Act (Cap.486) and Section 24(1) of the Banking Act (Cap.488). PricewaterhouseCoopers have indicated their willingness to continue in office.
8. To note the Auditors' remuneration for the year 2014, and to authorise the Directors to fix the Auditors' remuneration for the year 2015.
9. To transact any other Ordinary Business of an Annual General Meeting.

By Order of the Board



Stephen Kodumbe
Company Secretary

11 March 2015
Nairobi

Note:

A member entitled to attend and vote at the above meeting is entitled to appoint one or more proxies to attend and vote on its/his/her behalf. Such proxy need not be a member of the Company. A proxy form, which must be lodged with the Company Secretary, P.O. Box 61711, City Square 00200, Nairobi not later than 48 hours before the time for holding the meeting, is enclosed.

The Kenyan economy grew by 5.4% p.a. in 2014 and this growth trajectory is expected to continue in 2015, with GDP estimated to rise by 6% this year. Whilst, in the last two years, economic growth has been tempered by the slump in tourism, barring any further security-related incidents, this key sector of the Kenyan economy is expected to recover from next year. The investments currently being made in key infrastructure projects such as the standard gauge railway, road networks, etc. are expected to have strong and positive pass-through effects, propelling macro-economic growth in 2015 and beyond. The implementation of other signature projects - such as the Lamu Port South Sudan Ethiopia Transport (LAPSSET) Corridor project- as well as the exploitation of oil discoveries made in Northern Kenya augur well for sustained and high economic growth for Kenya and the Eastern Africa region, over the medium- to long- term.

In the midst of a relatively buoyant economic environment last year, DTB's Group profit before tax for 2014 was KShs 8.5 billion, representing an increase of 18%, compared to KShs 7.2 billion registered in the previous year. This result marks another exceptional year for DTB, with notable growth achieved across all key balance sheet parameters, as well as earnings, on the back of a growing market share of assets and profitability across the East African region. The group asset base went up by 27% to stand at Kshs 212 billion up from Kshs 167 billion in 2013. DTB group's customer deposit base rose by 25%, from Kshs 129 billion in 2013 to Kshs 161 billion over the corresponding period ending December 2014. The loan book for the group grew by a significant 24%, to stand at Kshs 138 billion; the total group operating income rose by 16% to Kshs 16.8 billion up from Kshs 14.5 billion realised over the same period in the previous year.

Against the background of an expanding loan asset base, the Group was successful in confining its non-performing loan portfolio, which stood at Kshs 1.6 billion in December 2014, to 1.1% of the loan book, arguably one of the lowest in East Africa. Notwithstanding the high quality of DTB's loan book, bad debt provisions were enhanced during the year, a reflection of the prudent provisioning practices adopted by the Group.

Following this performance, the Bank's Board of Directors has recommended a dividend rate of 60%, equating to KShs 2.40 per share, compared to KShs 2.10 (or a dividend rate of 52.5%) paid last year. This translates into a 26% increase, year on year, in the amount of dividend payout as the proposed dividends will also be paid on the additional shares allotted to shareholders in September last year, following a rights issue.

To sustain and build on the growth momentum achieved in recent years, the Bank expanded its capital base in 2014 through a rights issue, its fourth since 2006. This time DTB raised additional capital, amounting to Kshs. 3.6 billion. Yet again, the shareholders demonstrated their solid confidence

in - and unswerving loyalty to- the Bank, as reflected by the record- breaking subscription rate of 440% for the issue. It was record- breaking because not only was the DTB 2014 rights issue the highest subscribed in the Bank's history, but also out of the nearly 20 sets of rights issues undertaken by various listed companies at the NSE over the past decade, DTB's 2014 rights issue was the most heavily over- subscribed. In this regard, on behalf of the Board, I would like to record our deepest appreciation to the Shareholders for their unswerving support and continuing confidence in DTB, as demonstrated- yet again- by their remarkable participation in last year's rights issue.

DTB Kenya further augmented its capital base in March 2015 by raising long- term subordinated debt of US\$ 20 million from International Finance Corporation (IFC). This follows a similar amount of subordinated debt capital raised from IFC in 2013.

The enhanced capital base will, over the next few years, enable the Bank to continue to comply with the enhanced capital requirements and capital adequacy ratios stipulated by the Central Bank of Kenya which have become fully effective from January 2015.

DTB Kenya also secured long - term, senior loan facilities during the year from two other development finance institutions: Proparco for an amount of US\$ 30 million and DEG for a sum of US\$ 25 million. These lines of credit have been sourced to finance the borrowing needs of the Bank's core customer base - the SME segment.

DTB will leverage its expanded capital base and long-term borrowings to intermediate financial transactions through a wider network of domestic branches and alternate delivery channels, as well as invest in its existing operations in Eastern Africa and, in due course, in other countries in the Sub-Saharan African region.

In this respect, I am pleased to inform shareholders that over the next one year, the Bank plans to increase its investment in DTB Tanzania and DTB Uganda through participation in the rights issue offerings being planned by both banks. DTB Kenya also plans to invest in a new market, subject to receiving necessary approvals, within the next 12 - 18 months.

These expansion plans by the DTB group in both the domestic markets it is present in, as well as in new, frontier markets in Sub- Saharan Africa, are in line with the Bank's long- term strategic blueprint - dubbed 'DTB Vision 2020'.

In October 2014, the Board undertook a mid-term review of DTB Vision 2020 whose outcome reinforced the Bank's long term objective of re-positioning itself as a Tier 1 bank in all the markets

DTB operates in. This transformational journey is anchored on DTB evolving as a regional, omnichannel bank that is centred on providing a seamless banking experience to its customers, driven by its people, powered by innovation, supported by best-in-class technology and funded to grow in a sustainable manner.

Looking ahead, the Board is confident that as DTB continues to focus on implementing the various strategies and initiatives underpinning DTB Vision 2020, the Bank will not only adapt to its customers dynamically changing needs, but also excel as an agile and responsive player, taking advantage of the emerging opportunities ahead. This will involve leveraging the Bank's traditional channels, such as its extensive branch network as well as, increasingly, the other alternate – mainly digital- channels, including social media. Through the omnichannel banking proposition, DTB aims to enable its customers to interact with the Bank anytime, anywhere and anyhow through a multiplicity of channels, all working together at the same high standards.

My colleagues on the Board have had another busy year, having participated fully and actively in decision - making and monitoring involved in the various new projects as well as the ongoing operations of the Bank. I therefore thank them for their valuable contribution to the positive performance of DTB.

Turning to the composition of the Board, in September 2014, Mr. Ismail Mawji was appointed as a non- executive and independent director of the Bank. I extend a warm welcome to Mr. Mawji to the Board. He is a seasoned accounting professional and brings with him a wealth of experience, having operated an audit and tax consulting firm in Nairobi for several years now. At this year's Annual General Meeting, Mr. Nizar Juma is due for retirement and, although eligible, has decided not to offer himself for re-election. Mr. Juma has been a non- executive director of the Bank for the past 18 years and, during his term of office, DTB Kenya has witnessed significant transformation and growth in all areas of operation. On behalf of my colleagues on the Board, I would like to thank him most profoundly for his invaluable guidance and commitment to DTB and, as we bid him farewell, also wish him a long and happy retirement.

Shareholders will have noted the significant progress which your Bank continues to record. This success has been achieved through the dedication, professionalism and hard work of the management and staff, very ably led by the Group CEO and Managing Director, Mrs. Nasim Devji. On behalf of the Board, I would like to express our sincere appreciation to them for the commendable performance.

I would also like to pay a special tribute to our primary regulator, the Central Bank of Kenya, for its continuous support and valued contribution to the development of a sound banking sector. Our appreciation also goes out to the Capital Markets Authority and

the Nairobi Securities Exchange for playing their respective roles in building confidence in and deepening the Kenyan Capital Markets.

On behalf of the entire DTB family, I would like to take this opportunity to recognise our foremost stakeholders: our customers. We welcome all new customers who joined the Group in 2014 and salute our depositors and borrowers for their unwavering support and confidence. As always, we will strive to repay this confidence by being responsive to the needs of all our customers and by providing an unrivalled service.

Finally, as the Bank strives to meet its Vision 2020 strategic objectives, I must express our deepest gratitude to all of our valued shareholders for the enormous support, confidence and loyalty they continue to extend to the Bank. On behalf of the Bank's Board and Management, I would like to assure them that we will continue to steer the institution forward to add further value to their investment.



Abdul Samji
Chairman

Uchumi wa Kenya ulipata ukuaji wa 5.4% mwaka kufuatia mwingine, wa 2014 na kasi hii ya ukuaji inatarajiwa kuendelea katika 2015, huku Zao Ghafi la Ndani (GDP) likikiwa kupanda kwa 6% mwaka huu. Wakati ambapo, katika muda wa miaka miwili iliyopita, ukuaji wa uchumi umeathirika kutokana na kuzorota kwa shughuli za utalii, kuzuiya matukio yoyote zaidi yahasuyo usalama, sekta hii muhimu ya uchumi wa Kenya inatarajiwa kupata afueni kuanzia mwaka ujao. Uwekezaji unaoendelea hivi sasa katika miradi muhimu ya muundo-msingi kama vile Reli Geji ya Kiwangogezi (yaani Standard Gauge Railway), mtandao wa barabara, n.k. zote hizi zikitarajiwa kuleta athari nzuri na iliyo thabiti, kusukuma mbele uchumi mkuu katika 2015 na hata hapo baadaye. Utekezaji wa miradi mingine mikubwa – kama ule mradi wa muundo-msingi wa ushoroba wa usafiri maarufu kama Lamu Port South Sudan Ethiopia Transport (LAPSSET) - pamoja na uchimbaji wa mafuta yaliyogunduliwa Kaskazini mwa Kenya yanaashiria mazuri kwa uendelezaji na ukuaji mkubwa wa uchumi kwa Kenya na pia katika eneo lote la Afrika Mashariki, katika kipindi cha muhula wa kati - hadi muhula mrefu.

Tukiwa katikati ya mazingira ya kiuchumi yenye uelezi wa kiasi hicho mwaka jana, faida ya Kundi la DTB kabla ya kulipa kodi katika 2014 ilikuwa KShs bilioni 8.5, hii ikiwakilisha ongezeko la 18%, ikilinganishwa na KShs bilioni 7.2 zilizopatikana katika mwaka uliopita. Matokeo haya yanaadhihirisha mwaka mwingine wa mafanikio ya kipekee kwa DTB, kukiwa na ukuaji dhahiri kote katika vigezo muhimu vya mizania ya hesabu, ikijumuishwa mapato, ikiagemezwa kwa mgao wa soko linaloendelea kukua la rasilimali na upataji faida kote katika eneo la Afrika la Mashariki. Huku msingi wa rasilimali ya Kundi ukipanda kwa 27% na kufikia KShs bilioni 212 ikipanda kutoka KShs bilioni 167 katika 2013. Wateja msingi wa kuweka pesa wa Kundi la DTB waliongezeka kwa 25%, kutoka KShs bilioni 129 billion katika 2013 hadi KShs bilioni 161 katika kipindi cha muda kama huo katika mwaka unaomalizikia Disemba 2014. Daftari za mkopo wa Kundi lilizidi kwa ukuaji mkubwa wa 24%, na kusimama kwa KShs bilioni 138; jumla ya mapato ya shughuli ya Kundi ilipanda kwa 15% hadi KShs bilioni 16.6 ikipanda kutoka KShs bilioni 14.4 zilizopatikana katika kipindi kama hicho katika mwaka uliopita.

Dhidi ya usuli wa msingi wa rasilimali ya mkopo unaoendelea kukua, Kundi hili lilifaulu katika juhudi za kubana orodha-fedha ya mikopo isiyotekelezwa, ambayo ilisimamia kwa KShs bilioni 1.6 mnamo Disemba 2014, hadi 1.1% ya jumla ya mikopo, ikiwa pengine ni moja ya viwango vya chini zaidi katika Afrika Mashariki. Bila ya kujali ubora wa juu wa daftari la mkopo la DTB, kinga ya deni viza iliboreshwa katika mwaka tunaazungumzia, hii ikiakisia utaratibu wa busara wa kutekeleza masharti uliyochukuliwa na Kundi hili.

Kufuatia matokeo haya, Bodi ya Wakurugenzi wa Benki hii inapendekeza kiwango cha mgao wa faida wa 60%, hii ikiwa sawia na KShs 2.40 kwa kila hisa, ikilinganishwa na KShs 2.10 (au kiwango cha mgao wa faida wa 52.5%) uliolipwa mwaka jana. Hii ikiwa sambamba na ongezeko la 26%, mwaka kufuatia mwingine, la kiasi cha mgao wa faida kulipwa kama mgao unaoendelezwa

pia utalipwa kwa hisa za ziada zilizogawanywa kwa wamilikihisa katika mwezi wa Septemba mwaka jana, kufuatia toleo maalum la uuzaji hisa za ziada kwa wamiliki hisa.

Ili kudumisha na kuendeleza kasi ya ukuaji uliofikiwa katika miaka ya hivi karibuni, benki hii imepanua shina la mtaji wake katika 2014 kupitia toleo maalum la uuzaji wa hisa za ziada kwa wamiliki hisa, ikiwa ni la nne tangu mwaka wa 2006. Wakati huu DTB iliweza kupata mtaji wa ziada, wa kiasi cha KShs. Bilioni 3.6. Kwa mara nyingi tena, wamiliki hisa walionyesha matumaini yao thabiti – na imani iliyo imara – katika Benki hii, kama inavyoakiwa na kiwango cha kuvunja rekodi cha usajili cha 440% kwa toleo hilo la hisa za ziada. Ilikuwa ni tukio la kuvunja rekodi sio tu kwa sababu toleo la benki ya DTB la uuzaji hisa za ziada la 2014 lilikuwa na usajili wa kiwango cha juu zaidi katika historia ya Benki hii, bali pia katika mikusanyiko 20 ya uuzaji hisa za ziada iliyotekelezwa na mashirika mbalimbali yaliyosajiliwa katika Soko la Hisa la Nairobi (NSE) katika muongo mmoja uliyopita, toleo la DTB la uuzaji hisa za ziada la 2014 ndiyo lililokuwa na usajili mkubwa kupita kiasi. Kutokana na jambo hili, kwa niaba ya Bodi, ningependa kuripoti hapa shukrani isiyo na kifani kwa wamiliki hisa kwa uungaji mkono wao imara na kwa kuendelea kuwa na matumaini na DTB, kama ilivyodhihirika – kwa mara nyingine – na jinsi walivyojihusisha kikamilifu katika toleo hilo la uuzaji hisa za ziada la mwaka jana.

DTB Kenya iliimarisha zaidi shina la mtaji wake mwezi wa Machi 2015 kwa kuongeza mkopo wake wa muda mrefu wa kiwango cha chini wa US\$ milioni 20 kutoka shirika la International Finance Corporation (IFC). Hii inafuatia kiasi sawa na hiki cha mkopo wa mtaji wa kiwango cha chini uliyochukuliwa kutoka IFC katika 2013.

Shina la huu mtaji uliyoimarishwa, katika muda wa miaka michache ijayo, litawezesha Benki hii kuendelea kutimiza mahitaji ya kuwa na mtaji uliyoimarishwa na wenye uwiano toshelevu kama inavyoshurutishwa na Benki Kuu ya Kenya iliyoanza kutekelezwa kikamilifu kuanzia mwezi wa Januari 2015.

DTB Kenya vile vile ilichukua mkopo mkubwa wa muda mrefu, katika mwaka huo tunaoukariria kutoka kwa mashirika mengine mawili ya utoaji fedha za maendeleo: Proparco wa kiasi cha US\$ milioni 30 na DEG wa kiasi cha US\$ milioni 25. Njia hizi za kupata mkopo zilianzishwa ili kupata fedha za kukidhi mahitaji ya mkopo wa benki kwa sehemu ambayo ndio kiini cha wateja wake – kitengo cha Wajasiria mali wadogo (SME).

DTB itatumia uwezo wake unaotokana na kupanuka kwa shina la mtaji wake na upataji mikopo ya muda mrefu kuani shughuli za kifedha kupitia mtandao mpana wa matawi humu na njia zingine za kuwasilisha huduma, pamoja na kuwekeza katika shughuli zake za kibiashara zinazoendelea katika Afrika ya Mashariki na, hivi karibuni, kwenye maeneo ya nchi zingine za Afrika zilizo karibu na Jangwa la Sahara.

Kutokana na jambo hili, nina furaha kuwaeleza wamiliki hisa kuwa katika kipindi cha mwaka ujao, Benki hii iko na mipango ya kuongezea uwekezaji wake katika DTB Tanzania na DTB Uganda

kupitia kujihusisha katika toleo la uuzaji hisa za ziada kwa wamiliki hisa linaloendelea kupangwa na benki zote mbili. DTB Kenya pia iko na mpango wa kuwekeza katika soko jipya, kwa kuzingatia upokeaji idhini unaohitajika, katika muda wa miezi 12 - 18 ijayo.

Mipango hii ya upanuzi ya Kundi la DTB kote kuwili katika masoko ya humu ndani tuliyomo hivi sasa, pamoja na masoko mapya nje ya mipaka, katika nchi za Afrika zilizo karibu na Jangwa la Sahara, ikiwa sambamba na malengo ya kimkakati ya muda mrefu ya benki hii – yaliyopewa jina 'Ruwaza ya DTB ya 2020'.

Mnamo Octoba 2014, Bodi hii ilichukua hatua za mapitio ya muda wa kati ya Ruwaza ya DTB ya 2020 ambapo matokeo yake yaliimarisha zaidi ufikiwaji wa malengo yanayoniwa ya muda mrefu ya kujiweka katika nafasi ya benki ya Daraja la 1 ndani ya masoko yote ambako DTB inaendesha shughuli zake.

Safari hii ya mabadiliko inafungamana na DTB kuendelea kubadilika kuwa benki ya eneo hili iliyo na njia mbali mbali za huduma na inayozingatia mno utoaji huduma za kibenki kwa mufaka bila matatizo kwa wateja wake, haya yakitekelezwa na wafanyikazi wake, yakitiliwa nguvu na ubunifu, kusaidiwa na teknolojia ya kiwango bora zaidi na kufadhiliwa ili iendelee kukuwa kwa njia ambayo ni ya kudumu.

Tukitazama siku zijazo, Bodi iko na matumani kuwa DTB itaendelea kulenga katika kutekeleza mikakati yake mbalimbali na mipango iliyoanzisha ya kuimarisha na kufikia Ruwaza ya DTB ya 2020, benki haitajitahidi tu kuchukua na mahitaji ya wateja yake yanayoendelea kubadilika kila kukicha, bali pia itazidi kujiboresha kama mhusika aliye rahisi kuitika, kunufaika na zinazojitokeza fursa katika siku zinazokuja. Hii itahusisha kutumia kama nyenzo njia zake za jadi za utoaji huduma, kama vile mtandao wake mpana wa matawi pamoja na njia zingine ibuka, njia zingine mbadala – hasa zaidi njia za kidijitali, ikijumuisha mtandao wa kijamii. Kupitia njia hizi nyingi za utoaji huduma za kibenki, DTB inanua kuwawezesha wateja wake kuwasiliana na benki wakati wowote ule, mahala popote walipo na kwa njia yoyote miongoni mwa njia nyingi zilizopo, zote zikifanya kazi pamoja kwa njia ile ile ya ubora wa hali juu.

Washirika wenzangu katika Bodi wamekuwa na mwaka mwingine uliyojaa shughuli nyingi, walipohusika kabisa na kikamilifu katika shughuli ya maamuzi na usimamizi uliyohitajika katika miradi mbali mbali mipya pamoja na shughuli za kila siku za Benki hii. Kwa hivyo nawashukuru kwa mchango wao wa kuthaminika katika matokeo haya bora ya DTB.

Nikigeukia wanachama wanaounda Bodi, katika mwezi wa Septemba 2014, Bw. Ismail Mawji aliteuliwa kama mkurugenzi asiye-mtendaji na mkuregenzi huru wa benki hii. Namnyooshea mkono wa pongezi Bw. Mawji na kumkaribisha katika Bodi. Ni mtu aliyebobea katika taaluma ya uhasibu na anatuletea uzoefu wake wa maana, kwani aliwahi kumiliki na kusimamia kampuni ya Ukaguzi wa hesabu na masuala ya kodi hapa jijini Nairobi kwa miaka mingi. Katika Mkutano huu Mkuu wa Mwaka, Bw. Nizar

Juma ambaye anastahili kustaafu, ameamua kujiondoa mwenyewe kutoteuliwa tena. Bw. Juma amekuwa mkurugenzi asiye-mtendaji wa benki hii kwa muda wa miaka 18 iliyopita na, katika muda wake wa kushikilia hatamu hiyo, DTB imeshuhudia mabadiliko makubwa na ustawi katika vitengo vyake vyote vya utendakazi. Kwa niaba ya washirika wenzangu katika Bodi, ningependa kumpa shukrani zangu za dhati kwa uongozi wake mwema usio kifani na kujitolea kwake DTB na, wakati tunapompungia mkono wa kwaheri, vile vile tunamtakia maisha marefu ya furaha wakati wa kustaafu kwake.

Wamiliki hisa mumesuhudia wenyewe maendeleo makubwa ambayo Benki yenu imekuwa ikiyafikia. Mafanikio haya yameweza kufikiwa kutokana na kujitolea, taaluma na juhudi ya kazi ya wasimamizi na wafanyikazi, chini ya uongozi wenye ustadi kutoka kwa Afisa Mkuu Mtendaji na Mkurugenzi Mkuu, Bi. Nasim Devji. Kwa niaba ya Bodi hii, ningependa kuwatolea wote shukrani zangu za dhati kwa matokeo bora ya kusifika.

Vilevile, ningependa kutoa shukrani maalum kwa mthibiti kanuni wetu mkuu, Benki Kuu ya Kenya, kwa usaidizi wake wa kudumu na mchango wa kuthaminika katika ustawi wa sekta ya benki iliyo katika hali bora. Shukrani zetu pia zinakwenda kwa Mamlaka ya Soko la Mtaji (CMA) na Soko la Hisa la Nairobi (NSE) kwa kutekeleza majukumu yao ya kuongeza matumaini na kupanua zaidi Soko la Mtaji la Kenya.

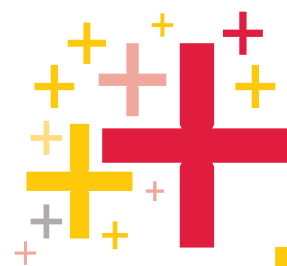
Kwa niaba ya familia yote ya DTB, ningependa kuchukua fursa hii kwanza kabisa kuwatambua washika dau wetu wakuu: wateja wetu. Tunawakaribisha kwa moyo mkunjufu wateja wote wapya waliojiunga na Kundi hili katika 2014 na nawashukuru wale wanaoweka pesa na sisi pamoja na wakopaji wetu kwa uungaji mkono wao usiyoyumba na matumaini yako kwetu. Kama ilivyo kila wakati, tutafanya kila juhudi kuwatekelezea matumaini hayo kwa kuweza kuwaitikia na kukidhi matarajio ya wateja wetu wote na kwa kuwapa huduma bora na ya kipekee.

Kutamatisha, wakati Benki hii inapoendelea kujitahidi kufikia malengo yake ya kimkakati ya Ruwaza ya 2020, ningependa hapa kutoa shukrani zangu za dhati kwa wamiliki hisa wetu wa thamani kwa usaidizi wao mkubwa, matumaini na uaminifu wanaoendelea kutoa kwa Benki hii. Kwa niaba ya Bodi ya Wakurugenzi wa Benki hii, ningependa kuwahakikishia kuwa tutaendelea kuongoza na kupeleka mbele shirika hili na kuongeza thamani kwenye uwekezaji wao.

Abdul Samji
Mwenyekiti

Taarifa iliyoko hapa juu ni tafsiri ya Mwenyekiti iliyoko ukurasa wa 16-17. Iwapo patatokea utata wowote katika tafsiri ya maana halisi ya maneno yaliyotumika, basi tafsiri ya kingereza ndiyo itakayotawala.

The text set above is a Kiswahili translation of the Chairman's Statement, which appears in pages 14-15. In the event of any dispute in the interpretation of the Kiswahili version, the English version shall be the authoritative version.



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Corporate governance, defined as the system by which companies are directed and controlled, continues to be a Board priority, as directors are increasingly required to demonstrate and report to the Bank's stakeholders about the procedures, systems and controls they have put in place to achieve results, improve accountability and prevent malpractice or fraud.

In recent years various recommendations have been made in several legal and professional publications, in an attempt to determine the most appropriate way for companies to be structured to achieve the highest standards of corporate governance. The Board of Directors of the Bank is committed to full compliance of all relevant laws, the "Guidelines on Corporate Governance Practices by Public Listed Companies in Kenya" issued by the Capital Markets Authority, the Central Bank of Kenya (CBK) Prudential Guidelines and the Bank's internal policies on corporate governance.

The Board is responsible for the governance of the Bank and is committed to ensuring that its business and operations are conducted with integrity and in compliance with the law, internationally accepted principles and best practices of corporate governance and business ethics. In this respect, the Board confirms that the Bank complies with all relevant local legislation, including the provisions of the Banking Act and the Prudential Guidelines issued by the CBK.

BOARD OF DIRECTORS

The Board fulfills its fiduciary obligations to the shareholders by maintaining control over the strategic, financial, operational and compliance issues of the Bank. Whilst the Board provides direction and guidance on strategic and general policy matters and remains responsible for establishing and maintaining overall internal controls over financial, operational and compliance issues, it has delegated authority to the Bank's Managing Director to conduct the day-to-day business of the Bank.

The Board consists of ten non-executive directors (including the Chairman) and one executive director (the Managing Director). Board members possess extensive experience in a variety of disciplines, including banking, business and financial management, all of which are applied in the overall management of the Bank. All non-executive directors are subject to periodic retirement and re-election to the Board, in accordance with the Bank's Articles of Association.

The Board meets at least once every quarter, and has a formal schedule of matters reserved for it. The directors are given appropriate and timely information to enable them to maintain full and effective control over strategic, financial, operational and compliance issues.

Board Remuneration

The remuneration of all directors is subject to regular monitoring to ensure that levels of remuneration and compensation are appropriate. Non-executive directors are paid an annual fee in addition to a sitting allowance for every meeting attended. They are not eligible for membership of the pension scheme and do not participate in any of the Bank's bonus schemes.

Details of the directors' fees for the non-executive directors and remuneration of the executive directors paid in 2014 are set out on page 89.

Directors' Shareholding

None of the directors at the end of year 2014 held shares in their individual capacity that were more than 1% of the Bank's total equity.

Business transactions with the directors or their related parties are disclosed on pages 88 and 89.

The Board has set up various Board Committees to supplement its functions. These include:

Board Executive Committee ("BEC")

The membership of the BEC comprises of the Chairman of the Board and five other non-executive directors. The BEC is the link between the Board and management and assists the Board in reviewing and overseeing the operational and financial matters of the Bank during the intra-meeting periods, which then assists management discharge its duties and responsibilities for the day-to-day business of the Bank. The BEC meets at least once a quarter.

Board Nomination and Human Resource Committee ("BNHRC")

The membership of the BNHRC comprises of the Chairman of the Board and five other non-executive directors. The BNHRC is responsible for proposing new nominees for directorship to the Board, assessing the performance and effectiveness of directors and ensuring, through annual reviews, that the Board composition reflects an appropriate mix of skills and expertise required. The BNHRC is also mandated to oversee all human resources matters on behalf of the Board and recommend to the full Board the remuneration and incentives for the executive directors and senior management. The BNHRC meets at least once a quarter.

Board Audit and Compliance Committee ("BACC")

The membership of the BACC comprises of five non-executive directors. The BACC meets at least once every quarter and is mandated to raise the standards of corporate governance by continuously improving the quality of financial reporting, strengthening the control environment and the effectiveness of the internal and external auditing functions. In addition to advising the Board on best practice, the BACC also monitors management's compliance with relevant local legislation, regulations and guidelines issued by regulatory bodies, as well as the Bank's laid-down policies and procedures.

Board Risk Management Committee ("BRMC")

The membership of the BRMC comprises six non-executive directors. The BRMC meets at least once every quarter and its responsibilities include ensuring quality, integrity, effectiveness and reliability of the Bank's risk management framework except for credit risk management which is reviewed by the Board Credit Committee. It is also charged with setting out the nature, role, responsibility and authority of the risk management function of the Bank and defines the scope of the risk management work and ensures that there are adequate risk policies and strategies in place to effectively identify, measure, monitor and appropriately mitigate the various risks which the Bank is exposed to from time to time.

Board Credit Committee ("BCC")

The membership of the BCC comprises of six non-executive directors. It formally meets at least once every quarter. Its primary purpose is to oversee and monitor the credit function of the Bank and further to ensure that it is professionally and effectively managed for business growth and in compliance with internal policy and external and statutory regulations.

Board Information Technology Committee ("BITC")

The membership of the BITC comprises three non-executive directors. The BITC meets at least once every quarter and its responsibilities include ensuring quality, integrity, effectiveness and reliability of the Bank's ICT risk management framework.

Board and Director Evaluation

In line with the requirements of the Bank's Corporate Governance Policy and the relevant Prudential Guideline issued by the CBK, each member of the Board (including the Chairman) conducts a peer as well as self- evaluation of the Board.

Attendance of Board Meetings

The attendance of Board Meetings by the Directors in 2014 is tabulated below:

Name of Director	BOARD	BNHRC	BEC	BCC	BRMC	BACC	BITC	EGM	AGM
Abdul Samji	5/5	4/4	4/4	4/4	-	-	-	1/1	1/1
Nasim Devji	5/5	-	-	-	-	-	-	1/1	1/1
Pamella Ager	5/5	1/1**	4/4	4/4	4/4	-	-	1/1	1/1
Moez Jamal	5/5	-	-	-	4/4	-	4/4	1/1	1/1
Nizar Juma	3/5***	-	-	-	-	-	-	1/1	1/1
Irfan Keshavjee	5/5	4/4	4/4	4/4	2/2**	4/4	4/4	1/1	1/1
Zakir Mahmood	5/5	-	-	-	3/4***	4/4	-	1/1	1/1
Ismail Mawji	2/2*	1/1*	1/1*	1/1*	-	2/2*	-	-	-
Amin Merali	5/5	1/4***	1/4***	1/4***	-	4/4	-	0/1***	1/1
Mwaghazi Mwachofi	5/5	-	-	-	4/4	4/4	-	1/1	1/1
Jamaludin Shamji	5/5	4/4	4/4	4/4	4/4	-	4/4	1/1	1/1

KEY:

- Signifies that the subject Director is not a member of the indicated committee

*Appointed on 2 September 2014

**Appointed to the committee on 30 September 2014

***Signifies that the subject Director was absent with apology

INTERNAL CONTROL SYSTEMS

The Bank has well defined written policies and procedures to ensure that best practices are followed in conducting the day-to-day operations and financial reporting as well as in implementing strategic action plans approved by the Board. A well-structured organisation chart ensures that there is adequate segregation of duties. Structures and systems have been defined in the Bank's policies and procedures to facilitate complete, accurate and timely execution of transactions, operations and commitments and the safeguarding of assets.

The DTB Group's business performance trends, forecasts and actual performance against budgets and prior periods are closely monitored and regularly reported to the Board and senior management. Financial information is prepared using appropriate accounting policies, which are applied consistently.

To assist management in fulfilling its mandate and to ensure compliance with the laid-down policies and procedures, various committees have been established. The roles, responsibilities and composition of some of the key management committees are given below:

Management Credit Committee ("MCC")

In accordance with the Bank's Credit Policy, the MCC, which reports to the BCC, is chaired by the Managing Director and comprises four other senior management staff. It meets regularly to review and approve the Bank's credit applications, within pre-defined Board-approved limits. Depending on the level of credit limits applied for, credit applications are recommended by the MCC for consideration by the BCC.

Assets and Liability Committee ("ALCO")

The ALCO, which reports to the BRMC, is chaired by the Managing Director and has nine other members drawn from the Bank's senior management staff. The ALCO, which meets regularly, is mandated to optimise returns, whilst prudently managing and monitoring the assets and liabilities of the Bank. The ALCO is responsible for controlling and managing the Bank's interest rate risk, currency risk and liquidity risk, in addition to ensuring compliance with the Bank's Investment Policy, laid down by the Board, and statutory requirements relating to liquidity, foreign exchange exposure and cash ratio requirements.

Operations Risk Committee ("ORCO")

The ORCO reports to the BRMC and is chaired by the Managing Director and has ten other members drawn from the Bank's senior management staff. The ORCO, which meets at least once each quarter, is responsible for identifying major areas of business operations prone to operational risks, recommending to the BRMC and implementing suitable policy guidelines for managing and mitigating operational risk and reviewing audit irregularities relating to operations.

Compliance and Audit Coordination Team ("CACT")

The CACT, which reports to the BACC and BRMC, is chaired by the Managing Director and has seven other members drawn from the Bank's risk, compliance, internal audit and branch monitoring functions. CACT meets once every month in line with its Board approved Terms of Reference. The CACT provides a framework to ensure that the four respective functions are effective in coordinating and complementing their duties and optimising on synergies.

IT Steering Committee ("ITSC")

The ITSC, which reports to the BRMC is chaired by the Managing Director and has seven other members drawn from the Bank's senior management staff. The ITSC meets once every quarter and is charged with the responsibility of ensuring that IT is operating in a manner that meets the needs of the business and that the IT Strategy is aligned to the Bank's overall Business Strategy. The ITSC's main functions also include recommending to the Board the business strategy for IT and assigning priorities to IT projects that are to be implemented by the Bank.

Product Committee ("PC")

The PC, which is chaired by the Managing Director, has eight members drawn from the senior management who are stakeholders in business and support functions. The PC's main function is the determination and implementations of new products and regular review of the Bank's product portfolio. The PC meets every six weeks and reports to BRMC.

Business Development Management Committee ("BDMC")

The BDMC is a forum for the development and implementation of key business development strategies that the Bank undertakes to ensure business targets are achieved and maintained in line with dynamic market trends, the Bank's mission, vision and values, as well as the prevailing regulatory framework. All the Bank's business unit heads are mandatory members of the BDMC which provide key leadership in driving the business development agenda for the Bank that would efficiently serve to benefit and ensure retention of the Bank's customer relationships. The BDMC meets at least once monthly and reports to the Managing Director.

Human Resources Management Committee ("HRMC")

The principal objective of the HRMC is the review and recommendation of appropriate actions in respect of Human Resource (HR) policies regarding staff incentives, remuneration, compensation and benefits, promotions, recruitment, training and development, staff appraisal and any other strategic HR functions requiring major policy decisions that will ensure overall efficient management of HR functions at the Bank. The HRMC meets at least once quarterly and reports to the Managing Director.

Outsourcing Committee ("OC")

The OC is vested with the responsibility of looking after all outsourcing activities. The responsibility of the committee includes determining and approving the activities or services that can be outsourced by the Bank, evaluating the risks and materiality of all existing and prospective outsourcing, based on the framework approved by the Board and reviewing the business case for each proposed outsourcing. The OC meets at least once quarterly and reports to the Managing Director.

RELATIONS WITH SHAREHOLDERS

The Board recognises the importance of good communication with all shareholders. The Annual General Meeting (AGM) as well as published annual reports and financial statements are used as an opportunity to communicate with all shareholders. The Bank always gives its shareholders due notice of the AGM as defined in its Memorandum and Articles of Association and in compliance with the Companies Act.

Shareholders have direct access to the Bank, its Company Secretary and the Shares Registrar who respond to the correspondence received from the shareholders on a wide range of issues.

SHAREHOLDING STRUCTURE

The distribution of issued share capital of the Bank as at 31 December 2014 was as follows:

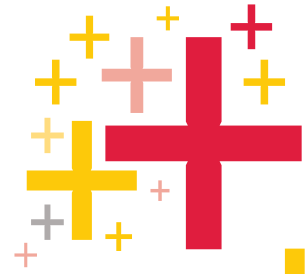
Range	Number of shareholders	Number of shares held	% Shareholding
Up to 500 shares	3,131	588,928	0.24
501 – 5,000 shares	4,748	10,729,149	4.43
5,001 – 10,000 shares	1,434	10,814,458	4.47
10,001 – 100,000 shares	1,720	43,672,019	18.04
100,001 – 1,000,000 shares	156	40,698,857	16.81
Over 1,000,000 shares	15	135,607,694	56.01
Total	11,204	242,110,105	100.00

SHAREHOLDERS PROFILE

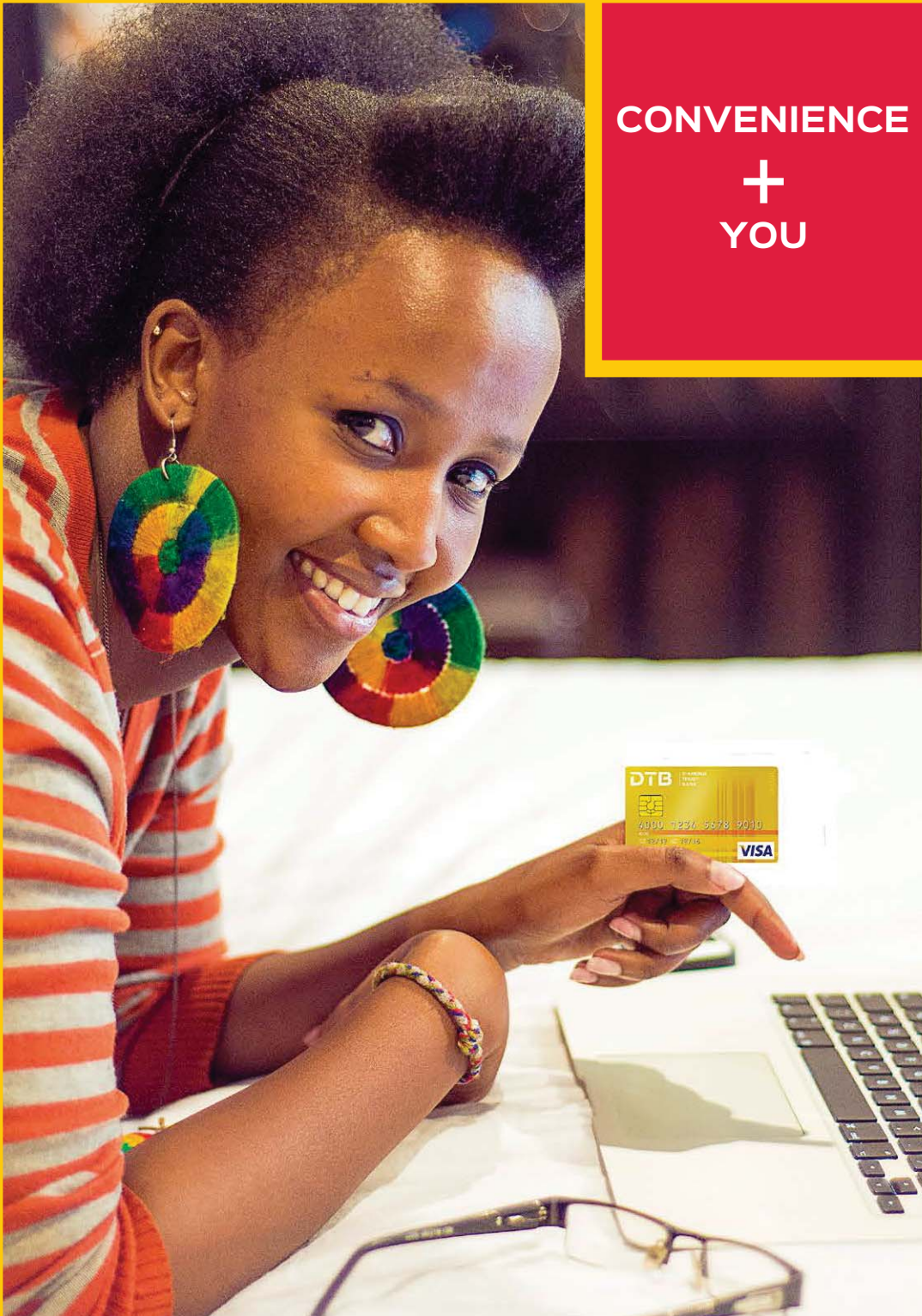
	Number of shareholders	Number of shares held	% Shareholding
Local Individuals	5,371	31,637,264	13.07
Local Institutions	862	75,051,885	31.00
Foreign Individuals	2,173	22,676,040	9.37
Foreign Institutional	29	97,966,850	40.46
East African Individuals	2,736	12,981,149	5.36
East African Institutions	33	1,796,917	0.74
Total	11,204	242,110,105	100.00

The ten largest Shareholders of the Bank and their respective holdings as at 31 December 2014 were as follows:

Name	Number of shares	% Shareholding
Aga Khan Fund For Economic Development	41,936,579	17.32
Habib Bank Limited	28,980,677	11.97
The Jubilee Insurance Company of Kenya Limited	25,166,474	10.39
Standard Chartered Nominees A/C KE18965	9,891,004	4.09
Standard Chartered Nominees A/C KE18972	6,734,910	2.78
Standard Chartered Nominees a/c A/C KE11752	4,473,772	1.85
The Diamond Jubilee Investment Trust (U) Limited	3,489,488	1.44
Standard Chartered Nominees A/C KE18986	2,578,259	1.06
Craysell Investments Limited	2,418,919	1.00
Mr. Amin Nanji Juma	2,234,702	0.92



CONVENIENCE
+
YOU



The Bank is committed to its vision of 'enabling people to advance with confidence and success'. This vision is extended to the Bank's corporate social responsibility (CSR) programme, which outlines the Bank's continued commitment to improve the living conditions and opportunities available to the disadvantaged in communities it operates in. As such, the Bank has chosen three pillars which embody its pledge to social and environmental concerns: Education, Health and Environment.

(a) Education:

The Bank's CSR activities are geared towards improving the quality of basic education by ensuring better early care and learning environments for young children, increased access to education, lowering the school drop-out rate, and raising the levels of academic achievements.

(b) Health:

The Bank has a specific focus on improving the health status of vulnerable groups - especially women and children by helping to develop ways to enable disadvantaged communities, both rural and urban, to acquire the knowledge and skills needed to protect and promote good health.

(c) Environment:

The Bank continuously endeavors to ensure effective social and environmental management practices in all its activities, products and services. Further, it is committed towards ensuring that its customers comply with the applicable legislation on environment, health, safety and social issues. These pillars reflect the Bank's values in meeting its social and environmental responsibilities. The initiatives taken and activities conducted in 2014 with regard to these pillars are outlined below:



Kenyatta National Hospital – Nairobi



DTB's Ronald Ngala Street branch staff visited the children's cancer ward at Kenyatta National Hospital, the region's largest referral hospital late last year. The branch staff spent some time with the children, shared a meal with them, and donated a variety of items including children's reading books and toys.



Mater Heart Run 2014 – Nairobi

The Mater Heart Run is one of the most recognised and noble annual events in the Kenyan calendar. Kenyans from all walks of life come together to support this worthy cause, which helps raise funds to finance heart operations for children suffering from heart conditions. DTB donated Shs.100,000 towards this initiative and 100 staff members participated in the run.

Mpeketoni victims – Lamu

DTB's Lamu branch staff collectively raised money which they put towards assisting the people of Mapenya Village, Mpeketoni, who were affected after the horror attacks which took place in the area. The money was used to buy food stuff for the people, out of which 27 families benefitted from this initiative.



St. Joseph Shelter of Hope – Voi

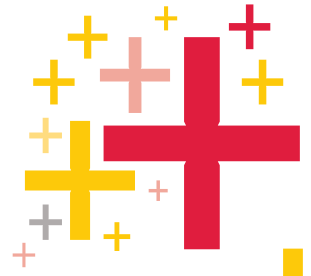


DTB's Voi branch staff visited St. Joseph Shelter of Hope which is a home for orphans and vulnerable children in Voi, Taita Taveta county. The branch staff read books to the children during the time they spent together, and donated various items to the home.

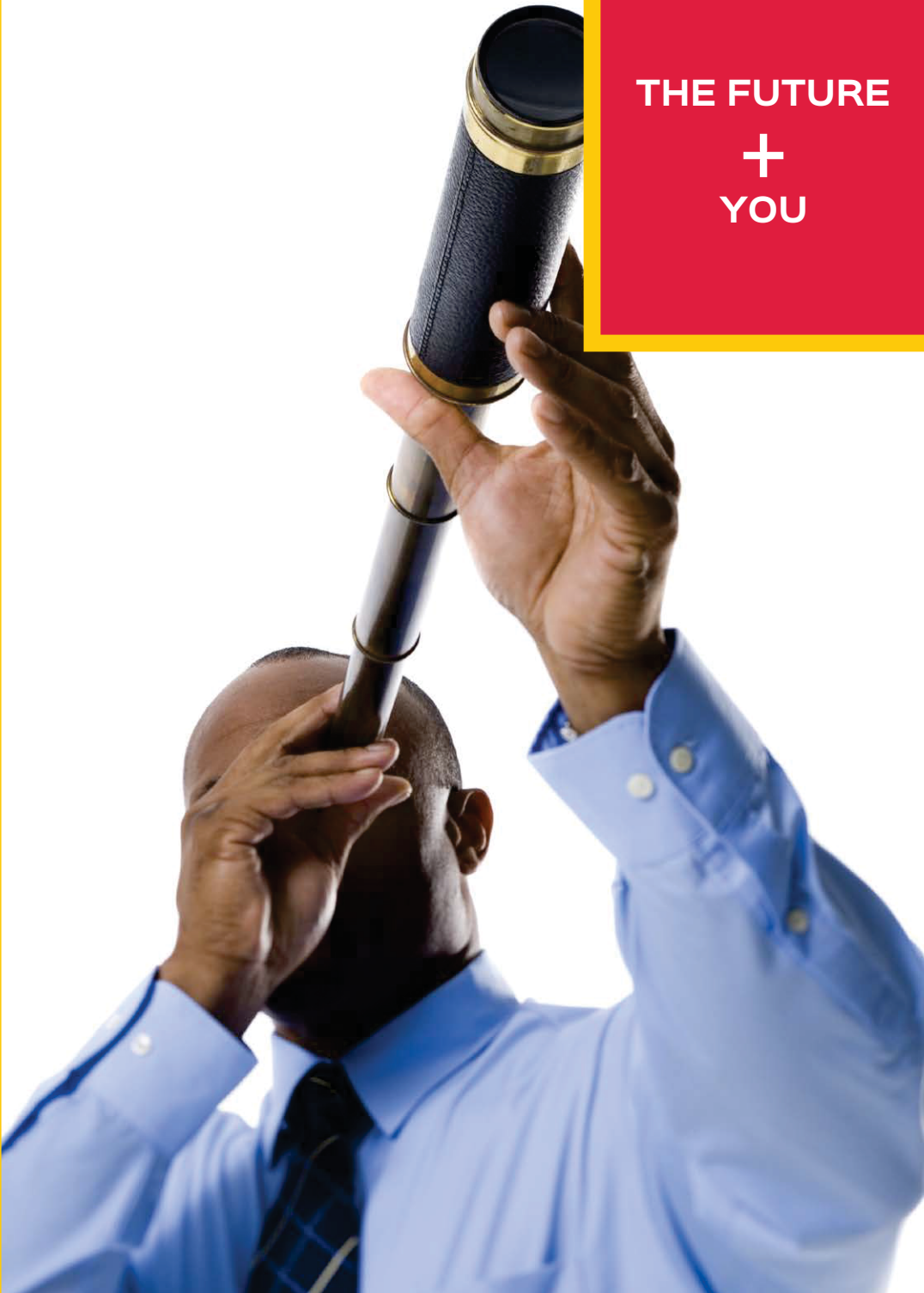
Faith Children's Home

DTB's Tom Mboya Street branch staff visited Faith Children's Home which is an orphanage located in Embakasi. The staff spent some time with the children at the home and donated much needed food stuffs, amongst other items for the children.





THE FUTURE
+
YOU



The directors submit their report together with the audited financial statements for the year ended 31 December 2014, which disclose the state of affairs of Diamond Trust Bank Kenya Limited and its subsidiaries (the 'Group') and of Diamond Trust Bank Kenya Limited (the 'Bank' or 'Company').

INCORPORATION AND REGISTERED OFFICE

The Bank is incorporated in Kenya under the Companies Act and is domiciled in Kenya. The address of its registered office is as disclosed on page 4.

PRINCIPAL ACTIVITIES

The Group is engaged in the business of providing banking, insurance agency and other related services to the general public.

RESULTS AND DIVIDEND

	2014	2013
	Shs'000	Shs'000
Group profit before income tax	8,521,286	7,235,003
Income tax expense	(2,812,856)	(2,004,249)
Profit for the year	5,708,430	5,230,754
Non controlling interests	(624,911)	(474,119)
Profit attributable to owners of the Bank	5,083,519	4,756,635
Dividends	(581,064)	(462,210)
Retained profit for the year	4,502,455	4,294,425

The directors recommend the approval of a final dividend of Shs 581,064,252 (2013: Shs 462,210,202).

DIRECTORS

The present membership of the Board is listed on page 4.

In accordance with Article No. 101 of the Bank's Articles of Association, Messrs Moez Jamal and Jamaludin Shamji retire by rotation and, being eligible, offer themselves for re-election.

In accordance with Article No. 102 of the Bank's Articles of Association, Mr. Ismail Mawji retires by rotation and, being eligible, offers himself for re-election.

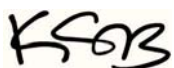
In accordance with Article 100 of the Bank's Articles of Association, Mr. Amin Merali, having attained the age of 70 years, retires by virtue of Articles 100 and 101 of the said Articles and Section 186(2) of the Companies Act (Cap 486), and pursuant to Section 186(5) of the said Act and the said Articles, offers himself for re-election as a director for a further period of one year.

Mr. Nizar Juma, having attained the age of 70 years, retires by virtue of Article 100 of the Bank's Articles of Association and Section 186(2) of the Companies Act (Cap 486) and does not offer himself for re-election as a director.

AUDITOR

The Bank's auditor, PricewaterhouseCoopers continues in office in accordance with the provisions of Section 159(2) of the Companies Act and Section 24(1) of the Banking Act.

By order of the Board



Stephen Kodumbe
Company Secretary

11 March 2015
Nairobi

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and of the Company as at the end of the financial year and of the Group's and Company's profit or loss. It also requires the directors to ensure that the Company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Company. They are also responsible for safeguarding the assets of the Company.

The directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

- i. Designing, implementing and maintaining internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.
- ii. Selecting and applying appropriate accounting policies;
- iii. Making accounting estimates and judgements that are reasonable in the circumstances.

The Directors are of the opinion that the financial statements give a true and fair view of the financial position of the Group and the Company at 31 December 2014 and of the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the directors to indicate that the Company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Approved by the board of directors on 11 March 2015 and signed on its behalf by:



Abdul Samji
Chairman



Nasim Devji
Managing Director

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of Diamond Trust Bank Kenya Limited (the "Company" or "Bank") and its subsidiaries (together the "Group"), as set out on pages 31 to 89. These financial statements comprise the consolidated statement of financial position at 31 December 2014, the statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the statement of financial position of the Company standing alone as at 31 December 2014, statement of profit or loss, statement of comprehensive income, statement of cashflows and the statement of changes in equity of the Company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and such controls as directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of the financial position of the Group and of the Company at 31 December 2014 and of the profit and cash flows of the Group and Company for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Company, so far as appears from our examination of those books;
- iii) the Company's statement of financial position and statement of profit or loss are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Richard Njoroge – P/No 1244.



Certified Public Accountants

Nairobi

11 March 2015

	Notes	Group		Bank	
		2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Interest income	5	20,808,016	17,179,061	14,275,788	12,124,436
Interest expense	6	(7,769,098)	(6,029,770)	(5,255,975)	(4,131,703)
Net interest income		13,038,918	11,149,291	9,019,813	7,992,733
Net fee and commission income	7	2,318,089	2,033,068	1,214,171	1,111,386
Foreign exchange income		1,361,732	1,223,278	806,657	796,330
Other operating income	8	97,030	93,646	66,930	77,731
Operating income		16,815,769	14,499,283	11,107,571	9,978,180
Operating expenses	9	(7,196,517)	(6,222,779)	(4,147,251)	(3,673,299)
Impairment loss on loans and advances	17	(851,210)	(898,812)	(475,973)	(594,069)
Profit from operations		8,768,042	7,377,692	6,484,347	5,710,812
Share of results of associate after tax	24	4,561	3,964	-	-
Finance costs	28 (d)	(251,317)	(146,653)	(177,275)	(144,416)
Profit before income tax		8,521,286	7,235,003	6,307,072	5,566,396
Income tax expense	11	(2,812,856)	(2,004,249)	(2,154,634)	(1,508,499)
Profit for the year		5,708,430	5,230,754	4,152,438	4,057,897
Profit attributable to:					
Owners of the Bank		5,083,519	4,756,635	4,152,438	4,057,897
Non controlling interests		624,911	474,119	-	-
		5,708,430	5,230,754	4,152,438	4,057,897
Earnings per share (Shs per share)					
Basic and diluted	12	21.92	20.97	17.90	17.89
Dividend:					
Proposed final	13	581,064	462,210	581,064	462,210

The notes on pages 38 to 89 are an integral part of these financial statements

	Notes	Group		Bank	
		2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Profit for the year		5,708,430	5,230,754	4,152,438	4,057,897
Other comprehensive income					
<i>Items that may be subsequently reclassified to profit or loss</i>					
Exchange differences on translating foreign operations		(227,790)	266,021	-	-
<i>Items that will not be reclassified to profit or loss</i>					
Fair value changes in equity investment	30	-	43,988	-	43,988
Other comprehensive income for the year, net of tax		(227,790)	310,009	-	43,988
Total comprehensive income for the year		5,480,640	5,540,763	4,152,438	4,101,885
Total comprehensive income attributable to:					
Owners of the Bank		4,948,681	4,902,007	4,152,438	4,101,885
Non controlling interests		531,959	638,756	-	-
		5,480,640	5,540,763	4,152,438	4,101,885

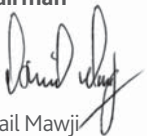
The notes on pages 38 to 89 are an integral part of these financial statements

	Notes	Group		Bank	
		2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Assets					
Cash and balances with Central Banks	14	15,909,805	12,708,759	7,757,832	7,672,267
Government securities	15	35,100,784	25,445,824	22,725,437	17,832,375
Deposits and balances due from banking institutions	16	13,701,450	8,786,032	7,413,484	4,120,113
Loans and advances to customers	17	137,654,551	110,945,439	94,059,260	75,292,211
Amounts due from group companies	18	-	-	302,906	384,072
Other assets	19	1,848,878	1,703,907	1,386,021	1,357,949
Intangible assets - software costs	20	586,043	560,351	339,303	377,522
Property and equipment	21	5,272,266	4,879,246	3,841,858	3,683,783
Intangible assets - goodwill	22	173,372	173,372	-	-
Current income tax		33,246	176,519	-	137,257
Deferred income tax	23	1,244,078	1,130,919	1,054,439	983,626
Investments in subsidiaries and associates	24	14,939	9,983	2,295,254	2,295,254
Total assets		211,539,412	166,520,351	141,175,794	114,136,429
Liabilities					
Customer deposits	25	160,955,609	128,788,398	101,593,506	84,671,817
Deposits and balances due to banking institutions	26	2,392,571	4,718,312	2,176,219	3,734,712
Other liabilities	27	3,510,043	3,496,980	2,220,212	2,299,713
Long term borrowings	28	12,287,227	5,760,214	9,310,392	4,861,910
Current income tax		130,404	12,143	91,051	-
Total liabilities		179,275,854	142,776,047	115,391,380	95,568,152
Shareholders' equity					
Share capital	29	968,440	880,400	968,440	880,400
Share premium	29	7,294,767	3,856,898	7,294,767	3,856,898
Retained earnings	29	19,986,040	15,477,589	16,572,440	12,995,575
Other reserves	30	132,924	273,758	367,703	373,194
Proposed dividend	13	581,064	462,210	581,064	462,210
Equity attributable to owners of the Bank		28,963,235	20,950,855	25,784,414	18,568,277
Non controlling interests		3,300,323	2,793,449	-	-
Total equity		32,263,558	23,744,304	25,784,414	18,568,277
Total liabilities and equity		211,539,412	166,520,351	141,175,794	114,136,429

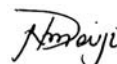
The financial statements on pages 31 to 89 were approved for issue by the Board of Directors on 11 March 2015 and signed on its behalf by:



Abdul Samji
Chairman



Ismail Mawji
Director



Nasim Devji
Managing Director



Stephen Kodumbe
Company Secretary

The notes on pages 38 to 89 are an integral part of these financial statements

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2013

Notes	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
At start of year	880,400	3,856,898	238,991	115,291	11,012,392	418,190	16,522,162	2,104,759	18,626,921
Profit for the year	-	-	-	-	4,756,635	-	4,756,635	474,119	5,230,754
Other comprehensive income	-	-	145,372	-	-	-	145,372	164,637	310,009
Transfer of fair value gain to retained earnings on disposal of equity investments	-	-	(44,627)	-	44,627	-	-	-	-
Transfer to retained earnings	-	-	-	(115,291)	115,291	-	-	-	-
Transfer of excess depreciation	-	-	(6,805)	-	6,805	-	-	-	-
Deferred tax on transfer of excess depreciation	-	-	2,041	-	(2,041)	-	-	-	-
Total comprehensive income	-	-	95,981	(115,291)	4,921,317	-	4,902,007	638,756	5,540,763
Write back of unclaimed dividends	-	-	-	-	6,090	-	6,090	-	6,090
Issue of additional shares to non controlling interests	-	-	-	-	-	-	-	123,360	123,360
Acquisition of interests from non controlling interests in Diamond Trust Bank Uganda Limited.	-	-	(61,214)	-	-	-	(61,214)	(54,437)	(115,651)
Dividends:									
- Final for 2012 paid	-	-	-	-	-	(418,190)	(418,190)	(18,989)	(437,179)
- Proposed for 2013	-	-	-	-	(462,210)	462,210	-	-	-
Total transactions with owners, recognised directly in equity	-	-	(61,214)	-	(456,120)	44,020	(473,314)	49,934	(423,380)
At end of year	880,400	3,856,898	273,758	-	15,477,589	462,210	20,950,855	2,793,449	23,744,304

The notes on pages 38 to 89 are an integral part of these financial statements

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2014

	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
Notes								
At start of year	880,400	3,856,898	273,758	15,477,589	462,210	20,950,855	2,793,449	23,744,304
Profit for the year	-	-	-	5,083,519	-	5,083,519	624,911	5,708,430
Other comprehensive income	-	-	(134,838)	-	-	(134,838)	(92,952)	(227,790)
Transfer of excess depreciation	-	-	(8,566)	8,566	-	-	-	-
Deferred tax on transfer of excess depreciation	-	-	2,570	(2,570)	-	-	-	-
Total comprehensive income	-	-	(140,834)	5,089,515	-	4,948,681	531,959	5,480,640
Rights issue	88,040	3,437,869	-	-	-	3,525,909	-	3,525,909
Dividends:								
- Final for 2013 paid	-	-	-	-	(462,210)	(462,210)	(25,085)	(487,295)
- Proposed for 2014	-	-	-	(581,064)	581,064	-	-	-
Total transactions with owners, recognised directly in equity	88,040	3,437,869	-	(581,064)	118,854	3,063,699	(25,085)	3,038,614
At end of year	968,440	7,294,767	132,924	19,986,040	581,064	28,963,235	3,300,323	32,263,558

The notes on pages 38 to 89 are an integral part of these financial statements

	Notes	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Total Shs'000
For the year ended 31 December 2013								
At start of year		880,400	3,856,898	378,081	115,291	9,229,632	418,190	14,878,492
Profit for the year		-	-	-	-	4,057,897	-	4,057,897
Other comprehensive income		-	-	43,988	-	-	-	43,988
Transfer of fair value gain to retained earnings on disposal of equity investments	30	-	-	(44,627)	-	44,627	-	-
Transfer to retained earnings		-	-	-	(115,291)	115,291	-	-
Transfer of excess depreciation		-	-	(6,068)	-	6,068	-	-
Deferred tax on transfer of excess depreciation		-	-	1,820	-	(1,820)	-	-
Total comprehensive income for the year		-	-	(4,887)	(115,291)	4,222,063	-	4,101,885
Write back of unclaimed dividends		-	-	-	-	6,090	-	6,090
Dividends:								
- Final for 2012 paid	13	-	-	-	-	-	(418,190)	(418,190)
- Proposed for 2013	13	-	-	-	-	(462,210)	462,210	-
Total transactions with owners, recognised directly in equity		-	-	-	-	(456,120)	44,020	(412,100)
At end of year		880,400	3,856,898	373,194	-	12,995,575	462,210	18,568,277

For the year ended 31 December 2014

At start of year		880,400	3,856,898	373,194	12,995,575	462,210	18,568,277
Profit for the year		-	-	-	4,152,438	-	4,152,438
Transfer of excess depreciation		-	-	(7,844)	7,844	-	-
Deferred tax on transfer of excess depreciation		-	-	2,353	(2,353)	-	-
Total comprehensive income		-	-	(5,491)	4,157,929	-	4,152,438
Rights issue		88,040	3,437,869	-	-	-	3,525,909
Dividends:							
- Final for 2013 paid	13	-	-	-	-	(462,210)	(462,210)
- Proposed for 2014	13	-	-	-	(581,064)	581,064	-
Total transactions with owners, recognised directly in equity		88,040	3,437,869	-	(581,064)	118,854	3,063,699
At end of year		968,440	7,294,767	367,703	16,572,440	581,064	25,784,414

The notes on pages 38 to 89 are an integral part of these financial statements

		Group		Bank	
	Notes	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Cash flows from/(used in) operating activities					
Interest receipts		20,034,467	16,397,303	14,042,357	11,373,289
Interest payments		(7,274,656)	(5,940,516)	(5,069,207)	(4,082,761)
Net fee and commission receipts		2,318,089	2,450,384	1,214,171	1,111,386
Other income received		1,465,167	882,906	844,470	831,136
Proceeds from sale of investment securities		-	1,097	-	1,097
Recoveries from loans previously written off	17	19,879	27,762	14,407	7,918
Payments to employees and suppliers		(6,107,063)	(5,477,858)	(3,569,796)	(3,305,201)
Income tax paid		(2,655,689)	(3,063,966)	(1,997,139)	(2,530,635)
Cash flows from operating activities before changes in operating assets and liabilities		7,800,194	5,277,112	5,479,263	3,406,229
Changes in operating assets and liabilities:					
- cash reserve requirement		(2,359,678)	1,145,012	(803,132)	(545,971)
- Government securities		(10,621,096)	(4,441,772)	(4,715,473)	(1,033,791)
- loans and advances to customers		(32,354,776)	(23,899,067)	(19,201,587)	(15,839,509)
- balances due from subsidiary companies		-	-	81,166	47,046
- customer deposits		37,551,985	21,707,801	16,734,921	12,117,757
- other assets		(172,041)	176,977	(28,072)	168,088
- other liabilities		220,066	631,107	(79,501)	370,104
Net cash from/(used in) operating activities		64,654	597,170	(2,532,415)	(1,310,047)
Cash flows used in investing activities					
Purchase of property and equipment	21	(1,210,649)	(2,581,340)	(612,910)	(2,157,417)
Purchase of intangible assets - software costs	20	(178,241)	(469,882)	(102,559)	(311,048)
Purchase of shares in subsidiary		-	-	-	(397,682)
Proceeds from sale of equity investment		-	113,802	-	113,802
Proceeds from sale of property and equipment		13,030	10,165	10,459	7,023
Dividend received		-	3,755	36,816	32,265
Net cash used in investing activities		(1,375,860)	(2,923,500)	(668,194)	(2,713,057)
Cash flows from financing activities					
Proceeds from long term loan		6,999,370	2,572,427	4,966,500	1,740,000
Repayment of long term loan		(540,154)	(627,109)	(530,026)	(627,109)
Finance costs		(178,091)	(145,292)	(165,267)	(141,717)
Net proceeds from rights issue		3,525,909	143,723	3,525,909	-
Dividends paid to equity holders of the bank	13	(462,210)	(418,190)	(462,210)	(418,190)
Dividends paid to non controlling interests		(25,085)	(18,989)	-	-
Net cash from financing activities		9,319,739	1,506,570	7,334,906	552,984
Net increase/(decrease) in cash and cash equivalents		8,008,533	(819,760)	4,134,297	(3,470,120)
Cash and cash equivalents at start of year		9,569,963	10,461,439	3,862,704	7,332,824
Translation difference		198,654	(71,716)	-	-
		9,768,617	10,389,723	3,862,704	7,332,824
Cash and cash equivalents at end of year	34	17,777,150	9,569,963	7,997,001	3,862,704

The notes on pages 38 to 89 are an integral part of these financial statements

1 General information

Diamond Trust Bank Kenya Limited (the "Company"/"Bank") and its subsidiaries (together the "Group") provide banking, insurance agency and other related services to the general public. The Company is incorporated in Kenya under the Companies Act and is domiciled in Kenya. The address of its registered office is as disclosed on page 4. The shares of the Company are listed at the Nairobi Securities Exchange. Diamond Trust Bank Kenya Limited and its subsidiaries operate in Kenya, Tanzania, Uganda and Burundi through the subsidiaries Diamond Trust Insurance Agency Limited, Diamond Trust Bank Tanzania Limited, Diamond Trust Bank Uganda Limited and Diamond Trust Bank Burundi SA respectively.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all periods presented, unless otherwise stated. For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position, and the profit and loss by the statement of profit or loss in these financial statements.

(a) Basis of preparation

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) applicable to companies reporting under IFRS. The financial statements are presented in Kenya Shillings (Shs), rounded to the nearest thousand.

Basis of measurement

The measurement basis applied is the historical cost basis, except where otherwise stated in the accounting policies below. For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Group using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorised into three levels of fair value hierarchy based on the degree to which the inputs to the measurements are observable and the significance of the inputs to the fair value measurement in its entirety:

Level 1 – fair value measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 – fair value measurements are derived from inputs other than quoted prices used in Level 1 that are observable for the assets or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 – fair values measurements are derived from valuation techniques that include inputs for assets or liabilities that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Group and Bank at the end of the reporting period during which the change occurred.

Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the board of directors to exercise its judgement in the process of applying the Group's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

2 Summary of significant accounting policies (Continued)

(a) Basis of preparation (Continued)

Changes in accounting policy and disclosures

(i) New and amended standards adopted by the Group

The following standards have been adopted by the Group for the first time for the financial year beginning on or after 1 January 2014

Standard/ Interpretation	Key Requirements	Applicable for financial years beginning on/after
Amendments to IAS 32, 'Financial instruments: Presentation' on offsetting financial assets and financial liabilities.	This amendment clarifies that the right of set-off must not be contingent on a future event. It must also be legally enforceable for all counterparties in the normal course of business, as well as in the event of default, insolvency or bankruptcy. The amendment also considers settlement mechanisms. As the Group does not have any offsetting arrangements in place, the application has had no impact on the disclosures or on the amounts recognised in the consolidated financial statements.	1 January 2014
Amendments to IAS 39, 'Financial instruments: Recognition and measurement' on the novation of derivatives and the continuation of hedge accounting.	This amendment considers legislative changes to 'over-the-counter' derivatives and the establishment of central counterparties. Under IAS 39 novation of derivatives to central counterparties would result in discountinuation of hedge accounting. The amendment provides relief from discontinuing of hedge accounting when novation of a hedging instrument meets specified criteria. This amendment has no impact on the disclosures or on the amounts recognised in the consolidated financial statements	1 January 2014

ii) New and revised standards and interpretations which have been issued but are not yet effective

The Group has not applied the following revised standards and interpretations that have been published but are not yet effective for the year beginning 1 January 2014.

Standard/ Interpretation	Key Requirements	Applicable for financial years beginning on/after
IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities.	The complete version of IFRS 9 was issued on July 2014. It replaces the guidance in IAS 30 that relates to the classification and measurement of financial instruments. IFRS 9 retains but simplifies the mixed measurements model and establishes three primary measurement categories for financial assets: amortised cost, fair value through OCI and fair value through profit or loss. There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. In 2011, the Group early adopted the earlier released version of IFRS 9 - 'Financial instruments' which required that all financial assets be classified into two measurement categories: those to be measured subsequently at fair value, and those to be measured subsequently at amortised cost. The complete version of IFRS 9 is effective for period beginning on or after 1 January 2018. The Group will assess the full impact of adopting the complete version of IFRS 9, prior to its effective date.	Effective for accounting periods beginning on or after 1 January 2018 with early adoption permitted.

2 Summary of significant accounting policies (Continued)

(a) Basis of preparation (Continued)

Changes in accounting policy and disclosures (Continued)

Standard/ Interpretation	Key Requirements	Applicable for financial years beginning on/after
IFRS 15, 'Revenue from contracts with customers'	This standard deals with revenue recognition and establishes principles for reporting useful information to users of financial statements about the the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue is recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The new standard replaces IAS 11 and IAS 18.	Effective for annual periods beginning on or after 1 January 2017

The above standards are not expected to have a significant impact on the financial statements of the Group for 2014.

(b) Consolidation

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The consolidated financial statements comprise the financial statements of Diamond Trust Bank Kenya Limited and its subsidiaries, Diamond Trust Bank Tanzania Limited, Diamond Trust Bank Uganda Limited, Diamond Trust Bank Burundi S.A, Diamond Trust Insurance Agency Limited and Premier Savings and Finance Limited, made up to 31 December 2014.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair value of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets. Goodwill is initially measured as the excess of the aggregate of the consideration transferred and the fair value of non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognised in profit or loss.

Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is remeasured to its fair value at the date when control is lost, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

2 Summary of significant accounting policies (Continued)

(b) Consolidation (Continued)

All inter-company transactions, balances and unrealised surpluses and deficits on transactions between the Group companies are eliminated. The accounting policies for the subsidiaries are consistent with the policies adopted by the Bank.

Investment in associates

Associates are undertakings in which the Group has between 20% and 50% of the voting rights, and over which the Group exercises significant influence, but which it does not control. Provisions are recorded for any impairment in value.

Investments in associates are accounted for using the equity method of accounting and are initially recognised at cost. Equity accounting involves recognising in the statement of profit or loss the Group's share of the associates' profit or loss for the year. The Group's interest in the associates is carried in the statement of financial position at an amount that reflects its share of the net assets of the associates and includes goodwill at acquisition.

A listing of the Group's associates is shown in Note 24.

Investment in subsidiaries

Investments in the subsidiaries (details of which are disclosed in Note 24) are stated in the Bank's statement of financial position at cost less provision for impairment loss where applicable. Where, in the opinion of the directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

(c) Foreign currency translation

(i) *Functional and presentation currency*

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Bank's functional and presentation currency.

(ii) *Transactions and balances*

Foreign currency transactions are transactions denominated or that require settlement, in a foreign currency. These are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. At the end of each reporting period, non-monetary items measured at historical cost denominated in a foreign currency are translated with the exchange rate as at the date of initial recognition; non-monetary items in a foreign currency that are measured at fair value are translated using the exchange rates at the date when the fair value was determined.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit or loss.

(iii) *Group companies*

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are expressed in Kenya Shillings using exchange rates prevailing at the end of the reporting period. Income and expenses for each statement of profit or loss are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions).

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are reported as 'exchange differences on translation of foreign operations' and are recognised as other comprehensive income and accumulated in the translation reserve in shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the statement of profit or loss as part of the gain or loss on sale.

2 Summary of significant accounting policies (Continued)

(d) Interest income and expense

Interest income and expense are recognised in the statement of profit or loss for all interest bearing investments measured at amortised cost using the effective interest method, in the period in which it is earned/ charged. The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected age of the financial instrument or, when appropriate a shorter period to the net carrying amount of the financial asset or liability. The calculation includes all fees paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

(e) Fees and commission income

Unless included in the effective interest calculation in (d) above, fees and commissions are generally recognised on an accrual basis when the service has been provided. Loan appraisal fees for loans that have been or are likely to be drawn down are deferred and recognised over the period of the loan using the effective interest method. Fees and commission expense are deferred and recognised on an accrual basis when incurred.

(f) Property and equipment

Property and equipment are initially recorded at cost. Leasehold land and buildings are subsequently shown at market value, based on periodic valuations by external independent valuers, less subsequent depreciation and accumulated impairment losses. All other property and equipment are stated at historical cost less depreciation and accumulated impairment losses.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. Repairs and maintenance expenses are charged to the statement of profit or loss in the year in which they are incurred.

Increases in the carrying amount arising on revaluation are credited in other comprehensive income and accumulated in equity in a revaluation reserve. Decreases that offset previous increases of the same asset are charged in other comprehensive income; all other decreases are charged to the statement of profit or loss. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the statement of profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on a straight line basis by reference to the expected useful lives of the assets concerned. The rates used are as follows:-

• Leasehold land and buildings	Period of lease, 20% and 25%
• Leasehold improvements	Period of lease
• Motor vehicles	25%
• Furniture, fittings and equipment	12.5%, 20% and 25%

Property and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount. Gains and losses on disposal of property and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation surplus reserve relating to that asset are transferred to retained earnings.

(g) Intangible assets – software costs

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production or procurement of identifiable and unique software products controlled by the Group, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software implementation consultancy costs and an appropriate portion of relevant overheads. The costs are amortised on a straight line basis over the expected useful life of four years (at the rate of 25% per year).

2 Summary of significant accounting policies (Continued)

(h) Intangible assets – goodwill

Goodwill is the excess of the cost of an acquisition (including costs directly attributable to the acquisition) over the fair value of the Group's share of net identifiable assets of acquired subsidiaries at the date of acquisition. Goodwill is tested annually for impairment as well as when there are indications of impairment. Goodwill arising on acquisition of subsidiaries is stated at cost less accumulated impairment losses.

Goodwill is allocated to cash-generating units or groups of cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose identified in accordance with IFRS 8.

Goodwill is tested annually as well as whenever a trigger event has been observed for impairment by comparing the present value of the expected future cash flows from a cash generating unit with the carrying value of its net assets, including attributable goodwill carried at cost less accumulated impairment losses. Impairment losses on goodwill are not reversed. Gains and losses on the disposal of an entity include the carrying amount of goodwill relating to the entity sold.

(i) Financial assets

The Group classifies its financial assets into the following categories: financial assets at fair value through profit and loss (FVTPL); equity investments designated as at fair value through other comprehensive income (FVTOCI) and financial assets at amortised cost. Management determines the appropriate classification of its investment at initial recognition. The classification of financial instruments can be seen in the table below:

	Class as defined by IFRS 9 and as determined by the group	Subclasses
Financial assets	Financial assets at fair value through profit and loss (FVTPL)	Government securities held for trading
	Equity investments designated as at fair value through other comprehensive income (FVTOCI)	Equity investments
	Financial assets at amortised cost	Loans and advances to customers
		Deposits and balances due from banking institutions
Financial liabilities	Financial liabilities at armortised cost	Government securities held to maturity
		Customer deposits
		Deposits and balances due to banking institutions
		Other liabilities
Offbalance sheet financial instruments	Offbalance sheet financial instruments	Long term borrowings
		Guarantees, acceptances and other financial facilities

(i) Financial assets at fair value through profit and loss (FVTPL)

A financial asset is classified in this category if acquired principally for the purpose of selling in the short term. A financial asset is held for trading if:

- It has been acquired principally for the purpose of selling it in the near term; or
- On initial recognition it is part of a portfolio of identified financial instruments that the Group manages together and has evidence of a recent actual pattern of short-term profit-taking.

2 Summary of significant accounting policies (Continued)

(i) Financial assets (Continued)

(ii) Equity investments designated as at fair value through other comprehensive income (FVTOCI)

At initial recognition, the Group can make an irrevocable election (on an instrument-by-instrument basis) to designate investments in equity instruments as at FVTOCI. Designation at FVTOCI is not permitted if the equity investment is held for trading.

Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the fair value reserve. Where the asset is disposed of, the cumulative gain or loss previously accumulated in the investments revaluation reserve is not reclassified to profit or loss, but is reclassified to retained earnings.

Dividends on these investments in equity instruments are recognised in the statement of profit or loss when the Group's right to receive the dividends is established in accordance with IAS 18, unless the dividends clearly represent a recovery of part of the cost of the investment.

(iii) Financial assets at amortised cost

Financial assets are measured at amortised cost if both of the following conditions are met:

- The asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- The contractual terms of the instrument give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets meeting these criteria are measured initially at fair value plus transaction costs. They are subsequently measured at amortised cost using the effective interest method less any impairment, with interest revenue recognised on an effective yield basis in investment revenue.

Subsequent to initial recognition, the Group is required to reclassify financial assets from amortised cost to FVTPL if the objective of the business model changes so that the amortised cost criteria are no longer met. The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period.

The effective interest rate is the rate that exactly discounts the estimated future cash receipts (including all fees on points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected /life of the financial asset, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.

(iv) Derecognition of financial assets

Financial assets are derecognised when the contractual rights to receive the cash flows from these assets have ceased to exist or the assets have been transferred and substantially all the risks and rewards of ownership of the assets are also transferred (that is, if substantially all the risks and rewards have not been transferred, the Group tests control to ensure that continuing involvement on the basis of any retained powers of control does not prevent derecognition).

(j) Impairment and uncollectability of financial assets

The Group assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

Evidence of impairment may include indications that the debtors or a group of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganisation, and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

For loans and advances in particular, a provision for identified loan impairment is established if there is objective evidence that the bank will not be able to collect all amounts due according to the contractual terms of loans. The amount of the provision is the difference between the carrying amount and the recoverable amount, including amounts recoverable from guarantees and collateral.

2 Summary of significant accounting policies (Continued)

(j) Impairment and uncollectability of financial assets (Continued)

A provision for unidentified loan impairment is established to cover losses that are judged to be present in the lending portfolio at the reporting date, but which have not been specifically identified as such. This provision is based on available historical experience and experienced management's judgement.

When a loan is deemed uncollectible, it is written off against the related provision for impairments. Subsequent recoveries are credited to the provision for loan losses in the statement of profit or loss. If the amount of the impairment subsequently decreases due to an event occurring after the write-down, the release of the provision is credited as a reduction of the provision for impairment in the statement of profit or loss. Loans that are either subject to collective impairment assessment or individually significant and whose terms have been renegotiated are no longer considered to be past due but are treated as new loans. In subsequent years, the renegotiated terms apply in determining whether the asset is considered to be past due.

(k) Financial liabilities

The Group measures financial liabilities initially at fair value (being issue proceeds net of transaction costs incurred). After initial recognition, financial liabilities including customer deposits, balances due to Central Banks and banking institutions and borrowings are measured at amortised cost using the effective interest method. Financial liabilities are derecognised when extinguished.

(l) Sale and repurchase agreements

Securities purchased from Central Bank of Kenya under agreements to resell ('repos') are disclosed as Treasury bills as they are held at amortised cost after they are purchased and are not negotiable/discounted during the tenure. The difference between sale and repurchase price is treated as interest and accrued over the life of the agreements using the effective interest method.

Securities sold subject to repurchase agreement (reverse repos) are classified in the financial statements as pledged assets when the transferee has a right by contract to resell the collateral: the counter liability is included in amounts due to other banks, deposits from banks or balances due to Central Bank as appropriate.

(m) Statutory loan loss reserve

Where impairment losses required by the regulators exceed those computed under IFRS, the excess is recognised as a statutory loan loss reserve and is accounted for as an appropriation of retained earnings. The statutory loan loss reserve is not distributable.

(n) Leases

Assets leased to customers under agreements, which transfer substantially all the risks and rewards of ownership, with or without ultimate legal title, are classified as finance leases. When assets are held subject to a finance lease, the present value of the lease payments, discounted at the rate of interest implicit in the lease, is recognised as a receivable. The difference between the total payments receivable under the lease and the present value of the receivable is recognised as the un-earned finance income, which is allocated to the accounting periods under the pre-tax net investment method to reflect a constant periodic rate of return.

Leaseshold land with periods of over 50 years have been included in property and equipment.

(o) Income tax expense

Current income tax is the amount of income tax payable on the profit for the year determined in accordance with the Kenyan Income Tax Act and in accordance with the tax legislation for the respective subsidiaries. The tax expense for the period comprises current and deferred income tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled. Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

2 Summary of significant accounting policies (Continued)

(p) Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short-term highly liquid investments with maturities of three months or less from the date of acquisition, including: cash and balances with the Central Banks and amounts due from other banks. Cash and cash equivalent exclude the cash reserve requirement held with the Central Banks.

(q) Employee benefits

The Group operates a defined contribution retirement scheme, the assets of which are held in a separate trustee-administered fund. The Group's contributions to the defined contribution scheme are charged to the statement of profit or loss in the year to which they relate. The Group has no further payment obligation once the contributions have been paid. The Group and all its employees also contribute to the National Social Security Fund, operating in the respective countries, which is a defined contribution scheme.

(r) Proposed dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until approved by the shareholders at the Annual General Meeting.

(s) Forward foreign exchange contracts

Forward foreign exchange contracts are carried at their fair value. Forward foreign exchange contracts are initially recognised at fair value, which is equal to cost on the date the contract is entered into, and are subsequently measured at fair value. The fair value is determined using forward exchange market rates at the balance sheet date. Changes in fair value of forward foreign exchange contracts are recognised immediately in the statement of profit or loss.

(t) Acceptances, guarantees and letters of credit

Acceptances, guarantees and letters of credit are accounted for as off-balance sheet transactions and disclosed as contingent liabilities.

(u) Segment reporting

A segment is a distinguishable component of the Group that is engaged in providing products or services within a particular economic environment which is subject to risks and rewards that are different from those of other segments (Geographic segments). Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker is the person or Group that allocates resources to and assesses the performance of the operating segments of an entity. The Group has determined the Board of Directors as its chief operating decision-maker. All transactions between business segments are conducted on commercial terms basis with intra-segment revenue and costs being eliminated at Group level.

3 Critical accounting estimates and judgements in applying accounting policies

The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

(i) Impairment losses on loans and advances

The Group regularly reviews its loan portfolios to assess impairment. In determining whether an impairment loss should be recorded in the statement of profit or loss, the Group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with an individual loan in that portfolio. Judgements may also change with time as new information becomes available. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group. The nature and carrying values of the loans and advances are disclosed in note 17.

(ii) Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

3. Critical accounting estimates and judgements in applying accounting policies (Continued)

(iii) Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy stated in note 2(h). The recoverable amounts from each cash generating unit have been determined based on value in use calculations. These calculations are based on financial budgets approved by the board covering a three year period. The discounts rates applied on the cashflows is based on the local currency lending rates for the respective countries where the subsidiaries are based. The carrying amount of the goodwill and the key assumptions made are set out in note 22.

4 Financial risk management

Introduction

Effective risk management is fundamental to the business activities of the Group. Whilst we remain committed to the objective of increasing shareholder value by developing and growing our business in a way that is consistent with our board-determined risk appetite, we are also cognisant of the need to balance this objective with the interests of depositors, debt holders and our regulators. We seek to achieve an appropriate balance between risk and reward in our business, and continue to build and enhance the risk management capabilities that assist in delivering our growth plans in a controlled environment. Risk management is at the core of the operating structures of the Group. The Group seeks to limit adverse variations in earnings and equity by managing the risk exposures and capital within agreed levels of risk appetite.

Managing and controlling risks, minimising undue concentrations of exposure and limiting potential losses from stress events are all essential elements of the Group's risk management and control framework. The risks are managed through a framework, organisational structure, risk management and monitoring processes that are closely aligned with the activities of the Group and in line with the guidelines given by the Central Bank of Kenya (CBK) or the regulators under which it is operating in other countries.

The Group defines risk as an event or events of uncertainty which can be caused by internal or external factors resulting in the possibility of losses (downside risk). However, the Group appreciates that some risk events may result into opportunities (upside risk) and should therefore be actively sought and enhanced.

The Group operates in an environment of numerous risks as shown below that may cause financial and non-financial results to differ significantly from anticipated objectives. The Group has an enterprise-wide approach to the identification, measurement, monitoring and management of risks faced across the organisation. These risks are classified as follows:

- Credit risk
- Liquidity risk
- Market risks that fall within:
 - Interest rate risk
 - Price risk
 - Foreign exchange risk

The main pillars of the Group's risk management framework are set out below:

(a) Active Board and Senior Management Oversight

The Board and the Senior management bear the responsibility of implementing strategies in a manner that limits risks associated with each strategy. Management is therefore fully involved in the activities of the bank and possess sufficient knowledge of all major business lines to ensure that appropriate policies, procedures, controls and risk monitoring systems are in place and that accountability and lines of authority are clearly delineated.

(b) Adequate Policies, Procedures and Limits

The Group's policies, procedures and limits provide for adequate and timely identification, measurement, monitoring, control and mitigation of the risks posed by its lending, investing, trading, off balance sheet and other significant activities at the business/ functional line and bank-wide levels. These clearly delineate accountability and lines of authority across the Bank's various business activities, and ensure there is a clear segregation between business/ functional lines and the risk function as well as escalate and address breaches of limits.

4 Financial risk management (Continued)

Introduction (Continued)

(c) Adequate Risk Monitoring and Management Information Systems

The Group maintains an effective MIS system that facilitates the Bank's risk monitoring practices and avails risk reports that address all of its material risks for both management and board purposes.

(d) Internal Controls

The Group maintains a system of internal controls consistent to the type and level of risks posed by the nature and scope of its business activities. This also includes clearly delineated lines of authority and responsibility for monitoring adherence to policies, procedures, and limits.

Risk management principles

The following key principles form part of our approach to risk management.

- The Board of directors provides overall risk & capital management supervision of the bank. The Board, through its comprehensive sub-committee structure, oversees risk management, reviews and approves enterprise- wide risk policies and procedures and sets tolerance limits wherever required. The procedures describe the facility types, aggregate facility exposures and conditions under which the Group is prepared to do business.
- The risk management function is independent of the Group's business and operating units. This function which is headed by the Head of Risk Management manages Credit, Market, Reputational, Strategic and Regulatory risks on an integrated basis.
- Various committees at functional level oversee the implementation of risk management policies and procedures. These committees are closely aligned with the structure of the Group's business and operating units.
- Market and liquidity risks are overseen by the Board Risk Management Committee (BRMC) and managed by a well-represented Asset and Liabilities Committee (ALCO). The members of ALCO are the Chief Executive Officer and the heads of Risk, Treasury, Finance and business units.
- The compliance function is a function independent of the Group's business and operating units, reporting to the Board Audit Committee on a quarterly basis. The function, on a pro-active basis, identifies and assesses the compliance and operational risks associated with the Group's business. It helps management accomplish its objectives by addressing the current and prospective risk to earnings or capital arising from violations or on non-conformance with laws, rules, regulations, prescribed practice or ethical standards issued by the Board and the regulator from time to time.
- The Credit and Operational Risk Management committees are responsible for defining and implementation of their respective policies and procedures. The work of these two management committees is overseen by the Board Credit Committee and Board Risk Management Committee respectively.
- Independent review of the effectiveness of the overall risk framework is undertaken by the internal audit function which reports directly to the Board Audit Committee. The Internal audit department independently monitors the effectiveness of the risk management programs and internal controls through periodic testing of the design and operations of processes related to identification, measurement or assessment, monitoring, controlling and reporting of risks.
- External audit has a statutory duty to report its independent opinion on the Group's financial statements to shareholders and acts as a third line of defence.

(a) Credit risk management

Credit risk is the risk of loss due to the failure of a borrower to meet its credit obligations in accordance with agreed contract terms. It arises principally from, but is not limited to, commercial loans and advances, commitments from forward foreign exchange contracts, financial guarantees, letters of credit and acceptances, investments in debt securities and other exposures arising from trading and settlement activities with market counterparties.

Credit risk makes up the largest part of the Group's risk exposures. The Group's credit process is governed by centrally established credit policies and procedures, rules and guidelines with an aim to maintain a well-diversified credit portfolio.

4 Financial risk management (Continued)

Risk management principles (Continued)

(a) Credit risk management (Continued)

Credit risk policies and procedures are reviewed by the management and are approved by the Board. The Group has a system of checks and balances in place around the extension of credit that comprise of:

- an independent credit risk management function;
- multiple credit approvers; and
- independent audit, risk review and compliance functions.

The Group's Credit Policy reflects the Groups' tolerance for risk i.e. credit risk appetite. This, as a minimum, reflects the Groups' strategy to grant credit based on various products, economic sectors, client segments, target markets giving due consideration to risks specific to each target market.

Salient features of the Group's risk approval process include:

- Every extension of credit to any counterparty requires approval by various pre-defined levels of approving authorities as defined in the Credit Policy manual.
- All business units must apply consistent standards in arriving at their credit decisions.
- Every material change to a credit facility requires approval at the appropriate/pre-defined level.

The disbursement of credit facilities at each Group bank is managed by a centralised Credit Administration Department (CAD), reporting to the respective Risk Management function. CAD is also responsible for collateral/documents management including safe-keeping.

The Group monitors its credit portfolio on a continuing basis. Procedures are in place to identify, at an early stage, credit exposures for which there may be a risk of loss. The objective of an early warning system is to address potential problems while various options may still be available. Early detection of problem loans is a tenet of our credit culture and is intended to ensure that greater attention is paid to such exposure. The Bank has an established Debt Recovery Unit to focus on expediting recoveries of problem credits. The Unit negotiates with problem borrowers and recommends restructuring and rescheduling of stuck up loans to the Management, the Board Credit Committee and the full Board. For cases where the possibilities of economically viable means of recovery are exhausted, legal proceedings are initiated.

4 Financial risk management (Continued)

(a) Credit risk management (Continued)

The Group follows the guidelines of the Central Bank of Kenya or the regulators under their respective jurisdictions for the classification/write off procedures relating to problem loans.

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Financial assets that are past due or impaired				
Loans and advances are summarised as follows:				
Neither past due nor impaired	102,468,014	83,432,724	69,655,577	55,255,763
Past due but not impaired	37,221,119	29,442,062	26,082,664	21,573,051
Impaired	1,603,182	1,210,827	1,068,412	972,023
Gross	141,292,315	114,085,613	96,806,653	77,800,837
Less: Provision for impairment of loans and advances				
Identified impairment	(1,450,582)	(1,192,393)	(1,068,412)	(972,023)
Unidentified impairment	(2,187,182)	(1,947,781)	(1,678,981)	(1,536,603)
	137,654,551	110,945,439	94,059,260	75,292,211

All financial assets other than loans and advances are neither past due or impaired.

Loans and advances less than 90 days are not considered impaired unless other information is available to indicate the contrary. The gross amounts of loans and advances that were past due but not impaired were as follows:

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Past due up to 30 days	27,930,685	24,117,645	20,663,643	18,275,593
Past due 31 - 60 days	6,747,458	3,176,698	3,595,214	2,044,618
Past due 61 - 90 days	2,542,976	2,147,719	1,823,807	1,252,840
Total	37,221,119	29,442,062	26,082,664	21,573,051

Collateral, other credit enhancements

Impaired loans and advances are backed by collateral in the form of cash, properties, motor vehicles and corporate and personal guarantees.

Loans and advances that are neither past due nor impaired

The Group classifies loans and advances under this category for those exposures that are up to date and in line with contractual agreements. Such loans would have demonstrated financial conditions, risk factors and capacity to repay that are acceptable. These exposures will normally be maintained largely within approved product programs and with no signs of impairment or distress. These exposures are categorised as normal accounts in line with the regulators' prudential guidelines.

Past due but not impaired

This category includes exposures that are over 1 day (1 - 90 days) past due, where losses may have occurred/ been incurred but have not been identified. These exposures are graded internally as normal (1-30 days) and watch (31-90 days) in line with the regulator's guidelines. Through the management information generated by the core banking application, management is able to monitor indications of impairments through internally designed limit management and past due monitoring systems.

4 Financial risk management (Continued)

(a) Credit risk management (Continued)

Impaired loans and advances

Impaired loans and securities are loans and securities for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan / securities agreement(s). These loans are graded in accordance with the regulator's prudential guidelines and are termed as non-performing loans.

Allowances for impairment

The Group establishes an allowance for impairment losses that represents its estimate of incurred losses in its loan portfolio. The components of this allowance are identified loss component that relates to individually significant exposures, and a collective loan loss allowance in respect of losses that have been incurred but have not been identified on loans subject to individual assessment for impairment.

Settlement risk

The Group is exposed to settlement risk in its dealings with market counterparties (predominantly other financial institutions). These risks arise, for example, in foreign exchange transactions when the Group pays away its side of the transaction to another Bank or other counterparty before receiving payment from the other side. The risk is that the counterparty may not meet its obligation. The risk is mitigated by setting counterparty limits. These limits are set after assessing the financial strength of the concerned counterparties.

(b) Concentrations of risk

A concentration of credit risk exists when a number of counterparties are engaged in similar activities and have similar economic characteristics that would cause their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions. The analysis of credit risk concentrations presented below are based on the economic sector in which they are engaged.

Economic sector risk concentrations within the customer loan and deposit portfolios were as follows:

Group

At 31 December 2014	Gross loans and advances		Credit commitments		Customer deposits	
	Shs'000	%	Shs'000	%	Shs'000	%
Manufacturing	18,810,328	13%	2,426,645	12%	3,245,324	2%
Wholesale and retail trade	31,140,952	22%	3,485,586	17%	14,914,374	9%
Transport and communications	11,258,624	8%	2,776,289	13%	6,188,440	4%
Business and financial services	18,332,143	13%	807,031	4%	40,847,578	25%
Agriculture	8,576,289	6%	168,115	1%	1,469,027	1%
Building, construction and real estate	35,251,073	24%	6,829,970	32%	6,095,249	4%
Retail housing	801,691	1%	134,635	1%	-	0%
Tourism and hotels	8,325,069	6%	2,818,233	14%	2,084,922	1%
Individuals	6,655,206	5%	967,002	5%	76,268,863	48%
Others	2,140,940	2%	194,696	1%	9,841,832	6%
	141,292,315	100%	20,608,202	100%	160,955,609	100%

At 31 December 2013

Manufacturing	12,553,230	11%	1,298,154	10%	3,354,374	3%
Wholesale and retail trade	26,148,008	23%	3,232,551	24%	10,183,855	8%
Transport and communications	10,248,825	9%	1,119,575	8%	4,598,376	4%
Business and financial services	19,070,480	17%	117,992	1%	31,812,397	25%
Agriculture	4,956,284	4%	421,997	3%	1,438,601	1%
Building, construction and real estate	23,799,728	21%	4,894,422	37%	5,764,113	4%
Retail housing	978,973	1%	246,701	2%	-	0%
Tourism and hotels	8,179,597	7%	1,159,385	9%	1,625,719	1%
Individuals	6,184,783	5%	660,551	5%	61,880,836	48%
Others	1,965,705	2%	196,702	1%	8,130,127	6%
	114,085,613	100%	13,348,030	100%	128,788,398	100%

4 Financial risk management (Continued)

(b) Concentration of risk (Continued)

Bank

At 31 December 2014	Gross loans and advances		Credit commitments		Customer deposits	
	Shs'000	%	Shs'000	%	Shs'000	%
Manufacturing	11,757,019	12%	1,808,393	10%	2,252,418	2%
Wholesale and retail trade	15,217,232	16%	2,581,297	15%	6,080,988	6%
Transport and communications	8,416,440	9%	2,302,482	13%	5,288,177	5%
Business and financial services	17,807,566	18%	634,494	4%	28,321,805	28%
Agriculture	5,608,339	6%	87,664	0%	558,622	1%
Building, construction and real estate	26,463,303	27%	6,778,127	38%	4,493,805	4%
Retail housing	778,841	1%	134,635	1%	-	0%
Tourism and hotels	4,769,136	5%	2,664,006	15%	1,557,768	2%
Individuals	5,614,391	6%	631,157	4%	47,498,543	47%
Others	374,386	0%	7,000	0%	5,541,380	5%
	96,806,653	100%	17,629,255	100%	101,593,506	100%

At 31 December 2013

Manufacturing	6,736,797	9%	708,701	7%	2,353,257	3%
Wholesale and retail trade	14,534,722	19%	2,209,519	22%	4,976,823	6%
Transport and communications	7,423,945	10%	855,128	8%	3,851,366	5%
Business and financial services	18,203,610	23%	58,823	1%	21,209,788	25%
Agriculture	2,897,229	4%	159,363	2%	409,194	0%
Building, construction and real estate	15,728,350	20%	4,468,871	43%	4,759,283	6%
Retail housing	943,885	1%	80,235	1%	-	0%
Tourism and hotels	5,598,822	7%	1,142,276	11%	1,127,162	1%
Individuals	5,031,247	6%	457,896	5%	40,774,526	48%
Others	702,230	1%	-	0%	5,210,418	6%
	77,800,837	100%	10,140,812	100%	84,671,817	100%

(c) Market Risk Management

It is the risk of loss due to adverse movements in market rates or prices, such as foreign exchange rates, interest rates and equity prices, in the Group's case. It emanates from the trading activities mainly carried out by treasury and structural positions housed in the banking books.

Market risk management is undertaken by the Treasury function under the supervision of ALCO, while Risk department maintains an overall oversight role.

The Group carries a limited amount of market risk. Tolerance limits for market risk are approved by the Board. The limits are further allocated to the banking and trading books that are monitored at pre-defined frequencies. Risk measurement is currently based on sensitivity analysis and stress testing.

(i) Price risk

The Bank is not exposed to price risk because none of its current investments is in quoted securities at fair value.

NOTES TO THE FINANCIAL STATEMENT (Continued)

4 Financial risk management (Continued)

(c) Market Risk Management (Continued)

(ii) Interest rate risk

Interest rate risk is the risk that an investment's value will change due to a change in the absolute level of interest rates, i.e. the spread between two rates, in the shape of the yield curve, or in any other interest rate relationship.

A substantial part of the Group's assets and liabilities are subject to floating rates, hence are re-priced simultaneously. However, the Group is exposed to interest rate risk as a result of mismatches on a relatively small portion of its fixed rate assets and liabilities. The major portion related to this risk is reflected in the banking book owing to investments in fixed rate treasury bonds. The overall potential impact of the mismatches on the earnings in short-term and economic value of the portfolio in the long-term is not material and is being managed within the tolerance limits approved by the Board.

The table below summarises the Group's exposure to interest rate risks. Included in the table are the Group's assets and liabilities at carrying amounts, categorised by the earlier of contractual re-pricing or maturity dates. The Group does not bear an interest rate risk on off balance sheet items.

Group	Up to 1 month Shs'000	1-3 months Shs'000	3-12 months Shs'000	1-5 years Shs'000	Over 5 years Shs'000	Non-interest sensitive Shs'000	Total Shs'000
At 31 December 2014							
FINANCIAL ASSETS							
Cash and balances with Central Banks	-	-	-	-	-	15,909,805	15,909,805
Government securities	4,352,638	4,118,645	23,490,518	3,138,983	-	-	35,100,784
Deposits and balances due from banking institutions	11,487,167	272,241	-	-	-	1,942,042	13,701,450
Loans and advances to customers	23,149,470	92,567,145	21,937,936	-	-	-	137,654,551
Investment in associate	-	-	-	-	-	14,939	14,939
Other assets	-	-	-	-	-	1,360,634	1,360,634
Total financial assets	38,989,275	96,958,031	45,428,454	3,138,983	-	19,227,420	203,742,163
FINANCIAL LIABILITIES							
Customer deposits	27,615,891	32,498,496	34,382,315	1,831,644	10,335	64,616,928	160,955,609
Deposits and balances due to banking institutions	2,109,831	199,536	83,204	-	-	-	2,392,571
Long term borrowings	-	-	12,280,218	-	-	7,009	12,287,227
Other liabilities	-	-	-	-	-	2,909,604	2,909,604
Total financial liabilities	29,725,722	32,698,032	46,745,737	1,831,644	10,335	67,533,541	178,545,011
Interest sensitivity gap	9,263,553	64,259,999	(1,317,283)	1,307,339	(10,335)	(48,306,121)	25,197,152

NOTES TO THE FINANCIAL STATEMENT (Continued)

4 Financial risk management (Continued)

(c) Market risk management (Continued)

(ii) Interest rate risk (Continued)

Group (Continued)	Up to 1 month Shs'000	1-3 months Shs'000	3-12 months Shs'000	1-5 years Shs'000	Over 5 years Shs'000	Non-interest sensitive Shs'000	Total Shs'000
At 31 December 2013							
Total financial assets	29,279,115	96,355,506	14,554,591	3,085,166	-	15,875,539	159,149,917
Total financial liabilities	24,238,830	29,865,255	35,388,377	1,176,575	10,335	51,490,644	142,170,016
Interest sensitivity gap	5,040,285	66,490,251	(20,833,786)	1,908,591	(10,335)	(35,615,105)	16,979,901

Bank

At 31 December 2014

FINANCIAL ASSETS

Cash and balances with Central Bank of Kenya	-	-	-	-	-	7,757,832	7,757,832
Government securities	3,987,452	2,613,754	14,894,111	1,230,120	-	-	22,725,437
Deposits and balances due from banking institutions	7,413,484	-	-	-	-	-	7,413,484
Loans and advances to customers	194,988	71,952,463	21,911,809	-	-	-	94,059,260
Investments in subsidiaries and associates	-	-	-	-	-	2,295,254	2,295,254
Amounts due from group companies	-	-	302,906	-	-	-	302,906
Other assets	-	-	-	-	-	1,108,089	1,108,089
Total financial assets	11,595,924	74,566,217	37,108,826	1,230,120	-	11,161,175	135,662,262

NOTES TO THE FINANCIAL STATEMENT (Continued)

4 Financial risk management (Continued)

(c) Market risk management (Continued)

(ii) Interest rate risk (Continued)

Bank (Continued)	Up to 1 month Shs'000	1-3 months Shs'000	3-12 months Shs'000	1-5 years Shs'000	Over 5 years Shs'000	Non-interest sensitive Shs'000	Total Shs'000
FINANCIAL LIABILITIES							
Customer deposits	22,597,171	25,188,027	15,495,299	998,178	10,335	37,304,496	101,593,506
Deposits and balances due to banking institutions	2,176,219	-	-	-	-	-	2,176,219
Long term borrowings	-	-	9,310,392	-	-	-	9,310,392
Other liabilities	-	-	-	-	-	1,907,788	1,907,788
Total financial liabilities	24,773,390	25,188,027	24,805,691	998,178	10,335	39,212,284	114,987,905
Interest sensitivity gap	(13,177,466)	49,378,190	12,303,135	231,942	(10,335)	(28,051,109)	20,674,357
At 31 December 2013							
Total financial assets	6,905,578	78,342,460	9,998,701	2,382,032	-	11,020,618	108,649,389
Total financial liabilities	18,163,852	25,127,636	21,214,366	490,968	10,335	30,185,969	95,193,126
Interest sensitivity gap	(11,258,274)	53,214,824	(11,215,665)	1,891,064	(10,335)	(19,165,351)	13,456,263

Interest rate risk sensitivity analysis

The impact on financial assets, net of financial liabilities, of a 5% increase or decrease in interest rates would be as follows:

	Group		Bank	
	2014	2013	2014	2013
	Shs'million	Shs'million	Shs'million	Shs'million
+ 5% movement	448	145	592	259
- 5% movement	(448)	(145)	(592)	(259)

4 Financial risk management (Continued)

(c) Market risk management (Continued)

(iii) Foreign exchange risk

End-of-the-day positions are marked to market daily. The intra-day positions are managed by treasury/dealing room through stop loss/dealers limits.

The table below summarises the Group's and Bank's exposure to foreign currency exchange rate risk at 31 December 2014. Included in the table are the Group's and Bank's financial instruments, categorised by currency.

Group	USD Shs'000	GBP Shs'000	EURO Shs'000	OTHERS Shs'000	TOTAL Shs'000
At 31 December 2014					
FINANCIAL ASSETS					
Cash and balances with Central banks	2,416,225	201,935	380,431	25,391	3,023,982
Deposits and balances due from banking institutions	11,242,556	612,803	861,825	380,472	13,097,656
Other assets	444,359	36,349	25,159	263	506,130
Loans and advances to customers	58,275,180	44,416	2,372,230	39	60,691,865
Total financial assets	72,378,320	895,503	3,639,645	406,165	77,319,633
FINANCIAL LIABILITIES					
Customer deposits	53,389,801	1,795,256	2,350,651	338,613	57,874,321
Deposits and balances due to banking institutions	1,772,055	13,008	10,844	39,902	1,835,809
Other liabilities	231,536	7,618	1,478	1,413	242,045
Long term borrowings	12,280,218	-	-	7,009	12,287,227
Total financial liabilities	67,673,610	1,815,882	2,362,973	386,937	72,239,402
Net balance sheet position	4,704,710	(920,379)	1,276,672	19,228	5,080,231
Net off balance sheet position	(4,696,841)	906,477	(1,017,316)	(16,290)	(4,823,970)
Overall net position	7,869	(13,902)	259,356	2,938	256,261
At 31 December 2013					
Total financial assets	49,888,162	766,535	2,702,717	378,888	53,736,302
Total financial liabilities	48,413,704	1,141,641	2,324,565	336,539	52,216,449
Net balance sheet position	1,474,458	(375,106)	378,152	42,349	1,519,853
Net off balance sheet position	(2,060,375)	275,259	(349,546)	(23,467)	(2,158,129)
Overall net position	(585,917)	(99,847)	28,606	18,882	(638,276)

4 Financial risk management (Continued)

(c) Market risk management (Continued)

(iii) Foreign exchange risk (Continued)

Bank	USD Shs'000	GBP Shs'000	EURO Shs'000	OTHERS Shs'000	TOTAL Shs'000
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At 31 December 2014

FINANCIAL ASSETS

Cash and balances with Central banks	462,857	114,961	235,851	10,021	823,690
Deposits and balances due from banking institutions	6,439,806	255,941	352,443	342,661	7,390,851
Other assets	420,606	36,299	25,159	233	482,297
Loans and advances to customers	33,352,804	44,170	2,298,851	-	35,695,825
Amount due from group companies	302,906	-	-	-	302,906
Total financial assets	40,978,979	451,371	2,912,304	352,915	44,695,569

FINANCIAL LIABILITIES

Customer deposits	25,362,524	1,395,013	1,718,065	316,752	28,792,354
Deposits and balances due to banking institutions	1,645,041	12,965	10,783	39,902	1,708,691
Other liabilities	79,927	3,020	854	911	84,712
Long term borrowings	9,310,393	-	-	-	9,310,393
Total financial liabilities	36,397,885	1,410,998	1,729,702	357,565	39,896,150

Net balance sheet position	4,581,094	(959,627)	1,182,602	(4,650)	4,799,419
Net off balance sheet position	(4,628,953)	949,713	(1,175,604)	25,103	(4,829,741)
Overall net position	(47,859)	(9,914)	6,998	20,453	(30,322)

At 31 December 2013

Total financial assets	25,760,684	526,424	2,384,820	326,573	28,998,501
Total financial liabilities	24,402,627	862,245	1,940,498	306,870	27,512,240
Net balance sheet position	1,358,057	(335,821)	444,322	19,703	1,486,261
Net off balance sheet position	(1,428,191)	307,509	(435,512)	(4,172)	(1,560,366)
Overall net position	(70,134)	(28,312)	8,810	15,531	(74,105)

Currency risk sensitivity analysis

At 31 December 2014, if the local currency in each country the Group operates in, had strengthened or weakened by 5% against the major trading currencies, with all other variables held constant, the impact on the after-tax profit would have been as shown below:

	Group		Bank	
	2014 Shs'million	2013 Shs'million	2014 Shs'million	2013 Shs'million
+ 5% movement	12.8	(31.9)	(1.0)	(2.4)
- 5% movement	(12.8)	31.9	1.0	2.4

4 Financial risk management (Continued)

(d) Liquidity risk management

Liquidity risk is the risk that the Group will be unable to meet cash flow obligations as they become due, because of an inability to liquidate assets, or to obtain adequate funding.

At management level, ALCO has the responsibility for the formulation and management of the overall strategy and oversight of the asset liability management function. At Board level and, through its sub-committee, BRMC reviews the strategy adopted by ALCO and provides direction on a periodic basis.

The Group follows a comprehensive liquidity risk management policy and procedures duly recommended by the ALCO, reviewed by the BRMC and approved by the Board. The policy stipulates maintenance of various ratios, funding preferences, and evaluation of the Group's liquidity under normal and crisis situation (stress testing).

The table below presents the undiscounted cash flows receivable and payable by the Group and Bank under financial assets and liabilities by remaining contractual maturities at the reporting date.

Group

At 31 December 2014	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Total
FINANCIAL ASSETS	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Cash and balances with Central Banks	13,817,492	1,248,041	775,903	67,392	977	15,909,805
Government securities	5,270,410	4,211,573	26,152,968	3,432,384	-	39,067,335
Deposits and balances due from banking institutions	14,246,225	272,871	45,790	-	-	14,564,886
Loans and advances to customers	11,110,754	17,683,175	47,484,140	65,493,198	25,821,790	167,593,057
Investment in associate	-	-	-	-	14,939	14,939
Other assets	1,349,060	10,861	713	-	-	1,360,634
Total financial assets	45,793,941	23,426,521	74,459,514	68,992,974	25,837,706	238,510,656
FINANCIAL LIABILITIES						
Customer deposits	92,902,939	32,146,880	36,607,013	2,150,652	20,400	163,827,884
Deposits and balances due to banking institutions	2,487,648	7,432	2,336	4,672	-	2,502,088
Long term borrowings	45,250	1,665,105	1,023,377	9,486,430	2,795,513	15,015,675
Other liabilities	1,921,529	985,916	2,007	152	-	2,909,604
Total financial liabilities	97,357,366	34,805,333	37,634,733	11,641,906	2,815,913	184,255,251
Net liquidity gap	(51,563,425)	(11,378,812)	36,824,781	57,351,068	23,021,793	54,255,405

4 Financial risk management (Continued)

(d) Liquidity risk management (Continued)

Group (Continued)	Up to 1 month Shs'000	1-3 months Shs'000	3-12 months Shs'000	1-5 years Shs'000	Over 5 years Shs'000	Total Shs'000
At 31 December 2013						
Total financial assets	35,721,702	20,844,191	52,535,767	53,004,655	23,229,093	185,335,408
Total financial liabilities	77,036,966	31,162,805	32,622,431	5,646,434	1,541,099	148,009,735
Net liquidity gap	(41,315,264)	(10,318,614)	19,913,336	47,358,221	21,687,994	37,325,673

Bank**At 31 December 2014****FINANCIAL ASSETS**

Cash and balances with Central Bank of Kenya	5,707,092	1,238,950	762,184	49,098	508	7,757,832
Government securities	4,035,375	2,650,307	16,496,966	1,532,043	-	24,714,691
Deposits and balances due from banking institutions	7,797,964	-	-	-	-	7,797,964
Loans and advances to customers	9,325,247	11,969,667	31,657,853	43,407,099	18,241,238	114,601,104
Investments in subsidiaries and associates	-	-	-	-	2,295,254	2,295,254
Amounts due from group companies	-	-	103,068	267,737	-	370,805
Other assets	1,108,089	-	-	-	-	1,108,089
Total financial assets	27,973,767	15,858,924	49,020,071	45,255,977	20,537,000	158,645,739

FINANCIAL LIABILITIES

Customer deposits	60,189,194	25,429,832	16,053,130	1,144,311	10,336	102,826,803
Deposits and balances due to banking institutions	2,176,219	-	-	-	-	2,176,219
Long term borrowings	-	1,657,673	944,164	7,572,386	1,588,855	11,763,078
Other liabilities	921,943	985,845	-	-	-	1,907,788
Total financial liabilities	63,287,356	28,073,350	16,997,294	8,716,697	1,599,191	118,673,888
Net liquidity gap	(35,313,589)	(12,214,426)	32,022,777	36,539,280	18,937,809	39,971,851

At 31 December 2013

Total financial assets	21,696,750	14,068,108	33,791,978	34,991,459	20,931,563	125,479,858
Total financial liabilities	48,405,976	25,406,414	18,274,940	4,017,449	1,101,563	97,206,342
Net liquidity gap	(26,709,226)	(11,338,306)	15,517,038	30,974,010	19,830,000	28,273,516

4 Financial risk management (Continued)

(e) Operational risk management

Operational risk is the risk that the Group will face direct or indirect loss resulting from inadequate or failed internal processes, people, technology failures and from external events. The Group has in place Board-approved Operations Risk Management Policy and Procedures.

At management level, the Operational Risk Management Committee (ORCO) has the responsibility for assessing the risk associated with the Group's activities, ensuring they are clearly identified, assessed and controlled in line with the Group's Operational Risk Management Policy. ORCO is charged with ensuring that the Group has adequate internal policies and procedures, technology, business continuity, and ensuring that the appropriate knowledge, skills, resources and expertise are available within the Group to enable the staff to meet the risk management and control requirements within each of their respective areas of operation.

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost-effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit and coordinated on an overall basis by the bank's compliance function.

(f) Fair values of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the Bank's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (level 1).
- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (level 2).
- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (level 3).

The fair values of the Group's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual re-pricing or maturity dates as set out in the previous maturity analysis.

(g) Capital management

The Bank's objectives when managing capital, which is a broader concept than the 'equity' on the balance sheet, are:

1. to comply with the capital requirements set by the Central Bank of Kenya (CBK);
2. to safeguard the Bank as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders;
3. to maintain a strong capital base to support the development of its business.

Capital adequacy and use of regulatory capital are monitored regularly by management, employing techniques based on the guidelines developed by the Basel Committee, as implemented by the Central Bank of Kenya for supervisory purposes. The required information is filed with the Central Bank of Kenya on a monthly basis.

The risk weighted assets are measured by means of a hierarchy, classified according to the nature and reflecting an estimate, of the credit risk associated with each assets and counter party. A similar treatment is adopted for off balance sheet exposure, with some adjustment to reflect the more contingent nature of the potential losses.

The Group manages its capital to meet Central Bank of Kenya requirements listed below:

- (a) hold the minimum level or regulatory capital of Shs 1 billion ;
- (b) maintain a ratio of total regulatory capital to the risk-weighted assets plus risk-weighted off-balance sheet assets (the 'Basel ratio') at or above the required minimum of 8%;
- (c) maintain core capital of not less than 8% of total deposit liabilities; and
- (d) maintain total capital of not less than 12% of risk-weighted assets plus risk-weighted off-balance sheet items.

4 Financial risk management (Continued)**(g) Capital management (Continued)**

With effect from 1 January 2015, Banks in Kenya are required to maintain a capital conservation buffer of 2.5% over and above the minimum capital requirements. The minimum capital adequacy ratios (CARs) including the buffer are as follows:

a. Core capital to Total risk weighted assets ratio	10.50%
b. Core capital to deposits ratio	10.50%
c. Total capital to Total risk weighted assets ratio	14.50%

As at 31 December 2014, the bank's capital ratios are above the enhanced minimum capital requirements.

The Bank's total regulatory capital is divided into two tiers:

1. Tier 1 capital (core capital): share capital, share premium plus retained earnings.
2. Tier 2 capital (supplementary capital): 25% (subject to prior approval) of revaluation reserves, subordinated debt not exceeding 50% of Tier 1 capital and hybrid capital instruments and statutory loan reserve. Qualifying Tier 2 capital is limited to 100% of Tier 1 capital.

During the year, the Group and bank have complied with requirements of the regulators; Central Bank of Kenya, Bank of Tanzania, Bank of Uganda, Banque de la Republique du Burundi, the Capital Markets Authority as well as the Nairobi Securities Exchange.

The table below summarises the composition of regulatory capital and the ratios of the Group and Bank as at 31 December:

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Tier 1 Capital	30,215,645	21,865,320	22,245,196	15,044,803
Tier 1 + Tier 2 Capital	35,798,345	24,951,032	25,064,558	18,020,720
Risk-weighted assets				
On-balance sheet	147,390,696	117,642,343	99,717,967	79,919,651
Off-balance sheet	19,814,204	11,618,712	15,326,835	7,897,314
Operational and market risk (w.e.f 1 January 2014)	17,229,603	-	17,229,603	-
Total risk-weighted assets	184,434,503	129,261,055	132,274,405	87,816,965
Basel ratio				
Tier 1 (CBK minimum - 8%)	16.4%	16.9%	16.8%	17.1%
Tier I + Tier II (CBK minimum - 12%)	19.4%	19.3%	18.9%	20.5%

The capital adequacy ratios for the subsidiaries are summarised below;

	2014	2013
Tier 1		
DTB Tanzania - Bank of Tanzania (BOT) minimum - 10%;	15.4%	16.1%
DTB Uganda - Bank of Uganda (BOU) minimum - 8%	13.6%	14.6%
DTB Burundi - Banque de la Republique du Burundi minimum - 10%	36.0%	41.7%
Tier I + Tier II		
DTB Tanzania (BOT) minimum - 12%;	21.4%	17.9%
DTB Uganda - (BOU) minimum -12%	18.5%	16.7%
DTB Burundi - Banque de la Republique du Burundi minimum - 12%	36.8%	42.3%

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
5 Interest income				
Loans and advances	17,290,845	14,154,675	11,968,878	9,975,556
Government securities	3,213,953	2,374,025	2,199,023	2,053,099
Placements and bank balances	303,218	650,361	107,887	95,781
	20,808,016	17,179,061	14,275,788	12,124,436
6 Interest expense				
Customer deposits	7,542,290	5,771,402	5,089,101	3,966,134
Deposits due to banking institutions	226,808	258,368	166,874	165,569
	7,769,098	6,029,770	5,255,975	4,131,703
7 Net fee and commission income				
Fee and commission income	2,374,387	2,092,832	1,257,899	1,153,676
Inter-bank transaction fees	(56,298)	(59,764)	(43,728)	(42,290)
Net fees and commissions	2,318,089	2,033,068	1,214,171	1,111,386
8 Other operating income				
Rental income	37,446	23,107	37,006	22,652
Commission from insurance business	56,210	42,127	-	-
Gain on sale of equity investment	-	5,421	-	5,421
(Loss)/gain on sale of property and equipment	(7,212)	3,318	(7,699)	4,142
Other	10,586	19,673	37,623	45,516
	97,030	93,646	66,930	77,731
9 Operating expenses				
Operating expenses include:				
Staff costs (Note 10)	2,941,895	2,715,817	1,655,516	1,611,733
Depreciation (Note 21)	705,726	476,783	429,844	256,183
Amortisation of software costs (Note 20)	205,264	137,888	147,611	111,915
Operating lease rentals	452,507	438,030	227,393	255,361
Auditors' remuneration	15,681	14,829	6,346	6,044
10 Staff costs				
Salaries and allowances	2,563,903	2,425,323	1,525,633	1,504,039
Contribution to defined contribution retirement scheme	62,096	55,255	60,726	54,025
Accrual for gratuity pay	425	1,710	-	-
National Social Security Fund contribution	88,140	69,450	2,227	2,135
Others including insurance and training expenses	227,331	164,079	66,930	51,534
	2,941,895	2,715,817	1,655,516	1,611,733

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
11 Income tax expense				
a) Tax charge				
Current income tax	2,865,843	2,457,451	2,176,663	1,949,583
Underprovision of income tax in previous year	64,008	4,759	48,784	-
Deferred income tax	(174,006)	(220,890)	(127,749)	(204,004)
Under/(over) provision of deferred tax credit in previous year (note 23)	57,011	(237,071)	56,936	(237,080)
	2,812,856	2,004,249	2,154,634	1,508,499

b) The tax on the profit before income tax differs from the theoretical amount that would arise using the basic tax rate as follows:

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Profit before income tax	8,521,286	7,235,003	6,307,072	5,566,396
Tax calculated at the statutory tax rate of 30% (2013: 30%)	2,556,386	2,170,501	1,892,122	1,669,919
Tax effect of:				
Income not subject to tax	(130,898)	(98,856)	(11,043)	(11,730)
Expenses not deductible for tax purposes	183,606	111,870	167,835	87,390
Under provision of current income tax in previous year	64,008	4,759	48,784	-
Over/(under) provision of deferred tax credit in previous year	57,011	(237,071)	56,936	(237,080)
Final tax on investment income	82,743	53,046	-	-
	2,812,856	2,004,249	2,154,634	1,508,499

12 Earnings per share

Basic earnings per share are calculated by dividing the profit attributable to the owners of the Bank by the weighted average number of ordinary shares outstanding during the year.

	Group		Bank	
	2014	2013	2014	2013
Profit attributable to shareholders (Shs thousands)	5,083,519	4,756,635	4,152,438	4,057,897
Weighted average number of ordinary shares in issue (thousands)	231,926	226,833	231,926	226,833
Earnings per share (Shs per share) - basic and diluted	21.92	20.97	17.90	17.89

The earnings per share have been calculated on the basis of the number of weighted ordinary shares issued as at 31 December 2014. There were no potentially dilutive shares outstanding at 31 December 2014.

13 Dividends per share

At the Annual General Meeting to be held on 14 May 2015, a final dividend in respect of the year ended 31 December 2014 of Shs 2.40 per share amounting to a total of Shs 581,064,252 is to be proposed.

The total dividend for the year is Shs 2.40 per share (2013: Shs 2.10), amounting to a total of Shs 581,064,252 (2013: Shs 462,210,202).

Payment of dividends is subject to withholding tax at a rate of 5% for shareholders who are citizens of East Africa Partner States and 10% for all other shareholders.

14 Cash and balances with Central Banks

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Cash in hand	4,209,824	3,660,226	2,506,750	2,291,210
Balances with Central Banks	11,699,981	9,048,533	5,251,082	5,381,057
	15,909,805	12,708,759	7,757,832	7,672,267

15 Government securities - at amortised cost

Treasury bills	26,372,920	18,951,117	19,310,068	13,050,084
Treasury bonds	8,727,864	6,494,707	3,415,369	4,782,291
Total Government securities	35,100,784	25,445,824	22,725,437	17,832,375

Treasury bills and bonds are debt securities issued by the Republic of Kenya in the case of the Bank, as well as the United Republic of Tanzania, Republic of Uganda and Republique du Burundi in the case of the Group.

The maturity profile of Government securities is as follows:

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Included in cash and cash equivalents	40,020	63,537	-	-
Less than 1 year	31,921,781	22,297,197	21,495,317	15,450,343
1-5 years	3,138,983	3,085,090	1,230,120	2,382,032
	35,100,784	25,445,824	22,725,437	17,832,375

16 Deposits and balances due from banking institutions

Due from other banks	13,701,450	8,786,032	7,413,484	4,120,113
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All deposits due from banking institutions are due within 91 days.

17 Loans and advances to customers

Loans and advances	136,179,489	108,954,328	91,693,827	72,669,552
Finance leases	5,112,826	5,131,285	5,112,826	5,131,285
Gross loans and advances	141,292,315	114,085,613	96,806,653	77,800,837
Less: Provision for impairment				
Identified impairment	(1,450,582)	(1,192,393)	(1,068,412)	(972,023)
Unidentified impairment	(2,187,182)	(1,947,781)	(1,678,981)	(1,536,603)
Net loans and advances	137,654,551	110,945,439	94,059,260	75,292,211

17 Loans and advances to customers (Continued)

Movements in provisions for impairment of loans and advances are as follows:

	Group		Bank	
	Identified	Unidentified	Identified	Unidentified
	Impairment	impairment	Impairment	impairment
	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2013				
At start of year	887,294	1,526,341	809,946	1,243,215
Provision for loan impairment	703,117	412,340	439,366	293,388
Loans written off during the year as uncollectible	(182,422)	-	(119,191)	-
Release of provision no longer required	(218,063)	-	(158,098)	-
Translation difference	2,467	9,100	-	-
At end of year	1,192,393	1,947,781	972,023	1,536,603
Year ended 31 December 2014				
At start of year	1,192,393	1,947,781	972,023	1,536,603
Provision for loan impairment	1,122,660	253,927	706,843	142,378
Loans written off during the year as uncollectible	(369,288)	-	(236,158)	-
Release of provision no longer required	(488,059)	-	(374,296)	-
Translation difference	(7,124)	(14,526)	-	-
At end of year	1,450,582	2,187,182	1,068,412	1,678,981
	Identified	Unidentified	Total	
	impairment	impairment		
	Shs'000	Shs'000	Shs'000	
Charge to statement of profit or loss (Group)				
Year ended 31 December 2013				
Provision for loan impairment	703,117	412,340	1,115,457	
Release of provision no longer required	(218,063)	-	(218,063)	
Net increase in provision	485,054	412,340	897,394	
Amounts recovered previously written off	(27,762)	-	(27,762)	
Loans written off through the statement of profit or loss	29,180	-	29,180	
Net charge to the statement of profit or loss	486,472	412,340	898,812	
Year ended 31 December 2014				
Provision for loan impairment	1,122,660	253,927	1,376,587	
Release of provision no longer required	(488,059)	-	(488,059)	
Net increase in provision	634,601	253,927	888,528	
Amounts recovered previously written off	(19,879)	-	(19,879)	
Loans written off through the statement of profit or loss	(17,439)	-	(17,439)	
Net charge to the statement of profit or loss	597,283	253,927	851,210	

17 Loans and advances to customers (Continued)

	Identified impairment	Unidentified impairment	Total
Charge to statement of profit or loss (Bank)	Shs'000	Shs'000	Shs'000
Year ended 31 December 2013			
Provision for loan impairment	439,366	293,388	732,754
Release of provision no longer required	(158,098)	-	(158,098)
Net increase in provision	281,268	293,388	574,656
Amounts recovered previously written off	(7,918)	-	(7,918)
Loans written off through statement of profit or loss	27,331	-	27,331
Net charge to statement of profit or loss	300,681	293,388	594,069
Year ended 31 December 2014			
Provision for loan impairment	706,843	142,378	849,221
Release of provision no longer required	(374,296)	-	(374,296)
Net increase in provision	332,547	142,378	474,925
Amounts recovered previously written off	(14,407)	-	(14,407)
Loans written off through statement of profit or loss	15,455	-	15,455
Net charge to statement of profit or loss	333,595	142,378	475,973

All non performing loans have been written down to their estimated recoverable amount. The aggregate amount of non-performing loans, net of provision for identified impairment losses, at 31 December 2014, was Group: Shs 31,091,000, Bank: Shs nil (2013 - Group: Shs 29,756,000, Bank: Shs nil).

Loans and advances to customers include finance leases receivables as follows:

	Group and Bank	
	2014	2013
	Shs'000	Shs'000
Gross investment in finance leases:		
Not later than 1 year	677,561	773,784
Later than 1 year and not later than 5 years	5,299,616	5,129,614
	5,977,177	5,903,398
Unearned future finance income on finance leases	(864,351)	(772,113)
Net investment in finance leases	5,112,826	5,131,285
The net investment in finance leases may be analysed as follows:		
Not later than 1 year	629,539	730,152
Later than 1 year and not later than 5 years	4,483,287	4,401,133
Net investment in finance leases	5,112,826	5,131,285

18 Amount due from group companies

	Bank	
	2014 Shs'000	2013 Shs'000
Subordinated debts to Diamond Trust Bank Tanzania and Diamond Trust Bank Uganda	302,906	384,072

The balances due from group companies relate to 7.5 year and 6.5 year loans issued in 2010 and 2011 respectively to two of the subsidiaries to enhance their capital base. The debts are redeemable on maturity and bear interest at a rate referenced to the six months libor.

	Group		Bank	
	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
19 Other assets				
Uncleared effects	715,206	615,497	551,787	478,528
Deposits and prepayments	488,244	450,027	277,932	304,852
Others	645,428	638,383	556,302	574,569
	1,848,878	1,703,907	1,386,021	1,357,949
20 Intangible assets-software costs				
At start of year	560,351	214,405	377,522	178,389
Additions	178,241	469,882	102,559	311,048
Transfer from property and equipment (note 21)	58,426	13,623	6,833	-
Amortisation charge for the year	(205,264)	(137,888)	(147,611)	(111,915)
Translation difference	(5,711)	329	-	-
At the end of year	586,043	560,351	339,303	377,522
Cost	1,441,018	1,210,062	924,339	814,947
Accumulated amortisation	(854,975)	(649,711)	(585,036)	(437,425)
Net book amount	586,043	560,351	339,303	377,522

NOTES TO THE FINANCIAL STATEMENT (Continued)

21 Property and equipment

(a) Group

At 1 January 2013	Leasehold land	Buildings	Leasehold improvements	Motor vehicles	Furniture, fittings & equipment	Work in progress	Total
Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Cost or valuation	321,277	1,076,031	1,027,841	76,900	1,929,063	34,320	4,465,432
Accumulated depreciation	(3,915)	(19,734)	(385,310)	(43,835)	(1,242,571)	-	(1,695,365)
Net book amount	317,362	1,056,297	642,531	33,065	686,492	34,320	2,770,067

Year ended 31 December 2013

Opening net book amount	317,362	1,056,297	642,531	33,065	686,492	34,320	2,770,067
Translation difference	1	(1,072)	16,602	(67)	8,447	1,156	25,067
Additions	-	1,151,507	141,428	36,543	994,549	257,313	2,581,340
Transfer from work in progress	-	-	8,872	-	20,043	(28,915)	-
Transfer to intangible assets (note 20)	-	-	-	-	-	(13,623)	(13,623)
Disposals	-	-	(14,677)	(26,966)	-	-	(41,643)
Disposals - accumulated depreciation	-	-	12,291	22,530	-	-	34,821
Depreciation charge	(4,085)	(28,072)	(107,221)	(21,345)	(316,060)	-	(476,783)
Closing net book amount	313,278	2,178,660	699,826	43,760	1,393,471	250,251	4,879,246

At 31 December 2013

Cost or valuation	321,278	2,226,466	1,180,066	86,410	2,952,102	250,251	7,016,573
Accumulated depreciation	(8,000)	(47,806)	(480,240)	(42,650)	(1,558,631)	-	(2,137,327)
Net book amount	313,278	2,178,660	699,826	43,760	1,393,471	250,251	4,879,246

At 31 December 2013

Cost	67,325	2,086,419	1,180,066	86,410	2,952,102	250,251	6,622,573
Revaluation surplus	253,953	140,047	-	-	-	-	394,000
Cost or valuation	321,278	2,226,466	1,180,066	86,410	2,952,102	250,251	7,016,573

NOTES TO THE FINANCIAL STATEMENT (Continued)

21 Property and equipment (Continued)

(a) Group (Continued)	Leasehold land	Buildings	Leasehold improvements	Motor Vehicles	Furniture, fittings & equipment	Work in Progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2014							
Opening net book amount	313,278	2,178,660	699,826	43,760	1,393,471	250,251	4,879,246
Translation difference	91	(803)	(15,771)	(377)	(14,036)	(1,841)	(32,737)
Additions	-	111,706	211,881	20,905	364,232	501,925	1,210,649
Transfer from work in progress	-	95,588	145,618	-	166,972	(408,178)	-
Transfer to intangible assets (note 20)	-	-	-	-	-	(58,426)	(58,426)
Write off - Cost	-	-	(29,250)	-	(21)	-	(29,271)
Write off - accumulated depreciation	-	-	24,522	-	21	-	24,543
Disposals	-	-	(77,456)	(1,196)	(85,264)	-	(163,916)
Disposals - accumulated depreciation	-	-	68,734	1,078	78,092	-	147,904
Depreciation charge	(4,760)	(94,087)	(138,042)	(20,564)	(448,273)	-	(705,726)
Closing net book amount	308,609	2,291,064	890,062	43,606	1,455,194	283,731	5,272,266

At 31 December 2014

Cost or valuation	321,369	2,432,957	1,415,088	105,742	3,384,006	283,731	7,942,893
Accumulated depreciation	(12,760)	(141,893)	(525,026)	(62,136)	(1,928,812)	-	(2,670,627)
Net book amount	308,609	2,291,064	890,062	43,606	1,455,194	283,731	5,272,266

At 31 December 2014

Cost	67,416	2,292,910	1,415,088	105,742	3,384,006	283,731	7,548,893
Revaluation surplus	253,953	140,047	-	-	-	-	394,000
Cost or valuation	321,369	2,432,957	1,415,088	105,742	3,384,006	283,731	7,942,893



NOTES TO THE FINANCIAL STATEMENT (Continued)

21 Property and equipment (Continued)

(b) Bank

	Leasehold land	Buildings	Leasehold improvements	Motor vehicles	Furniture, fittings & equipment	Work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2013							
Cost or valuation	318,300	923,095	389,887	40,574	1,059,135	18,154	2,749,145
Accumulated depreciation	(3,443)	(7,815)	(202,165)	(28,319)	(721,973)	-	(963,715)
Net book amount	314,857	915,280	187,722	12,255	337,162	18,154	1,785,430
Year ended 31 December 2013							
Opening net book amount	314,857	915,280	187,722	12,255	337,162	18,154	1,785,430
Additions	-	1,151,507	72,791	32,949	683,046	217,124	2,157,417
Transfers - Cost	-	-	8,872	-	16,351	(25,223)	-
Disposals	-	-	-	(13,357)	(19,669)	-	(33,026)
Disposals - accumulated depreciation	-	-	-	11,204	18,941	-	30,145
Depreciation charge	(3,969)	(22,076)	(40,244)	(12,643)	(177,251)	-	(256,183)
Closing net book amount	310,888	2,044,711	229,141	30,408	858,580	210,055	3,683,783
At 31 December 2013							
Cost or valuation	318,300	2,074,602	471,550	60,166	1,738,863	210,055	4,873,536
Accumulated depreciation	(7,412)	(29,891)	(242,409)	(29,758)	(880,283)	-	(1,189,753)
Net book amount	310,888	2,044,711	229,141	30,408	858,580	210,055	3,683,783
At 31 December 2013							
Cost	64,331	1,944,387	471,550	60,166	1,738,863	210,055	4,489,352
Revaluation surplus	253,969	130,215	-	-	-	-	384,184
Cost or valuation	318,300	2,074,602	471,550	60,166	1,738,863	210,055	4,873,536



NOTES TO THE FINANCIAL STATEMENT (Continued)

21 Property and equipment (Continued)

(b) Bank (Continued)

Year ended 31 December 2014

	Leasehold land Shs'000	Buildings Shs'000	Leasehold improvements Shs'000	Motor vehicles Shs'000	Furniture, fittings & equipment Shs'000	Work in progress Shs'000	Total Shs'000
Opening net book amount	310,888	2,044,711	229,141	30,408	858,580	210,055	3,683,783
Additions	-	111,553	137,166	17,348	188,072	158,771	612,910
Transfers from work in progress	-	95,588	20,631	-	85,533	(201,752)	-
Transfers to intangible assets (note 20)	-	-	-	-	-	(6,833)	(6,833)
Write off - Cost	-	-	(29,250)	-	(21)	-	(29,271)
Write off - accumulated depreciation	-	-	24,522	-	21	-	24,543
Disposals	-	-	(75,581)	(155)	(50,900)	-	(126,636)
Disposals - accumulated depreciation	-	-	68,566	155	44,485	-	113,206
Depreciation charge	(4,642)	(88,091)	(61,930)	(11,930)	(263,251)	-	(429,844)
Closing net book amount	306,246	2,163,761	313,265	35,826	862,519	160,241	3,841,858

At 31 December 2014

Cost or revaluation	318,300	2,281,743	524,516	77,359	1,961,568	160,241	5,323,727
Accumulated depreciation	(12,054)	(117,982)	(211,251)	(41,533)	(1,099,049)	-	(1,481,869)
Net book amount	306,246	2,163,761	313,265	35,826	862,519	160,241	3,841,858

At 31 December 2014

Cost	64,331	2,151,528	524,516	77,359	1,961,568	160,241	4,939,543
Revaluation surplus	253,969	130,215	-	-	-	-	384,184
Cost or valuation	318,300	2,281,743	524,516	77,359	1,961,568	160,241	5,323,727

Land and buildings for Diamond Trust Bank Kenya Limited and Buildings for Diamond Trust Bank Tanzania Limited were revalued as at 31 December 2011 by independent valuers, Mohamed Samji & Co and Let Consultants respectively. Valuations were made on the basis of the open market value. The book values of the properties were adjusted to the revaluations and the resultant surplus, was credited to reserves in shareholders' equity. If leasehold land and buildings were stated at the historical cost basis, the amounts would be as follows:

	Group		Bank	
	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Cost	2,306,672	2,101,852	2,215,859	2,008,718
Accumulated depreciation	(69,992)	(47,956)	(58,010)	(42,435)
Net book amount	2,236,680	2,053,896	2,157,849	1,966,283

22 Intangible assets - goodwill

	Group	
	2014 Shs'000	2013 Shs'000
Goodwill on acquisition of control in subsidiaries	173,372	173,372

The above goodwill is attributable to the strong position and profitability of Diamond Trust Bank Tanzania Limited and Diamond Trust Bank Uganda Limited in their respective markets.

Impairment tests for goodwill

Goodwill is allocated to the Group's cash-generating units (CGUs) identified according to subsidiaries.

The recoverable amount of a CGU is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by the Board of Directors covering a three-year period and discounted at rates comparable to that earned from risk assets.

Based on the above, the Group does not consider the goodwill impaired.

23 Deferred income tax

Deferred income tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2013: 30%). The movement on the deferred tax account is as follows:

Deferred tax asset	Group		Bank	
	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
At start of year	1,130,919	672,958	983,626	542,542
Charged through the statement of profit or loss	174,006	220,873	127,749	204,004
Understatement of deferred tax in previous year	(57,011)	237,071	(56,936)	237,080
Translation difference	(3,836)	17	-	-
At end of the year	1,244,078	1,130,919	1,054,439	983,626

Consolidated deferred income tax assets and liabilities, deferred tax charge in the statement of profit or loss and deferred tax charge through other comprehensive income are attributable to the following items:

Group

Year ended 31 December 2013	1.1.2013 Shs'000	Charged to the statement of profit or loss Shs'000	31.12.2013 Shs'000
Deferred income tax liabilities			
Unrealised foreign exchange gain	(26,808)	10,362	(16,446)
Revaluation surplus	(4,285)	722	(3,563)
	(31,093)	11,084	(20,009)
Deferred income tax assets			
Property and equipment	37,570	(59,175)	(21,605)
Provisions for loan impairment	482,968	482,280	965,248
Provisions for gratuity and staff bonus	146,876	31,837	178,713
Investment credit carried forward	36,637	(8,065)	28,572
	704,051	446,877	1,150,928
Net deferred income tax asset	672,958	457,961	1,130,919

23 Deferred income tax (Continued)**Group (Continued)****Year ended 31 December 2014**

	1.1.2014	Charged to the statement of profit or loss	31.12.2014
	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities			
Unrealised foreign exchange gain	(16,446)	5,796	(10,650)
Revaluation surplus	(3,563)	351	(3,212)
	(20,009)	6,147	(13,862)
Deferred income tax assets			
Property and equipment	(21,605)	13,019	(8,586)
Provisions for loan impairment	965,248	126,433	1,091,681
Provisions for gratuity and staff bonus	178,713	(12,772)	165,941
Investment credit carried forward	28,572	(19,668)	8,904
	1,150,928	107,102	1,257,940
Net deferred income tax asset	1,130,919	113,159	1,244,078

Bank**Year ended 31 December 2013**

	1.1.2013	Charged to the statement of profit or loss	31.12.2013
	Shs'000	Shs'000	Shs'000
Deferred income tax assets/(liabilities)			
Property and equipment	48,886	(15,084)	33,802
Provisions for loan impairment	372,964	414,806	787,770
Provisions for gratuity and staff bonus	147,500	31,000	178,500
Unrealised foreign exchange gain	(26,808)	10,362	(16,446)
Net deferred tax asset	542,542	441,084	983,626

Year ended 31 December 2014

	1.1.2014	Charged to the statement of profit or loss	31.12.2014
	Shs'000	Shs'000	Shs'000
Deferred income tax assets/(liabilities)			
Property and equipment	33,802	16,333	50,135
Provisions for loan impairment	787,770	61,585	849,355
Provisions for gratuity and staff bonus	178,500	(12,900)	165,600
Unrealised foreign exchange gain	(16,446)	5,795	(10,651)
Net deferred tax asset	983,626	70,813	1,054,439

24 Investments in subsidiaries and associates

Associate - Jubilee Insurance Company of Burundi S.A.

	2014 Shs'000	2013 Shs'000
At start of year	9,983	5,938
Share of results after tax	4,561	3,964
Translation	395	81
At end of year	14,939	9,983

The cost of the investment in the subsidiaries and the associates are listed below together with the interests held.

	Beneficial Ownership		Group		Bank	
			2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Subsidiaries	2014	2013				
Diamond Trust Bank Tanzania Limited	62.93%	62.93%	-	-	961,361	961,361
Diamond Trust Bank Uganda Limited	56.97%	56.97%	-	-	818,144	818,144
Diamond Trust Bank Burundi S.A.	67.33%	67.33%	-	-	484,611	484,611
Diamond Trust Insurance Agency Limited	100%	100%	-	-	2,000	2,000
Premier Savings and Finance Limited	100%	100%	-	-	29,137	29,137
			-	-	2,295,253	2,295,253
Associates						
Services and Systems Limited	40%	40%	1	1	1	1
Jubilee Insurance Company of Burundi S.A.	20%	20%	6,079	6,079	-	-
Total investments in subsidiaries and associates			6,080	6,080	2,295,254	2,295,254

Premier Savings and Finance Limited and Services and Systems Limited, which are incorporated in Kenya, are dormant. All subsidiaries undertakings are included in the consolidation.

The total non-controlling interest at 31 December 2014 is Shs 3,300,323,000 (2013: Shs 2,793,449,000), of which Shs 1,493,514,000 is for Diamond Trust Bank Tanzania Limited, Shs 1,566,315,000 for Diamond Trust Bank Uganda Limited and Shs 240,494,000 is attributable to Diamond Trust Bank Burundi SA. There were no changes in the beneficial ownership during the year.

Significant restrictions

There are no restrictions on the Group's ability to access or use assets and settle liabilities in the countries the Group operates in.

24 Investments in subsidiaries and associates (Continued)**Summarised financial information on subsidiaries with material non-controlling interests**

	Diamond Trust Bank Tanzania Limited	Diamond Trust Bank Uganda Limited	Diamond Trust Bank Burundi SA
	Shs'000	Shs'000	Shs'000
Summarised balance sheet			
Total assets	36,135,356	34,819,494	2,253,034
Liabilities	32,106,451	31,179,439	1,516,678
Shareholders funds	4,028,905	3,640,055	736,357
Total liabilities and equity	36,135,356	34,819,494	2,253,035

Summarised statement of profit or loss

Total operating income	2,788,638	2,723,704	183,635
Profit before tax	1,060,594	1,089,022	57,663
Income tax expense	(338,474)	(290,436)	(16,054)
Profit for the year	722,120	798,586	41,609
Total comprehensive income allocated to non-controlling interests	233,864	388,499	22,527
Dividends paid to non-controlling interests	25,085	-	-

Summarised Statement of cash flows

Cash generated from operations	1,720,811	868,074	57,549
Net cash used in investing activities	(275,333)	(391,352)	(7,889)
Net cash generated from financing activities	1,028,989	823,368	-
Net increase in cash and cash equivalents	2,474,467	1,300,090	49,660
Cash and cash equivalents at start of year	701,508	4,514,913	275,312
Exchange differences in cash and cash equivalents	628,379	(51,385)	(112,795)
Cash and cash equivalents at end of year	3,804,354	5,763,618	212,177

25 Customer deposits

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Current and demand deposits	55,456,971	36,311,336	36,963,834	22,986,825
Savings accounts	14,686,328	12,076,294	5,867,033	4,990,957
Fixed and call deposit accounts	90,812,310	80,400,768	58,762,639	56,694,035
	160,955,609	128,788,398	101,593,506	84,671,817

26 Deposits and balances due to banking institutions

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Deposits due to banking institutions	1,770,090	4,130,825	1,641,560	3,442,343
Current account balances due to banking institutions	622,481	587,487	534,659	292,369
	2,392,571	4,718,312	2,176,219	3,734,712

27 Other liabilities

Due to subsidiary company	-	-	79,560	79,560
Gratuity provision	-	13,004	-	-
Outstanding bankers' cheques	316,887	285,645	266,020	240,145
Accrued expenses	1,079,855	1,145,364	850,026	902,224
Revenue collected on behalf of Revenue Authorities	463,398	507,874	-	-
Deferred income	600,439	593,888	312,424	375,026
Other payables	1,049,464	951,205	712,182	702,758
	3,510,043	3,496,980	2,220,212	2,299,713

Movement in gratuity provision is as follows:

At start of year	13,004	13,090	-	-
Increase during the year	425	1,710	-	-
Utilised during the year	(13,101)	(1,656)	-	-
Translation difference	(328)	(140)	-	-
At end of year	-	13,004	-	-

28 Long-term borrowings

(i) International Finance Corporation (IFC)

Subordinated debt

At start of year	2,881,557	1,293,121	2,881,557	1,293,121
Additions during the year	867,159	1,740,000	-	1,740,000
Accrued interest	128,320	73,651	110,809	73,651
Paid during the year	(408,392)	(214,461)	(408,392)	(214,461)
Translation difference	168,372	(10,754)	143,462	(10,754)
	3,637,016	2,881,557	2,727,436	2,881,557

Senior loan

At start of year	1,980,353	2,453,199	1,980,353	2,453,199
Accrued interest	35,801	59,887	35,801	59,887
Paid during the year	(542,034)	(537,054)	(542,034)	(537,054)
Translation difference	105,800	4,321	105,800	4,321
	1,579,920	1,980,353	1,579,920	1,980,353
Total due to IFC	5,216,936	4,861,910	4,307,356	4,861,910

28 Long-term borrowings (Continued)

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
(ii) Deutsche Investitions- und Entwicklungsgesellschaft (DEG)				
At start of year	867,336	-	-	-
Additions during the year	3,348,794	858,638	2,257,500	-
Accrued interest	32,556	795	5,239	-
Translation difference	77,976	7,903	11,250	-
Total due to DEG	4,326,662	867,336	2,273,989	-
(iii) Societe de Promotion et de Participation pour la Cooperation Economique S.A (Proparco)				
At start of year	-	-	-	-
Additions during the year	2,709,000	-	2,709,000	-
Accrued interest	6,547	-	6,547	-
Translation difference	13,500	-	13,500	-
Total due to Proparco	2,729,047	-	2,729,047	-
(iv) Administered funds				
Bank of Uganda	7,009	9,793	-	-
European Investment Bank	7,573	21,175	-	-
	14,582	30,968	-	-
Long-term borrowings	12,287,227	5,760,214	9,310,392	4,861,910

a. Subordinated debts

Diamond Trust Bank Kenya Limited

Diamond Trust Bank Kenya Limited has two sets of long-term subordinated debts facilities amounting to US\$ 30 million (2013: US\$ 33.3 million) raised from the International Finance Corporation (IFC).

The subordinated debts are unsecured 9.5 year and 7 year loan capital facilities issued by the International Finance Corporation in October 2008 and July 2013 respectively to enhance the Bank's capital base. The debt obligation of the bank ranks ahead of the interest of holders of equity and is redeemable on maturity. These notes bear interest at rates referenced to the six months Libor.

In December 2014, Diamond Trust Bank Kenya Limited successfully negotiated for a 7 year subordinated debt of US\$ 20 million with IFC. This facility will be drawn down in 2015 and is therefore not part of the outstanding balances.

Diamond Trust Bank Tanzania Limited

In June 2014, Diamond Trust Bank Tanzania Limited received a subordinated debt facility of US\$ 5 million from IFC for a period of 7 years.

In September 2014, Diamond Trust Bank Tanzania Limited received an additional 7 year subordinated debt facility of US\$ 7.5 million from Deutsche Investitions- und Entwicklungsgesellschaft (DEG).

The above facilities were availed to enhance Diamond Trust Bank Tanzania capital base, and bear interest at rates referenced to the six months Libor.

28 Long term borrowings (Continued)

a. Subordinated debts (Continued)

Diamond Trust Bank Uganda Limited

In August 2014, Diamond Trust Bank Uganda Limited received a subordinated debt facility of US\$ 5 million from IFC for a period of 7 years, and a further 10 year subordinated debt facility of US\$ 5 million from DEG, received in September 2014.

The above facilities were availed to enhance Diamond Trust Bank Uganda capital base and bear interest at rates referenced to the six months Libor.

b. Senior loans

Diamond Trust Bank Kenya Limited

Diamond Trust Bank Kenya Limited has two long-term senior loans (ten years and six and a half years respectively) raised from the International Finance Corporation (IFC), in 2011 and 2008 totalling US\$ 17.4 million (2013 US\$ 22.9 million) .

In December 2014, Diamond Trust Bank Kenya Limited received an additional 7 year loan of US\$ 25 million from Deutsche Investitions- und Entwicklungsgesellschaft (DEG) and a further 7 year loan of US\$ 30 million from Proparco.

These loans bear interest at rates referenced to the six months Libor.

Diamond Trust Bank Uganda Limited

In December 2013, Diamond Trust Bank Uganda Limited received a loan of US\$ 10 million from DEG for a period of 8 years. The above facility bear interest at rates referenced to the six months Libor.

c. Administered funds

The administered funds relate to long term loans from Bank of Uganda (BoU) and European Investment Bank (EIB) to Diamond Trust Bank Uganda Limited (DTBU). These funds were advanced to DTBU to lend to the agriculture and the real estate sectors respectively. The BoU loan is interest free and has a tenor of seven years. The EIB funding was disbursed in 2008, repayable over a period of six years to 2015, and attracts an interest rate of 5.52%.

d. Finance costs

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Subordinated debts	94,570	73,650	58,541	73,650
Senior loans	141,703	60,682	108,636	59,887
Administered funds	702	1,442	-	-
Amortised appraisal fees	14,342	10,879	10,098	10,879
	251,317	146,653	177,275	144,416

29 Share capital and reserves**a) Share capital and Share premiums**

	Number of shares (Thousands)	Share capital Shs'000	Share premium Shs'000
1 January 2014	220,100	880,400	3,856,898
Rights issue (net of expenses)	22,010	88,040	3,437,869
31 December 2014	242,110	968,440	7,294,767

The total authorised number of ordinary shares is 250,000,000 (2013: 250,000,000) with a par value of Shs 4 per share. The issued shares as at 31 December 2014 are 242,110,105 (2013 - 220,100,096) and are fully paid.

During the Extra -ordinary General Meeting held on 4 March 2014, the shareholders approved the increase in the bank's issued share capital through the issuance of a further 22,010,009 ordinary shares, with a par value of Shs 4 each, by way of a rights issue at Shs 165 per share.

The rights issue proceeds of Shs 3,631,651,485 have been applied as follows:

	Shs'000
Share capital	88,040
Share premium before Rights Issue expenses	3,543,611
Total Rights Issue proceeds	3,631,651
Share premium before Rights Issue expenses	3,543,611
Rights Issue expenses	105,742
Share premium net of Rights Issue expenses	3,437,869

b) Revaluation surplus on property

Revaluation reserve is made up of the periodic adjustments arising from the fair valuation of leasehold land and buildings, net of the related deferred taxation. The reserve is not available for distribution to the shareholders.

c) Fair value reserves on equity investments

This represents the unrealized increase or decrease in the fair value of equity investments designated as at fair value through other comprehensive income, excluding impairment losses. The reserve is not available for distribution to the shareholders.

d) Translation reserve

The reserves represent exchange differences arising from translation of the net assets of the Group's foreign operation in Tanzania, Uganda and Burundi from their functional currency to the Group's presentation currency (Kenya Shillings). These differences are recognised directly through other comprehensive income and accumulated in the translation reserve.

e) Retained earnings

This represents undistributed profits from current and previous years.

30 Other reserves

Consolidated statement of changes in other reserves

	Notes	Revaluation surplus	Fair value reserve on equity investments	Translation reserve	Other reserves	Total
		Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2013						
At start of year		397,279	639	(118,664)	(40,263)	238,991
Fair value changes in equity investments		-	43,988	-	-	43,988
Transfer to retained earnings on disposal of equity investments			(44,627)	-	-	(44,627)
Excess depreciation		(6,805)	-	-	-	(6,805)
Deferred tax on transfer of excess depreciation		2,041	-	-	-	2,041
Translation adjustment	(i)	-	-	101,384	-	101,384
Increase in interest in Diamond Trust Bank Uganda Limited.		-	-	-	(61,214)	(61,214)
At end of year		392,515	-	(17,280)	(101,477)	273,758
Year ended 31 December 2014						
At start of year		392,515	-	(17,280)	(101,477)	273,758
Excess depreciation		(8,566)	-	-	-	(8,566)
Deferred tax on transfer of excess depreciation		2,570	-	-	-	2,570
Translation adjustment	(i)	-	-	(134,838)	-	(134,838)
At end of year		386,519	-	(152,118)	(101,477)	132,924

(i) These differences arise on translation of the financial statements of the foreign subsidiaries at the end of period exchange rates.

30 Other reserves (Continued)**Bank statement of changes in reserves**

	Revaluation surplus	Fair value reserve on equity investments	Total
	Shs'000	Shs'000	Shs'000
Year ended 31 December 2013			
At start of year	377,442	639	378,081
Fair value changes in equity investments	-	43,988	43,988
Deferred tax on fair value changes in equity investments	-	(44,627)	(44,627)
Transfer of excess depreciation	(6,068)	-	(6,068)
Deferred tax on transfer of excess depreciation	1,820	-	1,820
At end of year	373,194	-	373,194
Year ended 31 December 2014			
At start of year	373,194	-	373,194
Transfer of excess depreciation	(7,844)	-	(7,844)
Deferred tax on transfer of excess depreciation	2,353	-	2,353
At end of year	367,703	-	367,703

The revaluation surplus represents solely the surplus on the revaluation of leasehold land and buildings net of income tax and is non distributable.

31 Off balance sheet financial instruments, contingent liabilities and commitments

In common with other banks, the Group conducts business involving acceptances, guarantees, performance bonds and letters of credit. The majority of these facilities are offset by corresponding obligations of third parties.

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Contingent liabilities				
Acceptances and letters of credit	14,424,860	6,291,196	11,938,045	4,774,340
Guarantees and performance bonds	9,881,075	8,000,859	7,750,908	7,122,099
	24,305,935	14,292,055	19,688,953	11,896,439

Nature of contingent liabilities

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The bank expects the acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties, on production of documents, which are subsequently reimbursed by customers.

Guarantees are generally written by a bank to support performance by a customer to third parties. The Group will only be required to meet these obligations in the event of the customers default.

31 Off balance sheet financial instruments, contingent liabilities and commitments (Continued)

Commitments

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Undrawn credit lines and other commitments to lend	20,608,202	13,348,030	17,629,255	10,140,812
Foreign exchange forward contracts	23,022,042	11,052,275	20,776,184	9,059,281
Foreign exchange spot transactions	3,878,178	2,073,645	3,336,000	1,616,230
Operating lease rentals (i)	1,735,315	1,355,534	863,000	599,747
Capital commitments	410,232	393,684	362,840	368,434
	49,653,969	28,223,168	42,967,279	21,784,504
(i) Operating lease rentals are analysed as follows:				
Not later than 1 year	443,933	302,798	258,117	132,585
Later than 1 year and not later than 5 years	1,066,833	849,174	540,061	372,808
Later than 5 years	224,549	203,562	64,822	94,354
	1,735,315	1,355,534	863,000	599,747

Nature of commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for a fixed period.

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate.

32 Business segments information

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Board of Directors in order to allocate resources to the segment and to assess its performance. Information reported to the Group's Board for the purposes of resource allocation and assessment of segment performance is focused on geographical regions. Although the Burundi segment does not meet the quantitative thresholds required by IFRS 8, management has concluded that this segment should be reported, as it is closely monitored by the Board.

The reportable operating segments derive their revenue primarily from banking services including current, savings and deposits accounts, credit cards, asset finance, money transmission, treasury and commercial lending. The parent Bank also operates a fully owned insurance agency in Kenya. The assets and profit of the agency are not material and make up less than 10% of the combined assets and profit of the Group.

The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 2.

For management and reporting purposes, Diamond Trust Bank is organised into the following business segments:

- Diamond Trust Bank Tanzania Limited, which became a subsidiary company in June 2007, with operations in Tanzania.
- Diamond Trust Bank Uganda Limited, which became a subsidiary company in October 2008, with operations in Uganda. Network Insurance Agency Limited, which is a wholly owned subsidiary of Diamond Trust Bank Uganda Limited, operates in Uganda.
- Diamond Trust Bank Burundi S.A., which was set up as a subsidiary company in November 2008, with operations in Burundi.
- Kenya is the home country of the parent Bank and its fully owned insurance agency, Diamond Trust Insurance Agency Limited.

The Group did not have any single customer who represented more than 10% of its revenues. The following is the segment information:

NOTES TO THE FINANCIAL STATEMENT (Continued)

At 31 December 2014

	Kenya	Tanzania	Uganda	Burundi	Total	Consolidation adjustments	Group
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Interest income from external customers	14,265,373	3,024,120	3,287,811	230,712	20,808,016		20,808,016
Other income from external customers	2,100,771	858,352	787,988	29,740	3,776,851		3,776,851
Total income from external customers	16,366,144	3,882,472	4,075,799	260,452	24,584,867		24,584,867
Share of results of associate after tax	-	-	-	4,561	4,561		4,561
Inter-segment income	20,038	4,371	3,385	-	27,794	(27,794)	-
Total income	16,386,182	3,886,843	4,079,184	265,013	24,617,222		24,589,428
Interest expense from external customers	(5,238,596)	(1,098,205)	(1,355,480)	(76,817)	(7,769,098)		(7,769,098)
Other expenses – external	(3,585,413)	(1,283,208)	(1,313,270)	(103,636)	(6,285,527)		(6,285,527)
Inter-segment expenses	(17,379)	(5,288)	(5,127)	-	(27,794)	27,794	-
Finance costs	(177,275)	(21,705)	(52,337)	-	(251,317)		(251,317)
Depreciation and amortisation	(577,539)	(146,196)	(173,536)	(13,719)	(910,990)		(910,990)
Provision for bad debts	(475,973)	(271,647)	(90,412)	(13,178)	(851,210)		(851,210)
Total expenses	(10,072,175)	(2,826,249)	(2,990,162)	(207,350)	(16,095,936)		(16,068,142)
Segment profit before tax	6,314,007	1,060,594	1,089,022	57,663	8,521,286		8,521,286
Income tax expense	(2,167,892)	(338,474)	(290,436)	(16,054)	(2,812,856)		(2,812,856)
Segment profit after tax	4,146,115	722,120	798,586	41,609	5,708,430		5,708,430
Segment assets	141,399,632	36,135,356	34,819,494	2,253,034	214,607,516	(3,068,104)	211,539,412
Segment liabilities	115,419,507	32,106,451	31,179,439	1,516,678	180,222,076	(946,222)	179,275,854

32 Business segments information (Continued)
At 31 December 2013

	Kenya	Tanzania	Uganda	Burundi	Total	Consolidation adjustments	Group
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Interest income from external customers	12,111,605	2,375,491	2,502,312	189,653	17,179,061		17,179,061
Other income from external customers	1,994,176	635,621	686,071	34,124	3,349,992		3,349,992
Total income from external customers	14,105,781	3,011,112	3,188,383	223,777	20,529,053		20,529,053
Share of results of associate after tax	-	-	-	3,964	3,964		3,964
Inter-segment income	23,609	3,529	2,943	48	30,129	(30,129)	-
Total income	14,129,390	3,014,641	3,191,326	227,789	20,563,146		20,533,017
Interest expense from external customers	(4,117,437)	(803,463)	(1,053,602)	(55,268)	(6,029,770)		(6,029,770)
Other expenses – external	(3,321,446)	(1,078,338)	(1,112,322)	(96,002)	(5,608,108)		(5,608,108)
Inter-segment expenses	(14,266)	(7,582)	(8,281)	-	(30,129)	30,129	-
Finance costs	(144,416)	-	(2,237)	-	(146,653)		(146,653)
Depreciation and amortisation	(368,534)	(99,306)	(122,537)	(24,294)	(614,671)		(614,671)
Provision for bad debts	(594,069)	(165,169)	(106,366)	(33,208)	(898,812)		(898,812)
Total expenses	(8,560,168)	(2,153,858)	(2,405,345)	(208,772)	(13,328,143)		(13,298,014)
Segment profit before tax	5,569,222	860,783	785,981	19,017	7,235,003		7,235,003
Income tax expense	(1,517,933)	(256,943)	(223,979)	(5,394)	(2,004,249)		(2,004,249)
Segment profit after tax	4,051,289	603,840	562,002	13,623	5,230,754		5,230,754
Segment assets	114,320,914	27,145,094	27,039,171	1,731,777	170,236,956	(3,716,605)	166,520,351
Segment liabilities	95,587,419	23,679,653	24,039,302	1,064,394	144,370,768	(1,594,721)	142,776,047

32 Business segments information (Continued)
(b) Additions to non current assets

	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000	Burundi Shs'000	Total Shs'000
At 31 December 2014					
Property and equipment	612,910	207,015	385,378	5,346	1,210,649
Intangible assets- software	102,559	66,621	6,519	2,542	178,241
	715,469	273,636	391,897	7,888	1,388,890

At 31 December 2013

Property and equipment	2,157,490	227,539	188,401	7,910	2,581,340
Intangible assets- software	311,048	50,212	108,622	-	469,882
	2,468,538	277,751	297,023	7,910	3,051,222

(c) Revenue by products

An analysis of revenue by product from external customers is presented below:

	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000	Burundi Shs'000	Total Shs'000
At 31 December 2014					
Interest income					
Loans and advances	11,958,463	2,360,479	2,757,015	214,888	17,290,845
Government securities	2,199,023	609,173	397,598	8,159	3,213,953
Placement and bank balances	100,131	58,839	136,583	7,665	303,218
	14,257,617	3,028,491	3,291,196	230,712	20,808,016
Interest expense					
Customer deposits	5,079,478	1,038,914	1,347,409	76,489	7,542,290
Deposits due to banking institutions	159,118	59,291	8,071	328	226,808
	5,238,596	1,098,205	1,355,480	76,817	7,769,098
Net interest income	9,019,021	1,930,286	1,935,716	153,895	13,038,918
Non interest income					
Fee and commission income	1,214,171	524,912	554,688	24,318	2,318,089
Foreign exchange income	806,657	327,459	224,844	2,772	1,361,732
Other income	79,943	5,981	8,456	2,650	97,030
	2,100,771	858,352	787,988	29,740	3,776,851

32 Business segments information (Continued)

An analysis of revenue by product from external customers is presented below:

	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000	Burundi Shs'000	Total Shs'000
At 31 December 2013					
Interest income					
Loans and advances	9,962,725	1,835,555	2,182,866	173,529	14,154,675
Government securities	2,053,099	58,498	259,480	2,948	2,374,025
Placement and bank balances	89,261	484,967	62,909	13,224	650,361
	12,105,085	2,379,020	2,505,255	189,701	17,179,061
Interest expense					
Customer deposits	3,958,388	726,127	1,031,743	55,144	5,771,402
Deposits due to banking institutions	159,049	77,336	21,859	124	258,368
	4,117,437	803,463	1,053,602	55,268	6,029,770
Net interest income	7,987,648	1,575,557	1,451,653	134,433	11,149,291
Non interest income					
Fee and commission income	1,111,386	428,962	470,626	22,094	2,033,068
Foreign exchange income	796,330	207,646	209,475	9,827	1,223,278
Other income	86,460	(987)	5,970	2,203	93,646
	1,994,176	635,621	686,071	34,124	3,349,992

33 Fair values and effective interest rates of financial assets and liabilities

In the opinion of the directors, the fair values of the Group's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual repricing or maturity dates as set out in Note 4.

The effective interest rates for the principal financial assets and liabilities at 31 December 2014 and 31 December 2013 were as follows:

Bank

	2014			2013		
	In Shs	In US\$	In GBP	In Shs	In US\$	In GBP
Assets						
Government securities	10.53%	-	-	11.66%	-	-
Deposits with banking institutions	-	3.36%	-	12.19%	2.65%	-
Loans and advances to customers	16.33%	8.11%	9.50%	16.46%	7.54%	6.90%
Amounts due from group companies	-	2.92%	-	-	2.85%	-

33 Fair values and effective interest rates of financial assets and liabilities (Continued)

	2014			2013		
	In Shs	In US\$	In GBP	In Shs	In US\$	In GBP
Liabilities						
Customer deposits	6.57%	2.87%	2.45%	6.98%	2.12%	1.73%
Deposits due to banking institutions	0.63%	0.16%	-	0.90%	0.23%	-
Subordinated debt 1 - IFC	-	2.92%	-	-	2.85%	-
Subordinated debt 2 - IFC	-	4.42%	-	-	4.33%	-
Senior loan 1 - IFC	-	2.18%	-	-	2.10%	-
Senior loan 2 - IFC	-	2.47%	-	-	2.60%	-
Senior loan - DEG	-	3.30%	-	-	-	-
Senior loan - PROPARCO	-	3.30%	-	-	-	-

34 Analysis of cash and cash equivalents as shown in the statement of cash flows

	Group		Bank	
	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Cash and balances with the central banks (Note 14)	15,909,805	12,708,759	7,757,832	7,672,267
Cash reserve requirement	(9,481,554)	(7,270,053)	(4,998,096)	(4,194,964)
Government securities maturing within 91 days at the point of acquisition	40,020	63,537	-	-
Deposits and balances due from banking institutions (Note 16)	13,701,450	8,786,032	7,413,484	4,120,113
Deposits and balances due to banking institutions (Note 26)	(2,392,571)	(4,718,312)	(2,176,219)	(3,734,712)
	17,777,150	9,569,963	7,997,001	3,862,704

For purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 91 days maturity from the date of acquisition, including: cash and balances with Central Banks, treasury bills and bonds and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Banks.

Banks are required to maintain a prescribed minimum cash balance with the Central Banks that is not available to finance the banks' day-to-day activities. In the case of the Bank, the amount is determined as 5.25 % (2013: 5.25%) of the average outstanding customer deposits over a cash reserve cycle period of one month.

35 Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making the financial or operational decisions.

The Group holds deposits from directors, companies associated with directors and employees. Advances to customers include advances and loans to directors, companies associated with directors and employees. Contingent liabilities include guarantees and letters of credit for companies associated with the directors.

All transactions with related parties are at commercial terms in the normal course of business, and on terms and conditions similar to those applicable to other customers.

35 Related party transactions (Continued)

	Group		Bank	
	2014	2013	2014	2013
	Shs'000	Shs'000	Shs'000	Shs'000
Group Companies				
Amounts due to:				
Other group companies	-	-	994,137	1,013,546
Interest expense incurred	-	-	13,238	14,266
Amounts due from:				
Other group companies	-	-	309,426	398,088
Interest income received	-	-	11,331	12,831
Directors				
Loans to directors:				
At start of year	13,524	1,314	13,086	1,083
Advanced during the year	19,234	13,429	6,151	13,086
Repaid during the year	(16,240)	(1,236)	(3,073)	(1,083)
Translation adjustment	(20)	17	-	-
At end of year	16,498	13,524	16,164	13,086
Interest income earned from directors loans	2,667	198	1,811	161
Deposits by directors:				
At start of year	83,268	139,430	55,994	98,498
Net movement during the year	66,884	(56,493)	44,895	(42,504)
Translation adjustment	(861)	331	-	-
At end of year	149,291	83,268	100,889	55,994
Interest paid on directors' deposits	12,144	3,920	9,885	2,684
Other disclosures				
Advances to other related parties				
- Advances to companies related through control by a common shareholder, controlled by directors or their families	2,945,997	2,251,313	2,525,535	1,848,786
- Advances to employees	644,169	474,235	485,234	358,234
- Contingent liabilities including letters of credit and guarantees issued for the account of companies related through shareholding, common directorship and companies controlled by directors or their families	386,520	489,853	353,236	460,963
- Interest income earned from related companies and employees	275,049	205,418	220,645	153,352

35 Related Party Transactions (Continued)

	Group		Bank	
	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Deposits with other related parties				
- Deposits by companies related through common shareholding, common directorship and companies controlled by directors or their families	7,061,319	6,689,177	3,509,960	3,028,244
- Deposits by employees	192,509	225,741	192,509	191,528
- Interest expense incurred on deposits by related companies and employees	531,809	159,615	388,700	153,352

During the year, the International Finance Corporation (IFC), which has been a shareholder of the bank since 1983 (with equity holding of 9.85% as at 31 December 2013), sold a significant portion of its shareholding, reducing its equity holding to 1.85% as at 31 December 2014. IFC has granted long-term borrowing in the form of subordinated debt and senior loan, amounting to Shs. 5,216,936,000 (2013:Shs.4,861,910,000). Details of this are shown under Note 28.

5,216,936

	Group		Bank	
	2014 Shs'000	2013 Shs'000	2014 Shs'000	2013 Shs'000
Key management compensation				
Salaries and other short-term employment benefits	608,608	537,008	355,599	314,058
Termination benefits	23,479	23,912	11,747	12,869
	632,087	560,920	367,346	326,927
Director's remuneration				
-fees for services as a director	9,289	8,899	4,779	4,384
-other emoluments (included in key management compensation above)	79,837	74,848	46,189	36,616
	89,126	83,747	50,968	41,000

I/We (in block letters)

of P.O. Box

being a member/members of DIAMOND TRUST BANK KENYA LIMITED

hereby appoint

of P.O. Box

or failing him/her

of P.O. Box

as my/our proxy, to vote for me/us on my/our behalf at the Annual General Meeting of the Company to be held at the Crystal Ballroom, Laico Regency Hotel, Nairobi, on Thursday, 14th May 2015 at 11:00 a.m., and at any adjournment thereof.

Dated this day of 2015

Signature:

Important Notes

If you are unable to attend this meeting personally, this Proxy Form should be completed and returned to The Company Secretary, Diamond Trust Bank Kenya Limited, P.O. Box 61711, City Square 00200, Nairobi, so as to reach him not later than 48 hours before the time appointed for holding the meeting or any adjournment thereof.

The person appointed as proxy need not be a shareholder of the Company.

In the case of a member being a corporation, the Proxy Form must be under the Common Seal or under the hand of an officer or Attorney duly authorised in writing.

FOLD HERE

AFFIX POSTAGE
STAMP HERE

The Company Secretary
Diamond Trust Bank Kenya Limited
P.O. Box 61711, City Square 00200
Nairobi, Kenya

FOLD HERE



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